

AMANA TAKAFUL PLC

Annual Report 2020

DAWN OF A NEW BEGINNING

For years, Amāna Takaful has clearly defined its own measures of success. Taking yet another bold step towards the future, we recharged our brand persona, bringing in cohesion, emphasising on togetherness. This refreshed approach is the perfect representation of the vibrant communities we serve, the like-minded togetherness of our employees and the values we inculcate across our company.

Anticipating customer needs and recognising their emotional predispositions towards insurance, Amāna Takaful's brand transformation will continue to evolve both internally and externally – redefining standards to serve customers from across the nation.

To every Sri Lankan, as one

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Our Vision

"Committed to providing peace of mind through
World Class Takaful solutions"

Our Mission

"We will stand apart from the rest by engaging all
stakeholders, crafting unique insurance solutions, in a
spirit of mutuality and solidarity"

Our Values

Customer Centered:

Interaction with Customers.

We LISTEN to our customers and go the EXTRA MILE to SERVE them

Open Mindedness:

Changing the status quo, seeking new ideas.

We FOSTER a culture where IDEAS and OPINIONS are shared freely

Rise for Quality:

A culture of continuous improvement.

We are DRIVEN to give all stakeholders a QUALITY service

Diversity:

Our soul and spirit

To every Sri Lankan as one

Performance Highlights

	2020	2019	Growth
	Rs. Mn	Rs. Mn	%
Group			
Total Gross Written Premium	4,144	4,276	(3.09)
Profit/(Loss) after tax	222	(277)	180.30
Earnings/(Loss) per share (Rs.)	0.67	(1.87)	135.82
Total Assets	7,111	6,634	7.19
Net Assets value per share (Rs.)	8.47	7.58	11.85
Return on Equity	0.11	(0.15)	169.90
General Takaful			
Gross Written Premium	3,377	3,431	(1.56)
Net Earned Premium	2,257	2,478	(8.91)
Life (Family) Takaful			
Gross Written Premium	767	851	(9.87)
Life Fund - FTF	446	471	(5.42)
Life Fund - Unit Link	1,913	1,748	9.45
Total Life (Family Takaful) Fund	2,359	2,219	6.30
Company			
Profit/Loss After Tax	39	(381)	110.17
Earnings/(Loss) per share (Rs.)	0.22	(2.12)	110.16
Net Assets value per share (Rs.)	8.36	8.10	3.22
Return on Equity	0.03	(0.26)	109.86
No of Employees	226	213	6.10
No of Branches / Distribution Centres	26	31	(16.13)
General Takaful			
Gross Written Premium	1,839	1,832	0.41
Net Earned Premium	1,346	1,477	(8.89)

Group Total Assets

7.19%

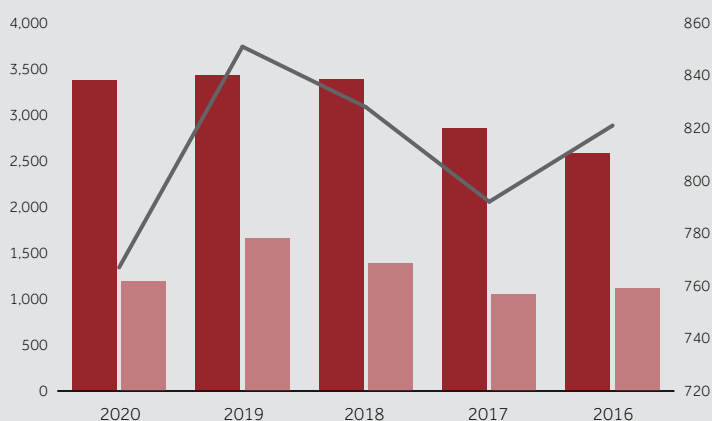
GROWTH

General Takaful GWP

0.41%

COMPANY

RS. MN/NOS.



	2020	2019	2018	2017	2016
General Takaful Contributions (Rs. Mn.)	3,377	3,431	3,386	2,848	2,586
General Takaful Net Claims Incurred (Rs. Mn.)	1,186	1,656	1,387	1,050	1,118
Family Takaful (Life) Contribution (Rs. Mn.)	767	851	828	792	821

Our Journey

2021 ▶

Successfully revamped the brand with a fresh look and direction, pledging our service "To every Sri Lankan as One", hence with the vision of creating equal opportunities for all.

2015 ▶

Segregation of the General and Life companies aimed at providing a diverse product portfolio.

2009 ▶

Formal launch of Corporate Social Responsibility (CSR) activities under the banner, "Amana Takaful Cares"

1998 ▶

Incorporated as a Public Company as a Composite insurance provider in Sri Lanka with a primary focus on the key sectors of insurance.

2005 ▶

Incorporation of the overseas branch in the Republic of Maldives.

2006 ▶

Listed in the Colombo Stock Exchange, Sri Lanka.

Product Portfolio



For more info at
<https://www.takaful.lk/home/>

GENERAL

Business Cover

"Business Cover" is a business insurance solution which helps small and medium sized business owners who play a critical role in boosting the country's economy. This insurance policy is designed to indemnify the business owners in the event of a loss or destruction and also help business owners to ensure Income Continuity.

Financial Commitment or Relocation expenses following damage of the insured property. The unique feature of this product is that it is totally digitalised and customer can get the quote instantly.

Travel Pal

'Travel Pal' provides absolute peace of mind to the policy holder by offering support to individuals who travel overseas for leisure, business or family engagements. The policy is a comprehensive and reliable travel companion.

It covers the traveller in the event of emergency treatment in a hospital, personal accidents and injuries, permanent or total disabilities, loss of luggage and valuables, re-imbursement of repatriation cost, flight delay/cancellation, missed departure etc.

My Home

'My Home' provides a comprehensive insurance cover for your home, which is a showpiece of a lifetime decorated with memories of love, care and family.

This cover includes protection against burglary, damages caused by fire and natural disasters. The policy also provides free benefits such as a personal accident cover for your family, protection against loss of rent and cash, fire brigade charges, replacement of ATM/credit cards, alternative accommodation requirements, deterioration of food in the refrigerator and much more.

Easy Marine

With the 'Easy Marine' insurance cover, one can be at ease, whilst the goods are on the move. Coverage is for any loss or damage whilst on the ship, at the warehouse or any accepted mode of transport through which your goods are being transferred between the point of origin and the final destination - for an economical price.

MOTOR

Total Drive

'Total Drive' provides comprehensive cover for your vehicle, with other extensive covers to suit your risk when it comes to owning a vehicle. This product also covers an assortment of vehicle related expenses and the processes to submit and collect claims are all carefully designed to suit the busy lives of our customers.

Tuk Tuk Full

Tuk Tuk Full is for three-wheel owners and drivers. It is the most attractive three-wheel cover in the market and takes into account all the challenges faced by the tuk tuk drivers on a daily basis, to ensure their livelihoods are sustained.

The policy provides cover for a host eventualities, to ensure that at any point in time, the policy holder is protected from loss.

Smart Rider

'Smart Rider' is a compelling insurance scheme for motor bikes owners that cover its riders across a spectrum of worst-case scenarios to ensure that they do not have to suffer monetary loss due to any unfortunate event.



For more info at
<https://www.takaful.lk/home/>

MEDICAL

Hale & Hearty

An extended hospital stay is not only distressing but it can also be surprisingly expensive with costs escalating beyond one's financial capacity. Not just the disease but the cost of treatment too takes its toll. Hale & Hearty insurance plan covers individuals and their families within the age group of 18 to 55. It can be tailored to meet the needs of entrepreneurs, executives, managers and others like young adults and housewives.

The policy also features an array of benefits that provide policyholders with added value and convenience. Hale & Hearty gives policyholders the convenient option of cashless transactions in over 22 leading hospitals. As a result, Amana Takaful Insurance settles hospitalisation bills directly to the hospital ensuring the policyholder has minimal use for cash and feels no hassle and stress.

Hale & Hearty Kruthaguna

Hale & Hearty - Kruthaguna, is the only medical insurance cover in Sri Lanka designed to take care of the hospitalisation expenses of our elderly loved ones. It gives us the peace of mind to spend time with them, to love them and care for them. Hale & Hearty - Kruthaguna provides with financial security and much needed support in times of need.

It is the only policy that provides health insurance benefits for elders above 55 years, and is a lifetime policy.

Hale & Hearty Young Minds

Children will always be children; their whole world is filled with joy, laughter, innocence and smiles. However sickness can strike at any time; therefore Hale & Hearty - Young Minds medical insurance is a tailor-made solution for all parents who value their children's good health as the greatest wealth.

This insurance cover provides any parent the peace of mind at the time of their child's hospitalisation, via a wide range of attractive benefits from the day your child is born. This is the only insurance cover in Sri Lanka which covers the child from the day he is born. In addition, a free personal accident benefit cover is given to the parents.

Hale & Hearty Crystalline

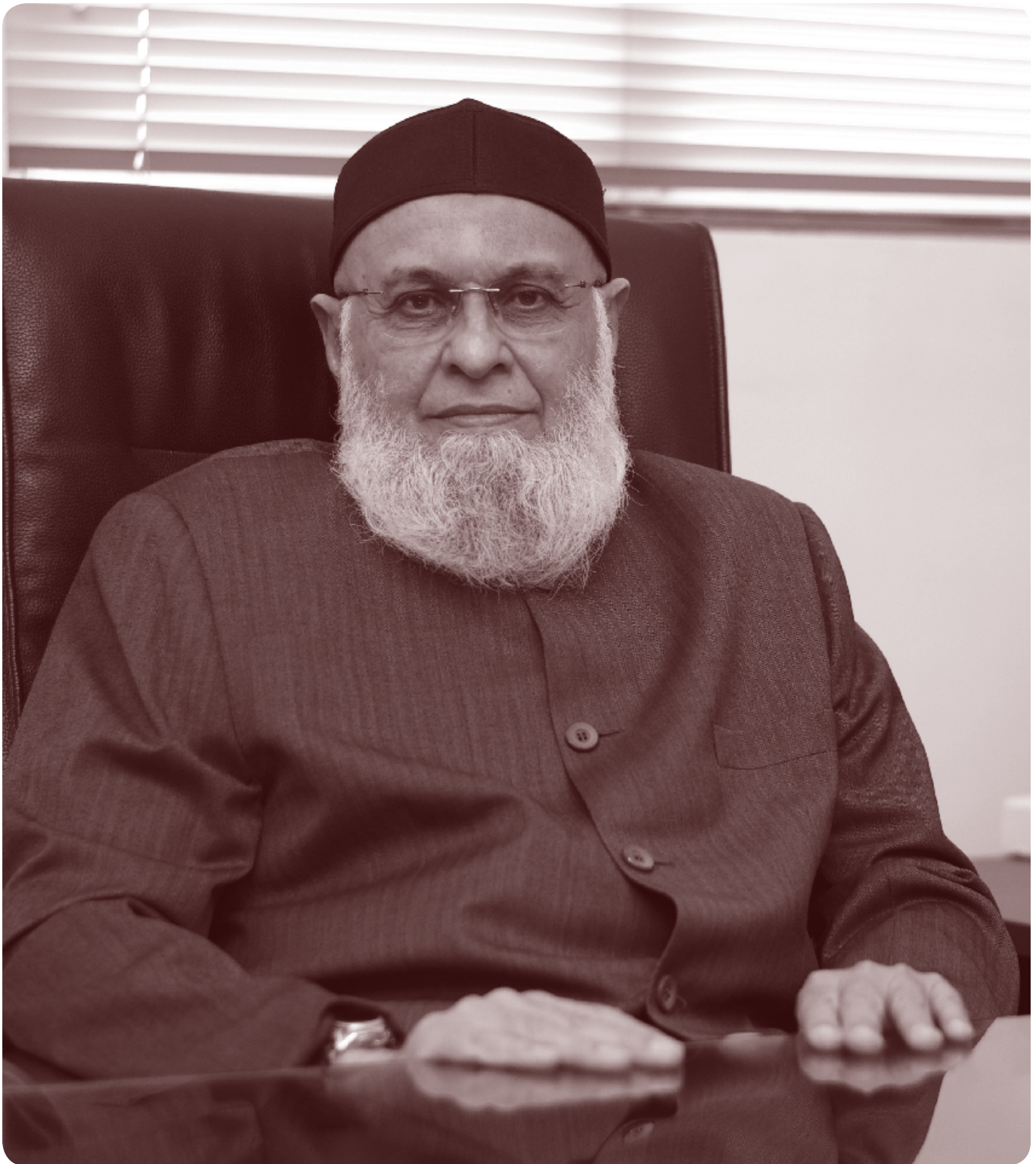
Women are the primary caregivers in today's society. However, a number of health issues pose specific risks to them. 'Hale & Hearty – Crystalline' is especially tailored for ladies, providing coverage for the treatment of ailments common to ladies. From critical illnesses to the complications of aging, the policy insures against the most pressing threats to women's health, providing peace of mind to them.

Hale & Hearty Suwasiri

The 1st of its kind, this unique health insurance policy comes with an extremely affordable fee of Rs.2,222 for an annual insurance coverage of Rs.100,000. This has made the Suwasiri Health Insurance policy the most affordable policy available to every Sri Lankan.

Suwasiri is the perfect solution to the challenges faced by Sri Lankans due to the increasing costs of hospitalisation & medical treatment expenses. Whilst good health is a blessing, an illness can occur when we least expect it. Suwasiri Health Insurance policy is the solution that will help ease one's financial burden during a time of crisis.

Chairman's Message



It is my pleasure to present to you the Annual Report and Financial Statements of Amāna Takaful PLC (ATPLC) for the year ended 31st December 2020. As we conclude yet another tumultuous year in Sri Lanka's history, I would like to share my views on what has unfolded during the 12-months period from January to December 2020.

Following the shocking events of the Easter Sunday attacks of April 2019, Sri Lanka demonstrated her resilience once again, gradually rising from the ashes of that fateful day. As the year 2020 dawned there was renewed hope and optimism that the new year would provide some much-needed good news for the people and the country's struggling economy. Unfortunately, such positive thoughts were short-lived as the COVID-19 pandemic arrived in the country in the early parts of the year, forcing the authorities to go into a nationwide lockdown by March, to slow down the spread of the virus across the country. As the country spent several weeks from March to June under lockdown, the economy went into a tailspin as nearly all industries were forced to halt or slowdown production. Sri Lanka's battle with the pandemic had its ups and downs during the course of the year and understandably Sri Lanka's GDP grew by only 1.3.% in 2020. On the political front, a new Government was installed in August with the majority of the population providing it a two-third majority, an aspect that is expected to provide a stable political environment for the foreseeable future which is the foundation of enhanced investor confidence and a strong economic performance.

The difficult times of 2019 as well as the new challenges in our operating environment in 2020, certainly tested the Company's strength and resilience. Faced with such challenges, the entire team began working purposefully driven by the dynamic leadership provided by the Board of Directors and other members of the Senior Management. The pandemic made the Company fast track a business re-engineering process which saw us

rationalising our costs, analysing every aspect of our operations and identifying if our systems and processes needed refining, to a point where we examined whether each task could be done in a more efficient and cost effective manner. The Company was able to successfully improve operational efficiencies and save costs in multiple areas, enabling us to achieve a better financial performance than what was anticipated at the

beginning of the year. In hindsight, the pandemic, despite its significant economic and human costs, did benefit the Company to some degree and has undeniably boosted our resilience and bolstered our defences to counter any unexpected external shocks that may await us in the future.

Financial Performance Review

The Group reported a Gross Written Premium (GWP) of Rs.4.14 Bn. in 2020. Although this is a lower figure in comparison to the Rs.4.2 Bn achieved in 2019, it must be viewed within the context of the drastic economic meltdown triggered by the pandemic. In spite of the challenging circumstances facing the company as a result of the economic downturn, I am happy to inform you that ATPLC managed to register a reasonably strong financial performance during the year 2020 with a profit of Rs.38.76 Mn. ATPLC's impressive turnaround in the General business in Sri Lanka showed the Company recovering from a loss of Rs.381.49 Mn. in 2019 to a profit of Rs.38.76 Mn. in 2020 for the same period. This resulted in a significant

Chairman's Message

increase in the Group Net Profit to Rs.222.43 Mn. in 2020, from the loss of Rs.277.17 Mn. recorded in 2019. The Company paid out just Rs.0.73 Bn. in claims for 2020, compared to the Rs.1 Bn. figure in 2019, which was incidentally the highest claims pay-out made by the Company at the time. As in previous years, the Company ensured that all claims were settled in full, underscoring our retakaful capability. Another notable highlight was the fact that despite the numerous challenges encountered during the year, ATPLC's market rank remained unchanged from the previous year.

Amāna Takaful Life PLC recorded a reasonable performance in the face of the difficult circumstances. Although there was a loss of Rs.34.71 Mn. during the year under review, the figure was lower than initially predicted during the early days of the pandemic.

Amāna Takaful Maldives PLC has been achieving consistent bottom-line results for several years and continued its upward trend by registering MVR. 19.96 Mn. as Profit Before Tax while Gross Written Premium increased to MVR. 127.88Mn. thereby outperforming industry growth in 2020. Several factors contributed towards the improved consolidated results including higher revenues coupled with prudent underwriting, efficient claims management, restrained costs and judicious investment management.

New CEO

ATPLC appointed Shehan Feisal as the new CEO with effect from 20th July 2020. Shehan Feisal is a result-oriented, growth-driven leader with over 25 years of extensive technical and managerial experience in the insurance industry, having worked for both local

and multinational companies. Over the years he has specialised in underwriting property and casualty, medical, marine, motor and miscellaneous classes of insurance including claims and reinsurance.

Revamping the Brand

The foundation for revamping the Amana Insurance brand was laid during the year 2020 and the new logo and brand message, which underscores our long-standing service orientation to all Sri Lankans, was unveiled in early 2021. Amana Insurance brand has always been well-received in all corners of the island but was due for a modern look in keeping with the changing times. The refreshed message of **'To Every Sri Lankan as One'** is a well-timed reminder that is very relevant in today's complex society.

Virtual Annual General Meeting (AGM)

During the year, the Company made history by holding its first-ever virtual Annual General Meeting (AGM). The 21st Annual General Meeting of Amana Takaful PLC as well as the 4th Annual General Meeting of Amana Takaful Life PLC was thus carried out virtually becoming one of the first companies in the insurance industry to transition to an online platform for this purpose. The transition to a virtual AGM was brought about by the need to conform to the health and safety regulations issued by the Government of Sri Lanka following the COVID-19 outbreak in the country.

Governance and Stewardship

Good governance has always remained a vital component of the way the Company carries out business operations. As the Chairman, I can confidently state that my fellow Directors and I remain

steadfastly committed towards adhering to the highest standards of corporate governance, integrity and professionalism. The extremely difficult scenarios present before us in 2020 did not make us waiver from our beliefs as we persisted with our approach of strict discipline and in fact further enhanced it to ensure the Group remains within the ethical principles that govern our business, while complying with all the frameworks outlined by the Regulators.

Changes in the Board

MHM Rafiq

Retired w.e.f – 14.07.2020

Dato Mohd Fadzli

Retired w.e.f – 14.07.2020

Zulficar Ghouse

Appointed w.e.f 03.06.2020

Deepthie Wickramasuriya

Appointed w.e.f – 22.12.2020

Future Outlook

The pandemic has undoubtedly made a lasting impression on how companies across the globe conduct business. It has brought some industries to their knees while others have flourished. When it comes to the Insurance industry, I feel there is greater understanding and appreciation of the industry, which augurs well for our future. ATPLC is confident of facing the uncertainties of tomorrow due to the bold, accelerated business re-engineering that the Company underwent during the year. There will be an increased focus on digitalisation of external processes to provide enhanced customer convenience as well as internal processes to improve operational efficiency at every level. Maintaining high levels of customer satisfaction will remain a very important facet of our

approach as we aim to deliver service excellence by providing outstanding service consistently across multiple touch points. Overall, we will aim to further capitalise on the global acceptance of the Takaful concept to build on the Group's leadership in this market.

Acknowledgments

As I wrap up my 2020 review, I would like to convey my appreciation to my colleagues on the Board for their words of wisdom and continued support given to me throughout the year. I would like to extend my gratitude to the Management as well as each and every employee for demonstrating the power of teamwork, dedication and passion in driving the Company forward during these troubled times. A big "Thank You" also goes out to the shareholders and all other stakeholders of Amāna Takaful PLC, for placing their trust in the Group for yet another year. It is without doubt a time of uncertainty but I strongly believe that if we continue to work together as one team, we will reap the rewards in the not-too-distant future.



Osman Kassim

Chairman

12th May 2021

Chief Executive Officer's Review



"I am pleased to provide you with my insights about the performance of Amana Takaful PLC (ATPLC) in the year 2020. This is my first review as I took over duties as the new CEO of ATPLC in July 2020."

Dear Shareholders,

The year 2020 will go down in history as another troubled year for Sri Lanka due to the devastation caused by the COVID-19 pandemic. However, unlike in 2019 when Sri Lanka suffered alone after the Easter Sunday attacks, the significant difference in 2020 was that the entire world was brought to its knees and millions of people struggling to survive from a health as well as economic perspective. Given such a backdrop, Sri Lankans were once again faced with a prolonged dark period and demonstrated amazing resilience to come out relatively unscathed from the pandemic at the time of writing of this review.

It was heartening to see that Sri Lanka recovered fairly quicker than expected after the horrific Easter Sunday attacks. The year 2020 commenced with hope of this upward momentum continuing but unfortunately such optimism was short-lived due to the arrival of the pandemic and the nationwide lockdown in March. The pandemic negatively affected almost every industry and the Insurance industry was no different. The restriction of vehicle imports to curb the outflow of foreign exchange resulted in the Insurance industry suffering a drastic drop in vehicle insurance, an engine of growth for the industry for a considerable period of time. ATPLC was banking on this segment to fuel our growth but with the ban still in place, such plans have had

to take a back seat as vehicle insurance sales understandably failed to gather any momentum. Meanwhile, the regulators were supportive of the plight of the general population and introduced the debt moratorium which provided some much needed relief to the public reeling from the aftershocks of the unexpected pandemic.

Having elected a new President in late 2019, the people of Sri Lanka strengthened his position by electing a new Government at the Parliamentary Elections held during the middle of the year. The new Government's clear mandate is beneficial to the country in terms of the economic landscape as it signifies a stable Government,

a prerequisite for boosting investor confidence and kick-starting the economy from its current depressed position caused by the pandemic. What is necessary is for the Government to look at introducing long-term, consistent economic policies that encourage local industries and companies to press forward with their economic revival while also attracting Foreign Direct Investments (FDI).

Key Achievements of the Year

Given the worrisome developments of 2019, the management decided to set cautious targets for the year 2020 in order to support the Sales team as the Company was still feeling the after effects of the negative market sentiments following the Easter Sunday attacks. The plan was to achieve a reasonable target by bringing the customer base back to what it was and use it as a launch-pad to plan ahead for a better performance in 2021. Despite the impact of the pandemic, the team was able to comfortably achieve this target growth of 0.41% and I would go as far as to state that if not for the pandemic we would

Chief Executive Officer's Review

have exceeded the expectations of the Board by a significant margin. Overall, we were successfully able to turn the Company around from a loss of LKR -381.49Mn in 2019 to a profit of LKR 38.76Mn in 2020. We have certainly performed remarkably well given that the odds were stacked against us on many fronts thereby underpinning the resilience of the team and the Company.

As in the past, ATPLC's relatively well-balanced product portfolio ensured that the Company is in a better position than most others to ride out the difficult times. On a positive note, these challenging circumstances have fuelled our motivation to fulfil the promises made to our stakeholders. Staying true to the Takaful concept, we continued to serve all market segments with our wide range of innovative products that includes Medical, Motor, Business Solutions and Travel. The Company did change strategies in 2020 by focusing more on the Motor and Medical products, two products that we have been traditionally strong in. Significant efforts were made to improve our service levels across all our products by leveraging technology as we strongly believe that if we can deliver exceptional service, we are well-placed to face a challenge of any proportion.

Human Resources

During the initial stages of the pandemic, several large companies were forced to reduce salaries of their employees while some had to let go of part of their workforce. I am happy to state that at ATPLC, reducing salaries or retrenching staff was not even thought of as we are a company that genuinely believes that each staff member is part of a ATPLC Family. Therefore, during their hour of need, we ensured that their jobs were secure and they could take home the

same income that they did before the pandemic hit which was undoubtedly a significant relief to all of them as the anxiety and stress of how safe their job and income was disappeared overnight.

While training programmes were severely restricted due to the lockdown situation and the Company's focus understandably being elsewhere, towards the latter parts of the year we did manage to utilise online video technologies to enhance various teams' skill levels. Despite the pandemic, the Company took a bold step by investing in employing several top level, highly-experienced industry experts keeping in mind our plans to pursue aggressive growth once the economy returns to some form of normalcy in the future.

Technology

We understand that investing in technology is the way forward and therefore, in spite of the budgetary constraints, we have managed to invest in digitalisation. One of the key learnings from the first lockdown was how big a role technology plays when it comes to working from home and getting the best out of our employees. Even prior to the pandemic we were on a sound footing in terms of technology but the lockdown did help us identify certain gaps which we have been able to rectify. In terms of leveraging technology to communicate with customers, it is clear that the new generations of Millennials and Gen Z are far more technologically savvy than any other previous generations and are constantly seeking products and services that can be delivered to their smart devices. This means that our product portfolio needs to be both simple and technologically advanced so that these younger generations can make instant decisions and carry out purchases using

their devices without even having to meet one of our representatives face to face. Having said that, such a scenario is only prevalent in the urban and suburban areas where better connectivity is available and tech savvy customers reside. In the rural parts of the country face to face interactions are the norm and prospective customers expect the "human touch" to be part and parcel of the purchasing experience.

New Brand Identity

Amana Takaful Insurance successfully relaunched its brand identity with a fresh logo and a lively brand message that drives home the significance of serving all Sri Lankans. Our refreshed message of 'To Every Sri Lankan as One' is indeed a timely message that is very relevant to today's complex society.

Looking Ahead

The biggest challenge for the year as a country is to minimise the spreading of the virus so that human lives are saved and the country need not revert to a nationwide lockdown situation. The rolling out of the vaccine in early 2021 is certainly a step in the right direction for the country. I am hopeful that the general public will continue to be disciplined and adhere to the instructions given by the health authorities even as the vaccine rollout gathers pace. Overall, while it still remains a time of uncertainty, the vaccine has given the public great hope about life returning to some form of normalcy in the near future.

As the year 2021 unfolds, I am hopeful the new year would bring better prospects for the Company driven by an upswing in business activity. I am confident that the refreshing of our brand, new faces in the management team, changes in the management structure and streamlining

of operational approach will give our expansion plans a timely boost. There would be enhanced efforts to make the public understand that we are like any other insurance company out there, albeit with what we believe are superior products & services, and we don't simply cater to just a specific population of Sri Lanka. Overall, I am confident that ATPLC is in a strong position to capitalise on these opportunities, having laid the foundation to transform into a leaner, more flexible organisation over the next 3-5 years.

Appreciations

Having arrived at the end of my review, I would like to conclude by thanking the Board of Directors for their unstinted support and sound advice during the ups and downs of the year 2020. I extend my gratitude to the exceptional team of employees who have dug deep during these troubled times to triumph in the face of great adversity by demonstrating courage, passion and dedication. I would like to convey my appreciation to the Shari'ah Advisory Council for their valuable input throughout the year. My

since appreciations also goes to the Insurance Regulator and our Reinsurance partners, in particular our lead reinsurers – Swiss Re and the NITF. I also wish to thank our shareholders, for believing in us for all these years. As I enter the first year of my journey in this outstanding organisation, I sincerely hope that you will continue to support the Company so that we can grow together and shine even brighter in the Insurance landscape of Sri Lanka.



Shehan Feisal

Chief Executive Officer

12th May 2021

Managing Director's Message



It gives me great pleasure to provide you my views on how Amana Takaful PLC (ATPLC) fared in the year 2020.

Review of the Year

The dawn of the year 2020 saw the country feeling cautiously optimistic about entering a new decade. Being such a resilient nation, Sri Lanka had recovered faster than expected from the tragedy that befell the country during the Easter Sunday attacks of 2019. A new President had taken office bringing hopes of a turnaround in the country's fortunes. However, unfortunately such optimism was short-lived as the COVID-19 pandemic started spreading in the country causing a country-wide lockdown that lasted several months and halting almost all economic activities. People's lives were turned upside down as they were hit with a double blow of a never-before-seen health crisis and a loss of income due to the country being in lockdown.

It goes without saying that the Insurance Industry, like almost other industries in Sri Lanka, was negatively impacted by this global crisis. With the Government banning vehicle imports to curb the outflow of foreign exchange, new vehicle registrations dropped drastically resulting in a significant drop in vehicle insurance, one of ATPLC's key revenue streams. At the same time, the introduction of debt moratorium by the Banking and Finance as well as the Insurance Industry was a timely move that provided some breathing space for the general public struggling to survive due to the effects of the pandemic.

In what can be seen as a positive turn of events, a new Government with a two-thirds majority was installed by the people in August. Such a stable Government is a vital component in boosting investor confidence and putting in place plans to fast track an economic recovery from the

pandemic. Consistent, long-term policies are of course a necessity to maximise the impact of this strong Government so that local industries are encouraged to increase local manufacturing and drive employment generation.

As a result of the difficult circumstances facing ATPLC in 2019, the management set cautious targets for the year 2020 understanding the fact that recovery would take some time and with the aim of providing maximum support to the Sales team. It is heartening to note that despite the arrival of the pandemic, we were able to achieve this target fairly and comfortably which resulted in a profit of LKR 38.76Mn in 2020 from a loss of LKR -381.49Mn recorded in 2019.

Faced with such trying circumstances, ATPLC registered a slight growth in GWP by 0.41% to LKR 1.839 Bn in 2020. Having said that, ATPLC's relatively

well-balanced product portfolio placed us in a reasonably favourable position to handle the challenging state of affairs where we continued to remain true to the Takaful concept, and served all market segments with our wide range of innovative products that includes Medical, Motor, Business Solutions and Travel. During the year, there was greater focus on two of the stronger products in our portfolio – Motor and Medical – while we made notable strides in enhancing the use of technology to deliver exceptional customer service.

As the pandemic spread across the island and the economic reverberations were felt far and wide, several companies were forced to reduce salaries of the workforce with some even having to go to the extent of terminating employees in order to drive down their costs and survive. I am proud to inform you that ATPLC did not even consider resorting to such measures and was able to sustain the income levels of all employees at pre-pandemic levels so that the entire ATPLC family could face the crisis knowing that their personal financial situation was not going to deteriorate. This certainly motivated the entire team significantly and the positive influence of such actions can be viewed in terms of how the Company performed during the year.

Managing Director's Message

ATPLC is a Company that believes in constantly enhancing the knowledge levels of employees. In keeping with this approach, despite the limited budgets and movement restrictions caused by the pandemic, we were able to use technologies such as online video tools to carry out training sessions. The Company also decided to lay the foundation for future growth by attracting several top-level employees with industry experience further underscoring our positive sentiments about the country's economic future despite the ongoing pandemic situation.

ATPLC's digitalisation drive continued throughout the year albeit at a lesser pace due to the limited funds available. The lockdown highlighted the importance of investing in technology and how crucial having a robust technological infrastructure is to the smooth functioning of a company. ATPLC has always been a company that has prioritised investments in technology and the lockdown only helped to drive home the fact that we need to continue investing heavily in this area in order to give us a competitive advantage within the industry. Embracing the latest technology will certainly help us to better connect with the younger generations of Millennials and Gen Z who place their trust in technology to deliver solutions to them whether they are at home, office or on the go.

During the early parts of 2021, Amana Takaful Insurance unveiled their new brand identity with a fresh logo and a dynamic brand message that emphasizes the importance of serving all Sri Lankans. The new brand identity has received very positive reviews from both the customer base and the general public, and I am confident that it will play a big role in making the public understand that Amana Takaful Insurance is a company for every Sri Lankan citizen.

The Year Ahead

Without doubt, the biggest challenge for the Company, the industry and the country are the continuation of the pandemic. Lives have been lost daily and economic activities have been slow to pick up so far in the year 2021. We are hopeful that the rolling out of the vaccines will provide a much needed shot in the arm to the country. Even after the vaccine, the general public needs to remain vigilant at all times as letting our guard down will only present the chance for another cluster to form, threatening the lives and livelihoods of thousands in that area and potentially millions in the country if not managed properly.

Once we manage to control the spread of the virus, business activities will eventually pick up and the country's economy will invariably pick up, providing more opportunities for ATPLC to grow. With a new brand identity in place and driven by new, experienced faces in the upper echelons of our management team, the Company will strive to forge ahead with our plans to bounce back from the difficulties of 2019 and 2020.

Appreciations

I would like to bring my message to a close by thanking my fellow members of the Board of Directors for their wise counsel during the year. I am very grateful to the outstanding ATPLC team who demonstrated their spirit of togetherness by working tirelessly during the year, especially during the lockdown and post-lockdown periods. I wish to convey my appreciation to the Shari'ah Advisory Council for their valuable guidance throughout the year. I would also like to state my gratitude to the Insurance Regulator and our Reinsurance partners. Last and by no means least, I also wish to thank our shareholders, for standing by the Company for all these years, even during the darkest of times.

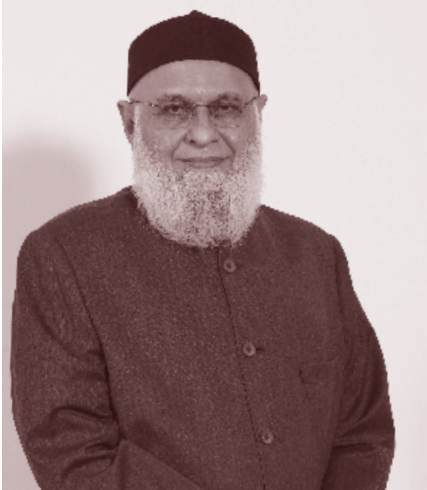
We have completed yet another year of unexpected challenges, all of which have undoubtedly made ATPLC an even stronger company than before. Therefore, provided we continue to keep believing in the Company and working hard, we can achieve great things in the future.



M. Hassan Sattar Kassim

Managing Director

Board of Directors



MR. OSMAN KASSIM
CHAIRMAN NON-EXECUTIVE DIRECTOR

Mr. Osman Kassim, the visionary and one of the main promoters of Amāna Group of Companies, was the Chairman of Amāna Bank PLC, Sri Lanka's first and only licensed commercial bank to conduct all its operations under the principles of Islamic banking. Mr. Kassim, a well-versed personality in Islamic banking and finance, was instrumental in introducing Islamic finance to Sri Lanka with the setting up of Amāna Investments in 1997, whose assets and liabilities were later transferred to Amāna Bank PLC in 2011. He has expanded his directorships in Islamic Finance companies overseas as well, where he is a director at Amāna Takaful Maldives & the Maldives Islamic Bank.

With over 40 years of senior management experience, Mr. Kassim was also the founder Chairman of the well-established Expolanka Group of Companies which is engaged in diverse business activities. He is the Chairman of Vidullanka PLC, a leading provider of renewable energy to the National Grid and he is also the Chairman of Aberdeen Holdings (Private) Limited. He also sits on the board of Ex-Pack Corrugated Cartons (Private) Limited.

He was conferred an Honorary Doctorate from the Staffordshire University in recognition of his achievements as both a global entrepreneur and visionary educationalist.



MR. M HASSAN SATTAR KASSIM
MANAGING DIRECTOR

Mr. Hassan Kassim was appointed to the Board on 7 March 2016. He is the Director/ Chief Operating Officer at Aberdeen Holdings (Private) Limited and the founder and Chief Executive Officer of Expo Commodities DMCC Dubai. He has also served as Head of International Trading at Lanka Commodity Holdings (Pvt) Ltd. and Head of Corporate Communications and CSR at Expolanka Holdings PLC.

He holds a BA (Hons.) Degree in Management Studies from the University of Nottingham, UK. Mr. Hassan Kassim also serves as a member of the Board of Directors of Bio Extracts (Pvt) Ltd, Lanka Commodity Holdings (Pvt) Ltd., Expoceylon Pharmaceuticals (Pvt) Ltd, Expo Commodities Global (Pvt) Ltd, Kolonnawa Property Holdings (Pvt) Ltd, Ruhunu Farms (Pvt) Ltd and Roar Digital (Pvt) Ltd.



**MR. MOHAMED HANIFFA
MOHAMED RAFIQ**
(RETIRED W.E.F. 14 JULY 2020)
INDEPENDENT NON-EXECUTIVE DIRECTOR

Mr. M H M Rafiq was on the Board since its inception. He has been involved in the insurance industry for over four decades. His interests are extremely diverse and include Education, Healthcare and Real Estate. Mr. Rafiq, with his wealth of experience in the sphere of insurance, plays an active role in Amāna Takaful PLC.

Board of Directors



DATO' MOHD FADZLI YUSOF

(RETIRED W.E.F. 14 JULY 2020)

INDEPENDENT NON-EXECUTIVE DIRECTOR

Dato' Mohd Fadzli Yusof was appointed to the Board on 10 February 1999. He was the founder Chief Executive Officer of Syarikat Takaful Malaysia Berhad, the first Takaful Operator in Malaysia as well as in Asia, since its incorporation in 1984 until his retirement in 2005. He obtained the professional Diploma in Communication, Advertising and Marketing (CAM) from the CAM Foundation in the United Kingdom in 1976. He started his career in broadcasting, including six years with the BBC External Service in London. Currently he is an independent member of the Board of Hei-Tech Padu Berhad, Malaysia. He is also a member of the Board of Motor Research Consortium Data Sdn. Bhd, a subsidiary of Hei-Tech Padu Berhad.

He has been appointed as a member of the Board of State Economic Development Corporation of Kelantan, Malaysia. He is also a member of the Council, Ismail Petra International Islamic College Kelantan, Malaysia, member of the Negeri Sembilan Baitulmal Corporation, Malaysia as well as member of the Board of Trustees Sultan Mizan Royal Foundation, an NGO institution.



DR. ABOOBACKER ADMANI MOHAMED HAROON

NON-EXECUTIVE DIRECTOR

Dr. A A M Haroon was appointed as a Director on 21 September 2000. He is a Medical Practitioner by Profession. He also holds the chairmanship of several private companies, encompassing different industries including Garments, Healthcare and Clinical Diagnostics.



MR. MOHAMED RIZWAN MOHAMED NAYEEM

INDEPENDENT NON-EXECUTIVE DIRECTOR

Mr. Rizwan Nayeem was appointed to the Board on 7 March 2016. He is currently an Executive Director at the Norton bridge Capital (Pvt) Ltd. He has had an extensive career in investment research, corporate finance and management consultancy in Sri Lanka, Middle East and United Kingdom. Mr. Rizwan has had well-acclaimed research-based publications in the insurance sector and luxury goods in Sri Lanka and United Kingdom. He is also an accomplished entrepreneur having successfully launched vibrant enterprises including the Nortonbridge Capital and Orofini Jewellery.

Mr. Rizwan has an MBA from the Cranfield School of Management, United Kingdom and he has successfully completed the programme on Advanced Corporate Financial Strategies at the Kellogg School of Management, Illinois, USA. Mr. Rizwan is also a member of the Association of Chartered Certified Accountants (ACCA – UK), Chartered Institute of Management Accountants (CIMA – UK) and Chartered Institute of Marketing (CIM – UK).



MR. SYED RIZWAN HUSSAIN
INDEPENDENT NON-EXECUTIVE DIRECTOR

Mr. Rizwan Hussain is an industry stalwart with over 30 years' experience. He also is a seasoned CEO with an industry leading company in Pakistan, expert at leading cross-functional teams, managing result-oriented departments, ensuring corporate governance. He holds multiple Board Member positions at reputed companies and leverages management and visionary leadership expertise for driving long-term strategies aimed at excelling companies' top-line and bottom-line. He is serving as an Independent Non-Executive Director of Amāna Takaful PLC. Alongside his several accolades, he is an MBA & a Certified Director.



MR. M ZULFICAR GHOUSE
INDEPENDENT NON-EXECUTIVE DIRECTOR
(APPOINTED W.E.F. 3RD JUNE 2021)

Mr. Zulficar Ghouse, a Fellow Member of the Chartered Accountant - Sri Lanka and trained at KPMG and also a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka. Since 2009, functioning as the Executive Director of Expack Corrugated Carton Limited, a leading Corrugated Carton Manufacturer. Previously was employed as Director/CEO of Asiabike Industrial Limited, a BOI approved company is the pioneer in the manufacture of bicycles in Sri Lanka

Zulficar has extensive experience in private sector organisations local and overseas. His previous appointments were as Director /CEO of Colombo Land & Development Co Limited and prior to that he was Managing Director of iIOM Lanka (Pvt) Limited and as Country Manager of iOM Philippines In which was subsidiary of Royal Clicks Limited, a company listed on the Singapore Stock Exchange. He was also employed as Group Financial Controller of the Expolanka Group. Was Independent Director at Vidullanka from 2007 to January 2019. Vidul Lanka PLC company, Muvumbe Hydro (Uganda) Limited, Norfolk Foods Pvt Ltd, Vidul Engineering Pvt Ltd, Gurugoda Hydro Pvt Limited, Muvumbe Hydro (Uganda) Limited & Lower Kotmale Oya Hydro Pvt Ltd.



MS. DEEPTHIE WICKRAMASURIYA
INDEPENDENT NON-EXECUTIVE DIRECTOR
(APPOINTED W.E.F. 22ND DECEMBER 2021)

Ms. Deepthie currently serves as an Independent Non-Executive Director and the chairperson of the Audit Committee of Vidullanka PLC. She is also an independent consultant mainly in the fields of business process management, treasury management and business counseling, at Board / senior management levels. Counts over 35 years of corporate experience that ranges across many industries and countries including the United Kingdom, Singapore, India, Indonesia & the Fiji Islands. She is renowned for successfully leading special projects (locally & internationally) relating to organisational strategy, operations, finance, risk & governance. She has been a board member/advisor to the boards of many companies. She also held the post of vice president of the Sri Lanka Army Medical Corps Seva Vanitha Unit from 2012 -2015. Deepthie is a Fellow Member of the Chartered Institute of Management Accountants (CIMA), UK, and holds an MBA from the University of Sri Jayawardenepura, Sri Lanka.

Management Team



SHEHAN FEISAL
Chief Executive Officer



**ZAID IBNU
ABOOCKER**
General Manager –
Operations



RINAZ NIYAS
Head of Finance &
Compliance



M. FARHAN JABIR
Head of Human Resources &
Secretary to the Board



NOUSHAD CASSIM
Deputy General Manager –
Sales (Metropolitan)



RIZVAN AHAMED
Assistant General Manager
General Underwriting & Re
Takaful



**NALIN
SAKALASOORIYA**
Assistant General
Manager – Motor Claims



MOHAMED YUSUFKHAN
Head of Branch Distribution

Other Management Team



ZAKIR KANAKA
Senior Regional Manager
– Corporate & Broker
Development



LUQMAN NIZAMDEEN
Regional Manager –
(Western II)



TASLEEN AMMON
Senior Sales Manager –
Corporate



SULUKI KUTHDOOS
Regional Manager –
(Western I)



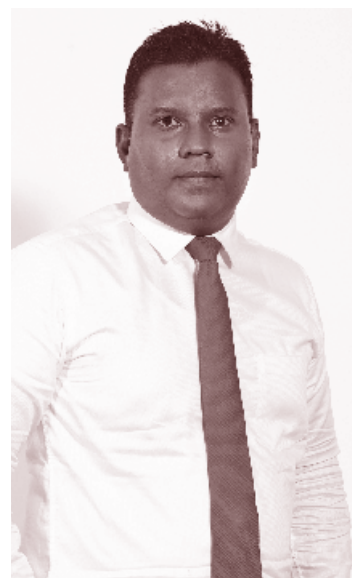
**JANAKA
WIJAYAKUMARA**
Senior Regional Manager –
Southern



M. RAMAKRISHNAN
Manager – Micro & Retail
Products



M.F.M. HISMY
Regional Manager –
Eastern



**KAILAYANATHAN
RAJANIKANTH**
Cluster Manager –
Northern

Other Management Team



THILAK NISHANTHA
Senior Manager - Human
Resources & Branch
Operations



FAIQUE HASSEN
Senior Manager – General
Underwriting & Re-Takaful



RUSHDI ZAROOK
Manager – Legal



AHMED AJFAR
Manager - Information
Technology



JAWFER-US SADIK
Manager - Re Takaful



**SHAHEER
RASOOLDEEN**
Senior Manager -
Relationship Management
Unit & Key Accounts



HARINDRANI BOWATTE
Manager - Motor Claims



CHAMARA DE SILVA
Manager – Underwriting
(Motor & Medical)



NAWAZ BADURDEEN
Manager – Shariah
Department



HUSSAIN HOMAMED
Manager – Non Motor
Claims



FAZIL CAFFOOR
Manager – Medical Claims



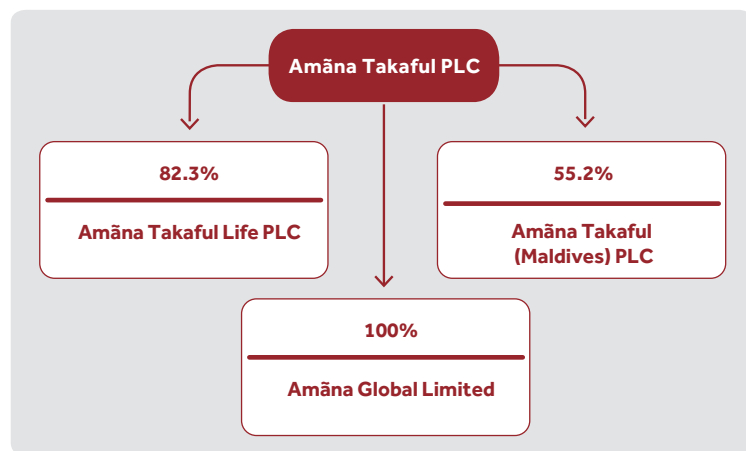
HASHMATH HUZAIR
Assistant Manager -
Internal Audit

Group Overview

Amāna Takaful PLC (ATPLC)

Amāna Takaful PLC founded in 1998 as a Composite Insurer with a paid-up share capital of Rs.30 Mn, recording Rs.4 Mn GWP revenue in its first year of operation. At present the expanded group records an annual GWP of Rs.4.1 Bn, equity of Rs.1.8 Bn, 26 branches, 226 full time employees and retains its dominant position in the Takaful insurance space in Sri Lanka and Maldives.

With a public listing in 2006 ATPLC has three subsidiaries, namely Amāna Takaful Maldives PLC (AT-Maldives), Amāna Takaful Life PLC (AT-Life) which followed as public listed entities in 2011 and 2016 respectively and Amāna Global Ltd, which is a BOI registered Technical Advisory. Prior to the listing of the subsidiaries, AT-Maldives commenced operations in Malé the capital of the Maldives in 2005 whilst AT-Life remained within the composite until 2014.



Sri Lanka – Macro Economic Position

Central Bank of Sri Lanka (CBSL) statistics indicate weak economic growth across most key sectors of the economy in 2019. Data released by the CBSL show that the agriculture sector recorded marginal growth of 0.6% in 2019, while the service and industrial sectors grew by 2.3% and 2.7% respectively. Sri Lanka's overall growth prospects were severely affected by the Easter Attack in April 2019, which was the main reason behind the Country's GDP growth slowing to 2.3% in 2019, from 3.3% in 2018. On a positive note, the exchange rate showed greater stability in 2019, after reporting a significant depreciation in 2018.

Workers' remittances which is a leading source of foreign exchange for the country, also declined in 2019, while income from the Tourism sector fell sharply as a direct consequence of the Easter Sunday attacks. However driven by the apparel sector which received a strong boost from the reinstatement of GSP+ concessions, the Country's export income grew by 0.4%, year-on-year, to US dollars 11,940 Mn for the twelve months ending December 2019. Import expenditure meanwhile declined by 10.3% to US dollars 19,937 Mn for the same period. A combination of the higher export income and lower import expenditure led to a notable US dollar 2,346 Mn contraction in the trade deficit. Consequently the trade deficit for 2019 stood at US dollars 7,997 Mn, in comparison to US dollars 10,343 Mn at the end of 2018.

Industry Overview

The performance of local general insurance industry continues to be tied to the local vehicle market, especially given that Motor Insurance is the single largest contributor to the industry's premium. The local vehicle market has remained depressed for the past few years mainly as a result of the Government's programme of fiscal prudence and good governance initiated in 2015. Due to this process Policy Interest rates have remained high since 2018 causing severe credit restrictions that have continued to negatively impact the vehicle finance and leasing business for the past few years. Additional taxes on vehicle imports introduced through the Budget 2019 have also adversely impacted the vehicle market.

Amidst these challenges, Motor premiums grew at a slower pace of 2.49% in 2019 to reach Rs.64.46 Bn, compared to Rs.62.89 Bn reported in the previous year. Premium income from the Non-Motor segment increased to Rs.36.29 Bn, a 10.83% growth YoY. Within the non-motor segment, Medical Premiums recorded a growth of 17.48% YoY to reach Rs.11.9 Bn. Meanwhile the general insurance industry as a whole reported Gross Written Premiums (GWP) of Rs.100.7 Bn in 2019. Of this 63.98% was attributed to Motor premiums.

The rate of Insurance penetration in the country stands at less than 1.31%. The severe under penetration in the market continues to offer considerable opportunities for the development of the Industry in the years ahead. Furthermore the Government's Vision to "make Sri Lanka an upper-middle income country by 2025" and position the country as the Hub of the "Indian ocean" are a few of the other important factors that the Insurance industry would need to consider in its future growth strategy.

Business Performance Review

Group Performance

The Group's GWP of Rs.4.1 Bn is a dip in its gross written premium of -3.09% in comparison to the previous year due to adverse environmental factors such as the Pandemic. A profit of Rs.222 Mn was experienced in 2020 amidst unfavorable external situations due to corrective measures implemented by the management resulting in a successful turnaround. (2019 – loss of Rs. -277.17 Mn).

ATPLC has experienced a slight growth in its Gross Written Premium (GWP) by 0.41% to Rs.1.8 Bn over the previous year, striving in maintaining its market share and position. A profit before tax of Rs.38.8 Mn was recorded for 2020, as compared to the loss of Rs. -381.4 Mn the previous year. This is in the backdrop of 2020 being a very turbulent year caused by the Pandemic and its ripple effect faced throughout the nation and a climate of political uncertainty.

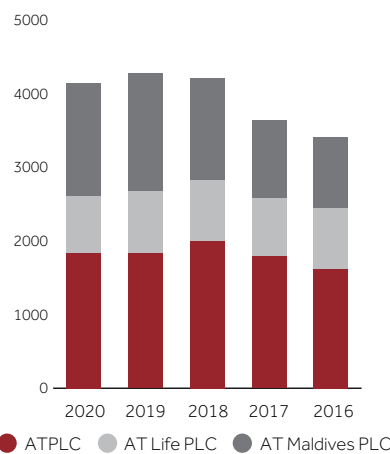
AT-Life GWP records a dip in GWP of -9.87% in 2020 to Rs.767.23 Mn compared to a growth of 3% for 2019, due to the unfavourable external events during the year which impacted the top line. The Company posted Loss before tax of Rs. -34.71Mn a slight increase in loss over the previous period.

AT-Maldives Posted a GWP of Rs.1.5 Bn, a -3.81% dip in GWP. However, a profit before tax of Rs.277.58 Mn for the year 2020 consisting of a 61% growth was achieved.

ATPLC Group GWP Segmental growth over the last five years is depicted in the chart below:

Gross Written Premium

RS. MN

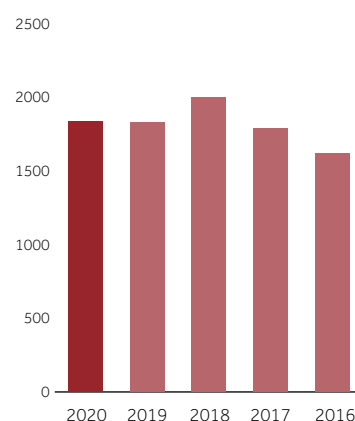


Amāna Takaful General

ATPLC experienced a growth in terms of top line by 0.41% in 2020 compared to the dip of -8.49% in 2019, the growth in GWP for the last five-year period is given below:

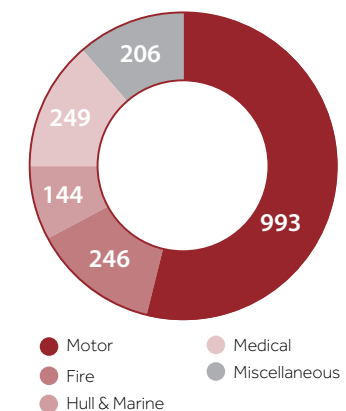
ATPLC GWP

RS. MN



Motor and Non Motor Mix in GWP

RS. MN



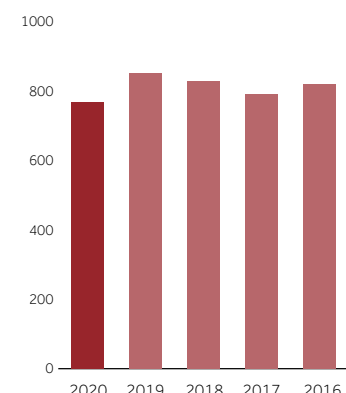
Amāna Takaful Life

AT-Life has completed its 6th year of operation as a separate entity in 2020. The chart below depicts the growth in Gross Written Premium over the last five years:

*AT-Life GWP declined by -9.87% in 2020 as compared to a growth of 3% for 2019. Since 2017, a positive growth in GWP on a sales portfolio has been achieved up until 2019. The decline in 2020 was mainly due to the pandemic.

AT Life PLC GWP Breakdown

RS. MN



Business Performance Review

Gross Written Premium

	2020 Rs. Mn	2019 Rs. Mn	2018 Rs. Mn	2017 Rs. Mn	2016 Rs. Mn
ATPLC	1,839	1,832	2,002	1,792	1,618
AT Life PLC	767	851	828	792	821
AT Maldives PLC	1,537	1,598	1,383	1,056	968

Motor and Non Motor Mix in GWP

	2020 Rs. Mn
Motor	993
Fire	246
Hull & Marine	144
Medical	249
Miscellaneous	207
Total	1,839

Investment Income

The Group reports an investment income of Rs.388.22 Mn in 2020, which is a growth of 2.64% as a result of efficient Investment assets during the period. The group is positive of maintaining a profit growth momentum from 2021 onwards.

Profitability

ATPLC recorded a Profit before tax of Rs.38.76 Mn for the year 2020, as compared to the loss before tax loss of Rs. -381.49 Mn for the year 2019.

AT-Life, in its six year of independent operations, recorded a loss before tax of Rs. -34.71 Mn for 2020 an increase in loss compared to the Loss before tax of Rs.29.11 Mn in 2019.

AT-Maldives recorded a profit before tax equivalent to Rs.277.58 Mn for the year 2020, a 61% growth compared to Rs.172.98 Mn in 2019

The Group recorded a Profit before tax of Rs.222.42 Mn for 2020 compared to a loss of Rs.277.17 Mn in 2019.

Risk Management and Risk-based Capital

The Company has implemented a detailed Enterprise Risk Management Framework, which is reviewed periodically. A detailed Business Continuity Plan (BCP) supplemented by a Disaster Recovery Plan (DRP) is regularly updated and validated. All control procedures are monitored at the level of Department Heads. The meetings of the Risk Management Committee of the Board are held every quarter.

The Solvency Margin (Risk Based Capital) requirements pertaining to both Amāna Takaful PLC and Amana Takaful Life PLC have been met as at 31.12.2020.

ISO Re-certification

ATPLC successfully obtained ISO 9001:2015 recertification. ISO certification entails routine quality and management related auditing by an external ISO accreditation body. DNV the renowned Norwegian ISO certification Agency being our ISO accreditor conducted such auditing process, the criteria of which we successfully surpassed.

Presently we are the only insurance company to maintain the ISO accreditation.

Human Resources



Our People – Our Future!

2020 was a year of great uncertainty with the emergence of the global pandemic – turmoil, economic downturn, pay cuts – to job losses, a time like no other in our lives.

Amidst all this, there was hope and many positives that came about as a result. COVID-19 reset and reprioritised what is most important to us, both “individually” and collectively as a “Corporate entity”. On the brighter side – COVID was responsible for Global Digital Transformation initiatives, reduction in global CO2 emissions, heightened hygiene initiatives, helped industries shift to Work-from-Home (WFH) and resulted in other cost optimising measures among many other positives.

Amāna Takaful sustained the business during these challenging times, by devising several effective and timely strategies. These included cost reduction measures, taking care of our staff and reassuring them of their job security, with no diminishment in remuneration. Customers were engaged and given the comfort that their requirements were attended to.

As an equal opportunity employer, ATL is well positioned to appeal to all segments and affinity groups across the socio-economic fabric of our nation.

Attracting, nurturing and retaining a competent workforce has always ensured the pristine quality of our human capital.

The introduction of the new Sales Standardisation and Progression Matrix, along with the rehashed Sales Incentive and Commission Structure, ensured a boost in morale and performance in the sales teams. Due attention was given to managing staff attritions at acceptable levels in managing regrettable losses.

ATL’s openness to gender, ethnic diversity and fostering a culture that is tolerant and mutually inclusive has been a key element in our value creation process.

The work environment at Head office and the branch network is reflective of an open, inclusive and stimulating ambience for our employees and customers alike. Employees at all levels have the opportunity to interact openly with Management.

Today the Group has 304 full time employees based at the Head office and island-wide branch network.

Towards our goal in developing and fortifying a sustainable business model, we have aligned the Human Resources Strategy to the organisation’s Corporate Goals. Hence, it becomes critically important to ensure we have the right people, with the right skills, at the right place at the right time, in catering to the requirements of all our stakeholders.

EMPLOYEE ANALYSIS

Staff Distribution by Province

	2019 No.	%	2019 No.	%
Central	16	8%	17	8%
Eastern	11	5%	12	5%
North Central	0	0%	0	0%
North Western	19	9%	20	9%
Northern	4	2%	4	2%
Southern	6	3%	7	3%
Sabaragamuwa	1	0.47%	3	1.33%
Western	156	73%	163	72%
Total	213	100%	226	100%

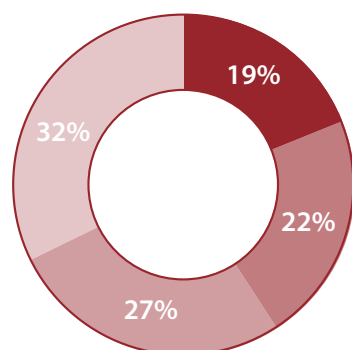
Service Analysis of Staff 2020

Years	Senior Management	Middle Management	Executives	Non Executives	2020 Total
2 and below	3	9	32	0	44
3 - 5	0	11	38	0	49
6 - 10	1	24	33	2	60
Above 10	3	35	30	5	73
Grand Total	7	79	133	7	226

Human Resources

SERVICE ANALYSIS OF STAFF - 2020

[%]



● 2 years & below ● 6 - 10 years
● 3 - 5 years ● Above 10 years

Staff Strength	2019	2020
Senior Management	11	7
Middle Management	75	79
Executives	120	133
Non Executives	7	7
Grand Total	213	226

Labour Turn Over	2018	2019	2020
No. of Staff resigned/ terminated	34	30	24
Avg, no of staff during the period	234	227	221
Labour Turn Over (%)	14.53	13.22	10.86

Benefits Philosophy

It is ATL's philosophy to provide competitive benefits to its employees. The organisation is committed to monitor its benefit offerings, in ensuring it meets the needs of its employees and their families.

→ Personal Accident, Surgical & Hospitalisation Insurance

Designed for employees to manage medical expenses due to unexpected

accidents or hospitalisations, ATL provides coverage for employees through the Group Life, Surgical/ Hospitalisation, OPD and Child Birth Insurance Cover.

→ OPD Treatment Reimbursement

ATL reimburses medical expenses incurred for any OPD related expenses up to the employee's annual entitlement limit. This includes specialist consultations, drugs & laboratory investigations etc.

→ Employees Provident Fund and Employees Trust Fund Scheme

As per the rules stipulated by the Employee Provident Fund and Employees Trust Fund Act, ATL contributes 12% of Basic Salary towards the Employee Provident Fund and 3% towards Employee Trust Fund scheme.

→ Employees Gratuity Scheme

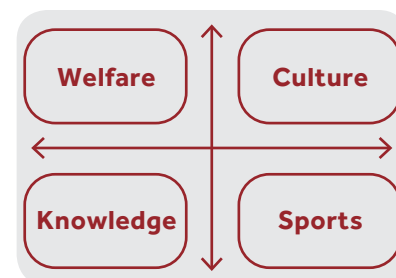
Full-time employees who have completed a minimum of 5 years continuous service or more are eligible for gratuity as per the Payment of Gratuity Act No.12 of 1983.

→ Amana Takaful Welfare Association – ATWA

Individuals joining ATL are automatically enrolled as members of ATWA. ATWA was founded in 2002 and is run by a committee of staff members, supported by ATL Management.

→ ATWA forms an integral part of our company and ensures that staff are engaged in different activities and events organised throughout the year, in a spirit of engagement and bonhomie.

ATWA's mandate covers:



→ OPEN DOOR POLICY

We foster an Open-Door Policy in promoting transparent and open communication. Staff are encouraged to engage their line managers/ superiors, HR department or any member of the senior management or executive staff regarding any work-related concern. It is our goal to resolve such issues in an amicable method through such open discussions.

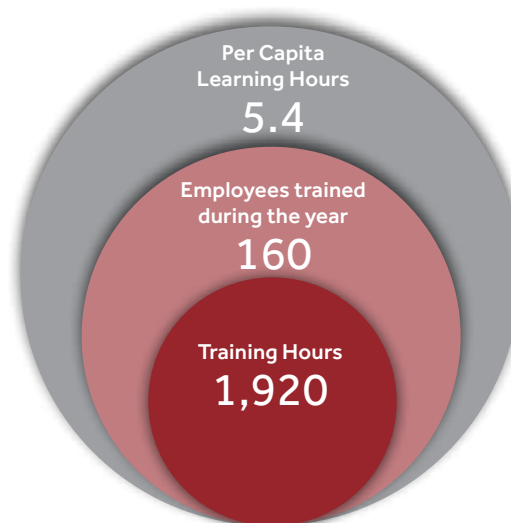
→ We invite and encourage a free and continuous exchange of information and welcome employee's suggestions and ideas. These meetings are typically informal and an open dialogue is encouraged.

→ The Internal Communications Unit (ICU) too serves as a robust interface in communicating relevant information to staff on important events, company and staff achievements in a timely manner.

LEARNING & DEVELOPMENT

The organisation's learning and development initiatives play a pivotal role in employee motivation, engagement and retention. Our aim is to foster a culture of learning, thereby enabling our employees to grow and succeed not only in their careers but also be value adding citizens. We ensure that employees are exposed to relevant training and development programs stemming from the Training Needs Analysis (TNA). This ensures their knowledge, skills and attitudes are sharpened and relevant to perform effectively in their current roles whilst preparing them to take on greater responsibility in the future where applicable.

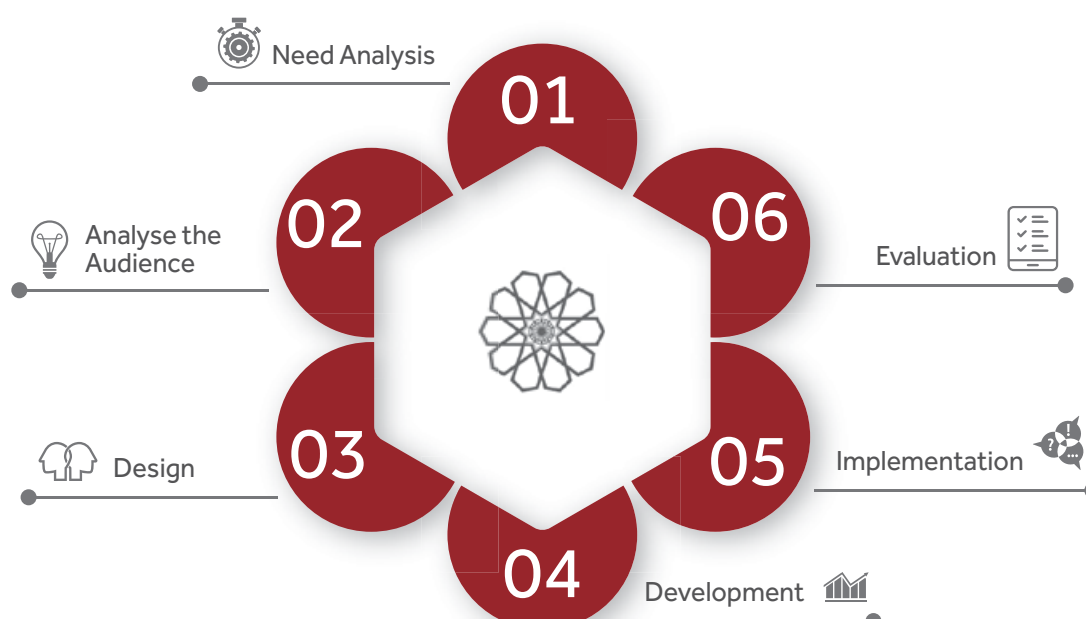
New employees joining the company undergo structured training, ensuring they are brought up to speed about the company, its values and unique selling process.



Technical and Sales Training:

In addition to soft skills training, emphasis is given to enhance the technical competencies and selling skills of our staff as appropriate. Despite challenges faced during the height of the pandemic in 2020, staff were provided with technical and other relevant trainings through online zoom sessions.

Training and Development Model:



Corporate Social Responsibility

Scholarships

Amana Takaful Insurance came forward to financially support university students who gained admission to various universities. This monthly stipend that will continue for 5 years shall help meet educational and living expenses during the students' course of study.

The students were selected from different districts in the country, and are members of financially deprived households. Their parents are currently engaged as labourers, fruit sellers and street vendors.

Regular follow-ups are done and students are required to inform the company of their academic progress. Senior Management meet with the students and parents to review the students' progress.

Corporate Governance

Corporate governance that nurtures a culture of transparency, accountability and integrity plays an integral part in ensuring growth and stability. It is through the adoption of the highest of such standards that we continue to enjoy the trust and confidence of all our stakeholders.

The present business environment has become more challenging. Therefore, Amāna Takaful PLC and the Group strongly believe that it is vital for the Company and the Group to adopt the highest standards of corporate governance. This would nurture a culture of transparency, accountability and integrity which are essential prerequisites in ensuring the Company's survival and growth in a competitive market.

Corporate governance is described as a management process in which a corporate, business entity or company is directed, managed and controlled. It is a concept which is now increasingly entrenched in the business world. In any company, where the shareholders have placed the reigns of power in the hands of the Directors, it naturally follows that the Directors are accountable to the shareholders. To ensure that the trust placed in the Directors is secure, a company must adhere to the best corporate governance practices which embody integrity, accountability and transparency. Nevertheless, the success of any good governance practice initiative depends on how the people are led and the policies as well as how the processes are implemented.

In order to create shareholders' wealth and gain market confidence, Amāna Takaful PLC is committed to adopting best practices. It is also committed to maintain, the smooth functioning of the Company's operations.

Capital Structure and Shareholding

Amāna Takaful PLC has at its foundation a capital structure consisting of an issued share capital of Rs. 1,860,001,339/-. The Company has 5,309 shareholders, while the majority shares are held by individuals. Details of the main shareholders are given on page 145.

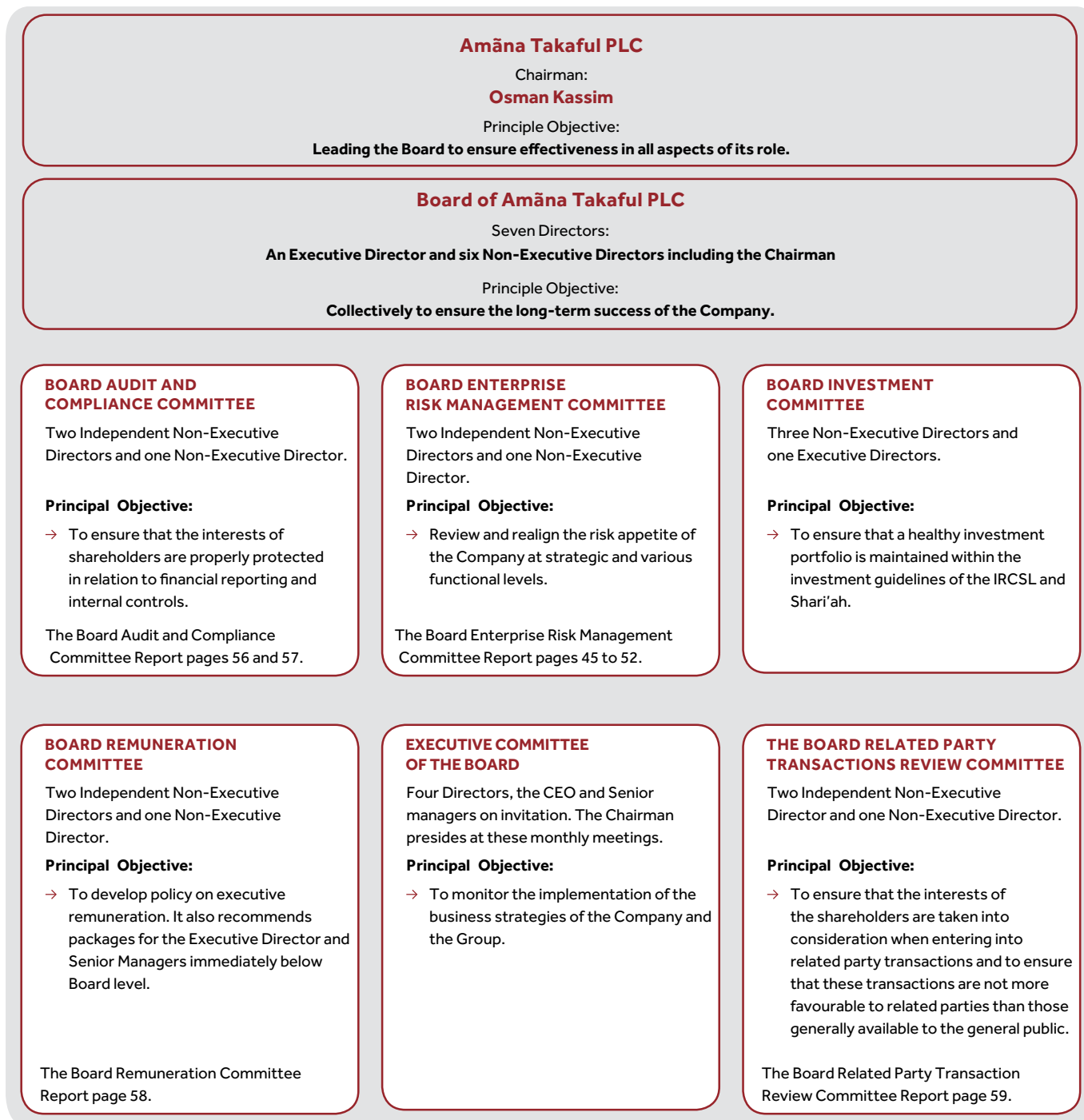
Board of Directors and Board Committees

There are seven Directors on the Board of Amāna Takaful PLC, of whom six Directors hold office in non-executive capacity and one Director in Executive Capacity as at the reporting period. The Board of Directors has been drawn from a cross-section of industries/disciplines. Their expertise and experience in various fields as well as insights, have contributed immensely to making effective and informed Board decisions. The selection of the appropriate and suitable candidates with the right skills and attributes is crucial in order to ensure its efficiency and effectiveness. For it is believed that a healthy Board culture will help to encourage and safeguard good governance practices, which in turn will ensure shareholders' interests are always protected. The names of the Board of Directors are given on page 54.

Corporate Governance

Corporate Governance Framework

Amāna Takaful PLC and the Group operate within a clear governance framework, which is outlined in the diagram below and set out in this Report :



Board Composition

The Board currently comprises 7 Directors. The composition of the Board and its committees are regularly reviewed by the Board and in particular, by the Nominations Committee to ensure that there is an appropriate balance and diverse mix of skills, experience, independence and knowledge of the Group. More details of our Board members can be found on pages 23 to 25.

The Board is collectively responsible for the long-term success of the Group. The Executive Committee is responsible for running the business operations and ensuring that the necessary financial and

human resources are in place in order to achieve the Company's strategic aims.

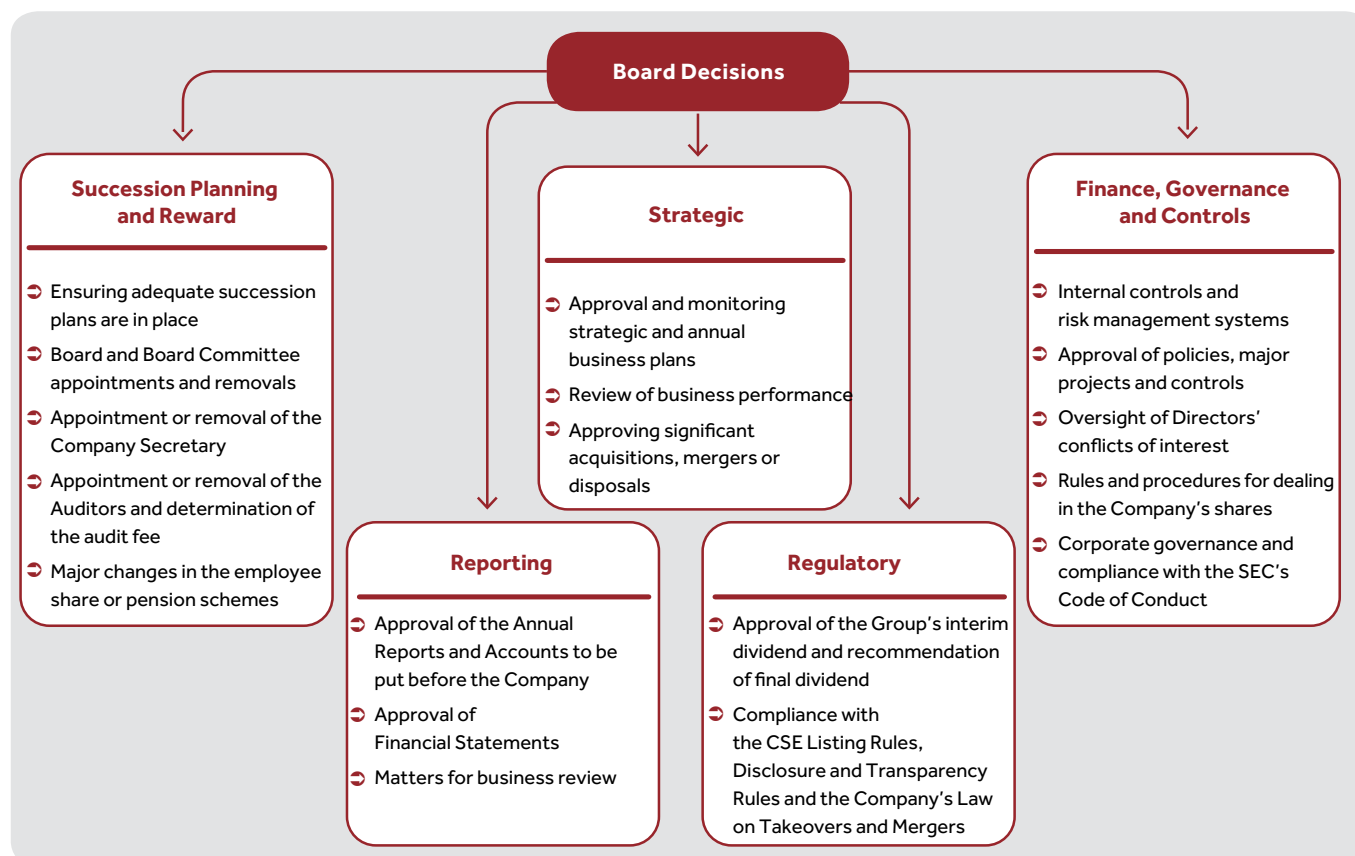
The Non-Executive Directors are responsible for constructively challenging and helping develop proposals on strategy; scrutinising the performance of management; satisfying themselves that financial controls and systems of risk management are robust; determining levels of remuneration; satisfying themselves on the integrity of financial information and succession planning.

The Board reviews strategic issues on a regular basis and exercises control over the performance of the Company by agreeing budgetary targets and monitoring performance against those

targets. Certain matters are reserved for approval by the Board and the Board has overall responsibility for the Group's system of internal controls and risk management, as described on pages 45 to 52. Following presentation by the Executive Management and a disciplined process of review and challenge by the Board, clear decisions on policy and strategy are adopted and the Executive Management is empowered to implement those decisions.

A formal schedule of matters reserved for Board approval is maintained, which covers items that are significant to the Group as a whole, due to their strategic, financial or reputational implications.

A summary of these matters includes:



Corporate Governance

The main functions of the Board of Directors are as follows:

- Formulate, review and monitor implementation of competitive business strategies, including long-term business plans.
- Ensure the appointment of a competent Chief Executive Officer, and an effective management team, including an evaluation of their performance, as well as review the Company's and the Group's succession plans.
- Secure a sound and an adequate risk management system.
- Review the integrity and effective information, control and audit systems.
- Adopt business practices that conform to "Shari'ah" principles.
- Approve policies of corporate conduct that continue to promote, maintain and sustain the integrity of the Company and the Group.
- Ensure compliance with legal/ethical standards.

Board Roles and Responsibilities Chairman

The role of the Chairman (or Chair) is to:

- Lead the Board to ensure effectiveness in all aspects of its role;
- Plan agenda items and timings for Board meetings;
- Ensure the membership of the Board is appropriate to meet the needs of the business;
- Oversee that the Board Committees carry out their duties including reporting to the Board;
- Establish appropriate personal objectives for the Chief Executive;
- Ensure Directors are up to date with training and development;

- Provide the information necessary for Directors to take a full and constructive part in Board discussions;
- Promote an open culture of debate; and develop and maintain effective communications with shareholders.

Chief Executive

The role of the Chief Executive Officer (or Chief Executive or CEO) is to:

- Run the day-to-day business and operations of the Company; Lead the development and delivery of strategy to enable the Group to meet the requirements of its shareholders;
- Lead and oversee the executive management of the Company; meet the Group's budget and strategic plans; and
- Provide the appropriate environment to recruit, engage, retain and develop the personnel needed to deliver the strategy.

Board Secretary

Under the direction of the Chairman, the role of the Board Secretary and his team is to:

- Ensure good information flows within the Board and its Committees and between Senior Management and Executive/Non-Executive Directors;
- Facilitate Director inductions and professional development;
- As requested, arrange independent professional advice for Directors at the Company's expense; and
- Advise the Board through the Chairman on governance matters.

The responsibilities of the Chief Executive Officer and the Chairman have been clearly established, adhering to best corporate governance practices. The responsibility and task of the Chairman

and the Chief Executive Officer are separated in order to facilitate better workings of the Company and the Group.

New Directors are nominated to bridge identified knowledge gaps. Such Directors are elected to the Board by shareholders at the Annual General Meeting. In accordance with the Articles of Association, 1/3 of the Directors retire annually and being eligible, offer themselves for re-election. The Board meets quarterly and the agenda is circulated to the Board members well ahead of the scheduled date. The Chairman of the Board as well as members chairing the various committees of the Board will outline the agendas for the Board and committee meetings respectively. Each Director or member is free to suggest items for the agenda or raise issues and concerns at these meetings.

Amāna Takaful PLC has outsourced its secretarial functions to a qualified company of secretaries.

The following Committees of the Board have been formed with the objective of improving governance; viz-

- Audit and Compliance Committee
- Risk Management Committee
- Investment Committee
- Remuneration Committee
- Related Party Transactions Review Committee
- Executive Committee

Each committee has a defined Terms of Reference approved by the Board, outlining the respective Committees' authorities and responsibilities. The Board may, from time to time, establish and maintain additional committees. All members of these Committees are expected to attend all meetings.

(i) The Board Audit and Compliance Committee

The Audit and Compliance Committee comprises of two Independent Non-Executive Directors and one non-Independent Non-Executive Director of the Board. This Committee is chaired by Zulficar Ghouse who is an Independent Non-Executive Director of the Company. The Managing Director, Chief Executive Officer, General Managers, relevant Senior Managers and Internal Auditors are invited to be present at the meetings. Exit meetings are held after each internal audit assignment with all concerned, where rectification actions are taken for any weaknesses described in the audit findings. The details of the Audit and Compliance Committee are provided in the Report of the Board Audit and Compliance Committee on pages 56 and 57.

(ii) The Board Risk Management Committee

The Risk Management Committee of the Board comprises three Non-Executive Directors, of which, two are Independent Directors. This Committee is chaired by Zulficar Ghouse, who is an Independent Non-Executive Director of the Company. The main function of this Committee is to review and realign the risk appetite of the Company at strategic and various functional levels. Further, the Committee also reviews the different risks that the Company is exposed to and recommends mitigation strategies for such risks.

A detail Report on the Risk Management Committee functions and its activities during the year 2020 are provided on pages 45 to 52.

(iii) The Board Investment Committee

The Investment Committee comprises Osman Kassim, M R M Nayeem, M H S Kassim and Zulficar Ghouse. The Committee ensures that a healthy investment portfolio is maintained

within the Investment Guidelines of the Insurance Regulatory Commission of Sri Lanka and Shari'ah Advisory Council, whilst optimising yield to meet investment income targets of the Company. The Committee convenes its meetings on a monthly basis.

(iv) The Board Remuneration Committee

The Remuneration Committee comprise three Non-Executive Directors of the Board, of which, two are Independent Directors. Details of remuneration paid to Directors are set out in Note 32 to the Financial Statements on page 118.

The Report of the Remuneration Committee is provided on page 58.

(v) The Board Related Party Transactions Review Committee

The Related Party Transactions Review Committee of the Board comprises three Non-Executive Directors of which two Directors are Independent as at Reporting date. This Committee is chaired by M R M Nayeem, who is an Independent Non-Executive Director of the Company.

The Chief Executive Officer and relevant Senior Managers are invited to be present at the meetings. The details of the Related Party Transactions Review Committee are provided in the Report of the Related Party Transactions Review Committee on page 59.

(vi) The Executive Committee of the Board

The Executive Committee or EXCOM is composed of five members of the Board and is chaired by Osman Kassim. Meetings are held once a month and the Committee is entrusted with the responsibility of monitoring the implementation of the business strategies of the Company and the

Group. The members of the Committee are as follows:

- (i) Osman Kassim – Chairman
- (ii) M H M Rafiq
(Retired w.e.f. 14 July 2020)
- (iii) M R M Nayeem
- (iv) M H S Kassim
- (v) M. Z. Ghouse
(Appointed w.e.f. 3rd June 2020)
- (vi) E.D. Wickramasuriya
(Appointed w.e.f. 22nd December 2020)

Ethical Standards

Amāna Takaful PLC aspires to adopt the highest ethical standards and adheres to the Code of Ethics for insurance companies in Sri Lanka, which contain the following elements:

- Honesty and fairness;
- Compliance with regulatory requirements;
- Accountability – provision of accuracy, timely and essential information to stakeholders;
- Avoiding conflict of interest;
- Professional judgement;
- Maintaining privacy and confidentiality of customer-related information;
- Corporate and Social Responsibility; and maintaining best practices in marketing and advertising.

The management encourages employees to adopt ethical practices during the Monthly Team Briefs.

Executive Management

The Chief Executive Officer deliberates strategic issues with the General Management Committee (GMC), which includes the CEO of the Family Takaful business, General Manager – Operations, Head of Finance, Head of Human Resource and the Head of Information

Corporate Governance

Technology and the Head of Compliance and Corporate Risk. Each of them, who head Strategic Business Units, drive their business functions aligned to the strategic plan, building capacity and capability. Corporate Governance and Compliance is a key function of the GMC.

The Company's performance dashboard is a key evaluation and measurement tool in this process.

Internal Controls

The Board of Directors acknowledges the imperative of a sound and strong internal control environment for the purpose of attaining good governance. The internal control system, among others, covers risk management and organisational, operational, financial, compliance and business development controls. Towards this end, the Board has entrusted the responsibility of establishing an effective internal control system to the Audit and Compliance Committee, which is also responsible for the regular monitoring of such controls. In addition, an in-house audit team conducts internal audit on the systems and various aspects of the operations, in accordance with the

risk-based principle. The findings are conveyed to the Audit and Compliance Committee, which, in turn, briefs the Board on areas of concern.

Compliance with "Shari'ah" Requirements

Amāna Takaful PLC takes the utmost care in adhering to "Shari'ah" principles. A Shari'ah Unit has been set-up internally to carry out quarterly reviews on the policies and operations of the Company. The Unit also conducts regular training programmes to members of staff in order to disseminate the knowledge of Shari'ah, in particular the operation of Takaful and Islamic finance in general. The Statement of Compliance is a part of the Annual Report and is provided on page 60.

Regulatory Compliance

The Audit and Compliance Committee is responsible for regulatory compliance. In addition, a Compliance Unit has been set-up to monitor and investigate into all compliance-related matters across the Organisation. It keeps a close track of all new legislations, regulations etc., beside notifying and guiding the respective departments accordingly.

Relationship with Stakeholders

The Board of Directors, discloses policy decisions and operations affecting shareholders through its Quarterly Financial Reports and Annual Reports.

The Board entertains questions from shareholders at the Annual General Meetings, ensuring shareholder participation and interaction.

The Management holds monthly Team Briefs, at which, employees are briefed of the policies, goals and values of Amāna Takaful PLC and their views and suggestions are sought and evaluated.

Amāna Takaful PLC believes in serving its customers beyond their expectations. An interactive website provides access to the general public on the Company's activities.

Solvency Requirements

The Solvency Margin (Risk-Based Capital) requirements pertaining to Amāna Takaful PLC has been maintained as per the Solvency Margin (Risk-Based Capital) Rules 2015.

Corporate Governance Disclosures Under Colombo Stock Exchange (CSE) Rules in Relation to Directors of the Company

Areas of Compliance	Current Status	Remarks
Board of Directors	Executive Directors M Hassan Sattar Kassim – Managing Director (Appointed w.e.f. 2 March 2020 as MD)	All members of the Board except one member serve in the capacity of Non-Executive Directors. The Company has complied with the CSE Listing Rules 7. 10. 1.
	Non-Executive Directors Osman Kassim – Chairman M H M Rafiq (Retired w.e.f. 14 July 2020) Dato' Mohd Fadzli Yusof (Retired w.e.f. 14 July 2020) Dr. A A M Haroon M R M Nayeem S Rizwan Hussain M. Zulficar Ghouse (Appointed w.e.f. 3rd June 2020) E.D. Wickramasuriya (Appointed w.e.f. 22nd December 2020)	

Areas of Compliance	Current Status	Remarks
	Independent Directors S Rizwan Hussain M R M Nayeem M. Zulficar Ghouse E. D. Wickramasuriya	All Non-Executive Directors have submitted the annual declaration of their independence or non-independence. The Board reviewed the declarations and determined the Independent Directors of the Company as per Rule 7.10.3 (a) The Board comprises of four Independent Directors out of six Non-Executive Directors, by the end of 2020. The Company has complied with the CSE Listing Rules 7. 10. 2
Remuneration Committee	Dr. A.A.M. Haroon - Chairman Syed Rizwan Hussain Zulficar Ghouse Dato' Mohd Fadzli Yusof - (Retired w.e.f 14th July 2020) M.H.M. Rafiq - (Retired w.e.f 14th July 2020)	This Committee comprised of three Non-Executive Directors as at reporting date, of whom, two are Independent. The Company has complied with the CSE Listing Rules 7. 10. 5
Audit and Compliance Committee	Zulficar Ghouse – Chairman Syed Rizwan Hussain Dr. A.A.M. Haroon Dato' Mohd Fadzli Yusof – (Retired w.e.f 14th July 2020) M.H.M. Rafiq - (Retired w.e.f 14th July 2020) M.H.S. Kassim - (Appointed as Managing Director and ceased to be a member of the committee w.e.f. 2 March 2020)	This Committee comprised of three Non-Executive Directors of which two are Independent Non-Executive directors at reporting date. Mr. M H S Kassim, Non-Executive Director was appointed as the Managing director w.e.f. 2 March 2020. The Company has complied with the CSE Listing Rules 7. 10. 6
Related Party Transactions Review Committee	M. R. M. Nayeem – Chairman Dr. A.A.M. Haroon M. Zulficar Ghouse M.H.M. Rafiq - (Retired w.e.f 14th July 2020)	This Committee comprises of two Independent Non-Executive Directors and one Non-Independent Non-Executive Director. The Company has complied with the CSE Listing Rules 9. 2. 2

Corporate Governance

Compliance with IRCSL Direction # 17 on Corporate Governance

The Company has ensured compliance with the above guidelines except for the limitation on period of service of directors for 9 years and the age limit. As of the reporting date 2 directors have service period in excess of 9 years. The Company has initiated actions to comply with the requirements within the grace period of 30 June 2021 stipulated in these Rules.

Directors' Attendance at the Meetings

Name of the Director	Board Meetings		Audit Committee Meetings		Remuneration Committee Meetings		Related Party Transactions Review Committee Meetings	
	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended	Held/ Applicable	Attended
Osman Kassim – Chairman	4	4						
M Hassan Sattar Kassim	4	4	1	1				
M H M Rafiq (Retired w.e.f. 14 July 2020)	2	2	1	1	1	1	1	1
Dato' Mohd Fadzli Yusof (Retired w.e.f. 14 July 2020)	2	2	1	1	1	1		
Dr. Aboobacker Admani Mohamed Haroon	4	3	2	2	2	2	2	2
M R M Nayeem	4	4					3	3
Syed Rizwan Hussain	4	3	2	2	1	1		
M. Zulficar Ghouse (Appointed w.e.f. 3rd June 2020)	2	2	2	2	1	1	2	2
E. D. Wickramasuriya (Appointed w.e.f. 22nd December 2020)								

Enterprise Risk Management

As the pioneer Takaful Company, risk management is at the heart of what we do and is the source of value creation as well as a vital form of control. It is an integral part of maintaining financial stability for our customers, shareholders and other stakeholders. Our sustainability and financial strength are underpinned by effective risk management, which allows us to prepare for future challenges, move speedily and facilitate better decisions for our customers, giving them peace of mind.

The Company's Risk Management Strategy is to operate within the risk appetite guidelines set by the Board Risk Committee and approved by the Board of Directors, which are then reviewed on a quarterly basis, with an eye on the changing corporate risk environment. Given the increased level of assertiveness required in the Risk-Based Capital regime and the connected risk involvements, the Company revisited the current Risk Management Model and widened its scope to an Enterprise Risk Management (ERM) Framework. The Risk Management Unit carries out the risk management process with involvement of departments, managers and executives on the ERM Framework.

Though the risk elements are managed on a daily basis at operational levels, the Risk Management Committee (RISCO) formally monitors the Key Risk Indicators through Enterprise Risk Registers for both Life and General segments separately since 2014. This section elaborates the Company's Enterprise Risk Management Framework and the Key Risk Management activities carried out during 2020.

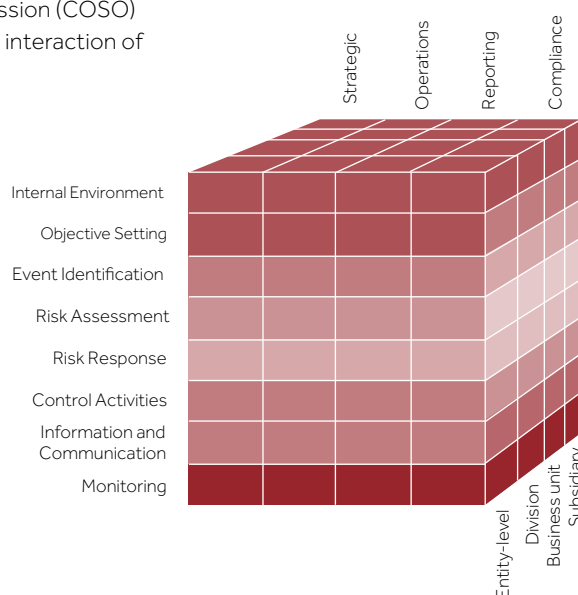
What is Enterprise Risk Management?

ERM is yet an emerging topic in this part of the world thus needs repeated explanations and elaborations for our society both internally and externally. ERM has formally been defined as "the identification and assessment of the collective risks that affect firm value, and the implementation of a firm-wide strategy to manage those risks"

(Meulbroek 2002). Collective risks refer to risk categories such as the one profiled in Committee of Sponsoring Organisations of the Treadway Commission (COSO) ERM cube, as well as the interaction of risks over time.

COSO and framework which was published in 2004 in the US defines ERM:

"...a process, effected by an entity's Board of Directors, management and other personnel, applied in strategy setting and across the enterprise, designed to identify potential events that may affect the entity, and manage risks to be within its risk appetite, to provide reasonable assurance regarding the achievement of entity objectives."



Enterprise Risk Management

The underlying premise of enterprise risk management is that every entity exists to provide value for its stakeholders. All entities face uncertainty and the challenge for management is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Enterprise risk management enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

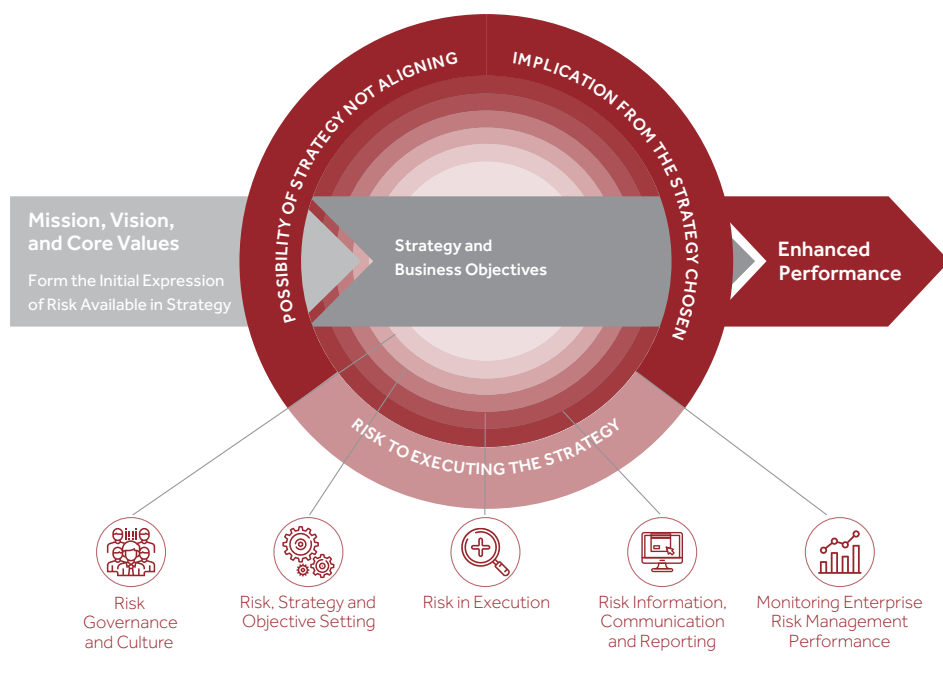
- Value is maximised when management sets strategy and objectives to strike an optimal balance between growth return goals and related risks, and efficiently and effectively deploys resources in pursuit of the entity's objectives. Enterprise risk management encompasses –
- Aligning risk appetite and strategy – Management considers the entity's risk appetite in evaluating strategic alternatives, setting related objectives, and developing mechanisms to manage related risks.
- Enhancing risk response decisions – Enterprise risk management provides the rigour to identify and select among alternative risk responses – risk avoidance, reduction, sharing, and acceptance.
- Reducing operational surprises and losses – Entities gain enhanced capability to identify potential events and establish responses.
- Reducing surprises and associated costs or losses.

- Identifying and managing multiple and cross-enterprise Risks – Every enterprise faces a myriad of risks affecting different parts of the Organisation, and enterprise risk management facilitates effective response to the interrelated impacts, and integrated responses to multiple risks.
- Seizing opportunities – By considering a full range of potential events, management is positioned to identify and proactively realise opportunities.
- Improving deployment of capital – Obtaining robust risk information allows management to effectively assess overall capital needs and enhance capital allocation.

These capabilities inherent in enterprise risk management help management achieve the entity's performance and profitability targets and prevent loss of resources.

Enterprise risk management helps ensure effective reporting and compliance with laws and regulations, and helps avoid damage to the entity's reputation and associated consequences. In summary, enterprise risk management helps an entity get to where it wants to go and avoid pitfalls and surprises along the way.

Enterprise risk management is as much about understanding the implications from the strategy and the possibility of strategy not aligning as it is about managing risks to set objectives. The figure below illustrates these considerations in the context of mission, vision, core values, and as a driver of the company's overall direction and performance.



Definitions of Risk and Risk Management

Risk in general could be defined as “The combination of the probability of an event and its negative consequences”, in other words, the barriers in meeting the corporate objectives.

Risk management can be defined as “An efficient and effective process of minimising risks in meeting stakeholder requirements”. However, enterprise risk management is not strictly a serial process, where one component affects only the next. It is a multi directional, iterative process in which almost any component can and does influence another.

Risks Faced by Insurance Companies

It appears that many organisations are experiencing pressure and recognising that change in the organisation's overall approach to risk oversight is warranted, with the status quo no longer acceptable. Insurance companies whose business model is based on risk management require special attention with regard to its management. As an insurance company, we identified the following risk categories as illustrated in the diagram below:

The risk management professionals refer to this as the “Risk Wheel”. The different colours and shapes illustrate the magnitude and angles of risks that each of the risk types carries with it.

Insurance Risk

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Underwriting Risk – At the time of underwriting of a Risk (business/asset) it is our duty towards the customer to analyse and evaluate the risk that we are willing to undertake. Therefore the Company is bound to charge the right premium as all such premiums are pooled up with other participants. At the time of claims, it is shared by all the participants in the pool.	A robust underwriting regime is in place with well-experienced and qualified professionals in the team. A well-scrutinised set of SOPs are formulated and implemented.
Product Design – Designing the product offers and benefits with the right pricing is very critical to the insurance business.	The Company has appointed a Product Development Team with a set of hand-picked members from Sales, Underwriting, Operation, Marketing, Strategy and Finance. They meet periodically and review existing product features while researching for new product requirements.
Actuarial calculations and provisions carry Mortality and Claims risks for Life and Non-Life businesses.	A qualified and well-experienced professional firm has been contracted to carry out the actuarial functions for both the life and the general segments.

Claims Risk

Risk	Control
Potential loss of values is the primary risk that the insurance businesses undertake to manage in the business model.	At the time of planning for the years ahead, the management along with the underwriting and sales teams, decide the product mix targets taking the claims experiences pertaining to the specific classes. It also assesses the future potential on agreed assumption.
The risk of overpayment or underpayment of claims arises from the claims assessment process and the level of decision-making competency of the staff involved.	A segregated process with checks and balances is implemented. Continuous training and development programmes are in place with supervision of well-experienced senior staff to mitigate such risks.

Enterprise Risk Management

Retakaful Risk

Being an insurance company, risks related to the insurance business i.e., insurance risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this category:

Risk	Control
Credit risk can also be a factor with respect to Retakaful. Should a reinsurance company be either slow to pay its claims/contributions or unable to make such payments, the effects on insurance company performance (and hence value) could be significant.	Retakaful placements are done with reinsurers having credit ratings as required by Insurance Regulatory Commission of Sri Lanka (IRCSL).
Accepting risks beyond the Company's retention limits.	System controls are in place to avoid such instances. However, to further enhance the control measure, certain critical processes are being automated. Additionally, all cases are handled through an evaluation process.

Even though the overall Enterprise Risk Management Framework embraces this objective, specific strategies and action plans to support and ensure achievements of annual targets are vital.

Due to internal and external reasons the Company could be exposed to serious risks to the reputation of the Company and its Brand Image, which could in turn affect the performance and achievement of corporate goals.

The Company has appointed a Corporate Spokesperson, who maintains a watching brief and monitors all news items related to the Company in the public domain. A collation of these are escalated to management with the assistance of Media-Watch partners through the marketing unit.

Market Risks

Market risks are wider risks that any company is exposed to in terms of demand and supply for any types of goods and services, and cost. The increased competition from the industry players in terms of rates, products, marketing etc., are continuous risks while the entry of new players to the industry is a further risk.

Furthermore, for insurance companies which are heavily dependent on investment income, healthy market conditions underpinned by solid economic conditions are vital. Therefore, in addition to the overall economic growth conditions, key economic variables such as interest rates, inflation, stock market performance, exchange rates and commodity market conditions especially gold etc., expose enormous speculative risks to the Company.

The Company experienced enormous threat from the market during the year mainly through intense price cutting by almost all the players, especially the Takaful window operators to tap the Takaful client segment. However, we have been able to secure the base being the only fully-fledged Takaful Company. Our clientele do understand that the Takaful is a complete system and not simply a product range in a conventional system.

Strategic and Reputational Risk

Achievement of overall business goals is the top most priority for any company and justifies the purpose and existence of organisations in the long run. However, companies need to achieve their corporate goals consistently in the short run in order to achieve long-term success. Thus, achieving annual targets in terms of revenue and profitability along with other operational targets become critical to the organisation.

Operational Risks

Operational risks result from inadequate or failed internal processes, people and systems which cover a wider area of operational aspects:

Risk	Control
Sudden disasters/calamities	A detail DRP is in force to recover within 12 hours.
BCP/DRP failures	Tested every six months.
Not having the right people at the right Place	A Semi-Annual Performance Appraisal system is in place to scrutinise the performance of key staff members including the Top Management Personnel.
Process failures – Standard Operating Procedures (SOPs) do not capture important controls	The Risk Committee reviews the SOPs periodically along with internal audit and makes modifications when required.
Potential fraud and errors	Strict implementation of the SOPs will minimise the risks involved in this area in addition to the supervisory controls.
Liquidity crunch	The Treasury team prepares a cash forecast on a weekly basis prior to making investment decisions.
Technology failure	The Disaster Recovery Plan covers such risks.
Non-implementation of key projects	The Business Operations Management (BOM) and the General Management Committee (GMC) meet monthly and review projects under implementation.
Utilities	Electricity – A back-up generator is fully active.

Compliance Risk

The key compliance risks and the control measures are listed below:

Risk	Control
Unable to comply with the applicable regulatory requirements	The first item of the Agenda for the regular Executive Committee is set on compliance matters to prioritise the discussion on the subject. Any significant issue is escalated to the Audit/Risk Committees and the Board. A Dedicated Compliance Department is functional headed by a Senior Manager who is a member of the General Management Committee. All Heads of Departments are made aware of the applicable laws and regulations. Further, the regulatory requirements are cascaded down to relevant staff members. A monthly sign-off is obtained on a compliance check list covering applicable laws and regulations. This checklist is tabled at the Executive Committee meetings. A periodic internal audit exercise is carried out on the compliance function and a report is tabled at the Audit Committee meetings.

Enterprise Risk Management

Credit Risk

With the deteriorating market practices on credit due to competitive pressures, the Company heightened its credit arrangement process through strict control measures and improved the Credit Policy on the recommendation of the Audit Committee.

Risk	Control
Unable to comply with the applicable regulatory requirements	SOP on credit approval which covers authorisation and approvals of Credit Policy is linked to the Sales Commission and Incentive Scheme. Weekly credit review.
Risk in recovering Retakaful	Rated Retakaful companies.
Unable to recover capital value of investments	Guided by the IRCSL Investment Guidelines. Close monitoring by the Board Investment Committee.

ATPLC Risk Management Grid

Impact/Consequences and Likelihood of the risks are the two parameters to gauge the criticalness of the risks that are encountered by the Company. The parameter of Likelihood ranges from almost certain to rare on a scale of A to E while the Consequence parameter ranges from negligible to severe on I to V scale.

Consequence		Likelihood				
		Rare	Unlikely	Possible	Likely	Almost Certain
		E	D	C	B	A
Severe	V	H	H	H	VH	VH
Major	IV	M	M	H	H	VH
Moderate	III	M	M	H	H	H
Minor	II	L	L	M	M	H
Negligible	I	L	L	L	M	M

L – Low M – Medium H – High VH – Very High

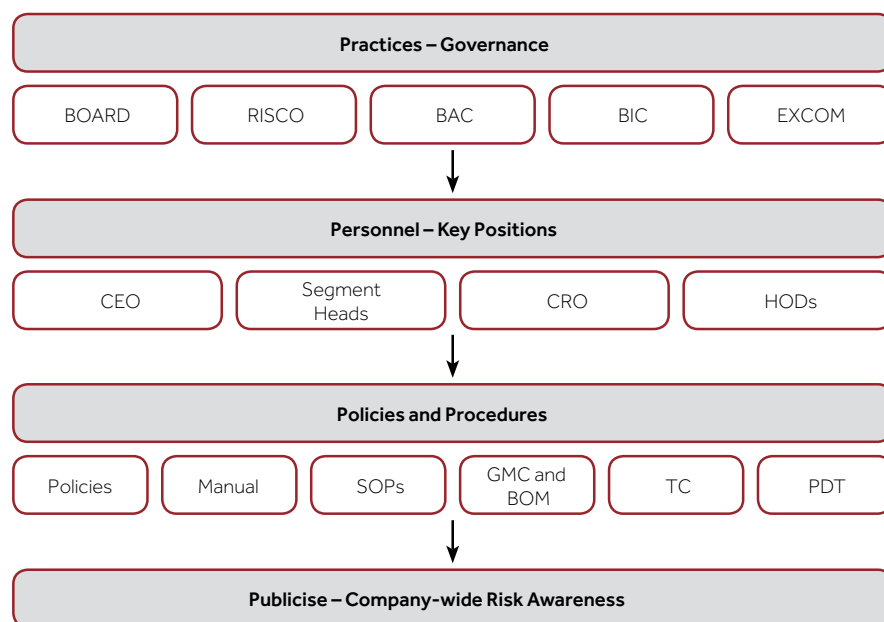
Amāna Takaful maintains a Risk Register which analyses all the potential risks under each of the above category and these items have been graded based on the above parameters of Likelihood and Consequences.

The Company adopts the following strategies in managing the risks as per the Likelihood and Impact grading. Please refer the Impact and Likelihood along with the Risk Management Grid.

Impact/Likelihood	Risk	Option	Strategy
(I,E), (I,D), (I,C), (II,E), (II,D)	Low	Accept	Keep monitoring of the Likelihood.
(I,B), (I,A), (II,C), (II,B), (III,E), (III,D), (IV,E), (IV,D)	Medium	Reduce Likelihood and/or Impact	Have measures to manage Likelihood and/or Impact.
(II,A), (III,C), (III,B), (III,A), (IV,C), (IV,B), (V,E), (V,D), (V,C)	High	Spread and/or Transfer	Spread the risk to a third party or involve risk owner sharing the risk. Have contingency arrangements. Have plans for recovery.
(IV,A), (V,B), (V,A)	Very High	Avoid	Do not participate in the activity.

ATPLC Enterprise Risk Management Framework

In the ERM Framework of ATPLC, the entire Company (Enterprise) has been structured into a 4-stage cascade viz; Practices, Personnel, Procedures and Publicise from a risk management perspective, as illustrated below:



Board	– The Board of Directors	HODs	– Heads of Departments
RISCO	– Board Risk Committee	SOPs	– Standard Operating Procedures
BAC	– Board Audit Committee	GMC	– General Management Committee
BIC	– Board Investment Committee	TC	– Technical Committee
EXCOM	– Executive Committee	PDT	– Product Development Team
CEO	– Chief Executive Officer		
CRO	– Chief Risk Officer		

The ERM framework operates on a bottom-up approach in terms of its Lines of Defence.

First Line of Defence

Publicise – Educating the staff at shop floor level with the appropriate level of authority will help them take the right decision at the right time. We recognise that staff in the front line are exposed to the market and most often encounter various challenges. Cognisant of the challenge in communicating the entire ERM Framework and strategies to manage risks, the Risk Management Unit has adopted a simplified cascade process to the wider audience to mobilise support and upscale knowledge at all levels in the Company.

Second Line of Defence

Policies and Procedures – Policies and Procedures play a vital role through proper internal control mechanisms in mitigating several risk factors. Further, the Company also has restructured the Management Review Process through the General Management Committee (GMC), widening the participation of Key Management Personnel with specific roles in each of the groups.

Third Line of Defence

Key personnel being appointed at key positions in any organisation will mitigate a major part of the risk. We believe in our people, especially people who are

Enterprise Risk Management

occupying key positions, that they will take prudent business decisions in pursuit of corporate objectives.

Final Line of Defence

Governance Practices are activities that take place at Board level in order to ensure delivery of promises made to the stakeholders. In addition to the scheduled Board meetings and deliberations, there are subcommittees at Board level such as the Investment, Board Audit, Risk Management and Executive Committees. These Committees independently meet with the Key Management Personnel and review performance, challenges and opportunities under the respective areas and report to the Board periodically. While the Executive and the Investment Committees meet on a monthly basis, the other committees meet on a quarterly basis.

Risk Management Process

- In the process of managing the risks of the Organisation the Company has identified the following Key Risk Indicators. These indices are monitored through a dashboard which is reviewed at GMC, RISCO and Board levels. Corrective actions will be taken as and when significant deviations are observed in the relevant areas.

Risk Area	Key Risk Indicator
Insurance Risk	- Average Rates by Subclasses - Claims Ratios by Sales Teams and Subclasses - Product Profitability - RI Covers Vs Risk Accumulation
Strategic and Reputational Risk	- Overall Target Achievements at Firm Level and Departmental Level - Variance Analysis - Market Positioning - Client Satisfaction Index
Market Risk	- Interest Rate Movement - Bullion Market Movement - Equity Market Movement - Economic Indicators - Changes in Tax Regulations - Changes in Government Policies
Operational Risk	- Staff Turnover Ratio - Staff Satisfaction Index - Internal/External Audit Findings - Deviations from ISO Standards on Safety Measures - Current and Liquidity Ratios - Implementation of Industry Best Practises
Credit Risk	Debtors Turnover Ratio (Days)
Compliance Risk	- Queries Raised by Regulator/Ombudsman - Pending Legal Matters - Unresolved Audit Queries - Items in the Management Letter - Investment Portfolio Mix

Key Areas Reviewed by the Board Risk Committee during 2020

- Review of the Risk Registers on a quarterly basis and monitored the Key Risk Indicators covering all aspects of the business.
- Review of Heat map for direct operations and support functions.
- Review of the status pertaining to Capital Adequacy Ratio (CAR) and Total Available Capital (TAC) under Solvency Margin (Risk Based Capital) Rules 2015.
- Review of the Deferred Tax Asset
- Review of large claims

The composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Mr. Zulficar Ghouse – Chairman (Inducted from August 2020 meeting)	2 out of 3
Dr. A A M Haroon Non-Executive Director	3 out of 3
Mr. Rizwan Hussain (Inducted from August 2020 meeting)	2 out of 3
Dato' Mohd Fadzli Yusof Independent Non-Executive Director (Resigned w.e.f. 14 July 2020)	1 out of 3
M H M Rafiq Independent Non-Executive Director (Resigned w.e.f. 14 July 2020)	1 out of 3

The Chief Executive Officer of Amāna Takaful PLC, Chief Executive Officer of Amāna Takaful Life PLC, General Manager Operations and Medical Takaful, Head of Finance were invited to be present at all meetings of the Committee during the period under review. The Head of Finance and Compliance also attended all meetings of the Board Risk Committee. Other members of the Management were also invited to attend the meetings when required.

Annual Report of the Board of Directors

on the Affairs of the Company

The Directors are pleased to submit their report together with the audited accounts of the Company and the Group, for the year ended 31st December 2020, to be presented at the 22nd Annual General Meeting of the Company.

Review of the Year

The Chairman's Review on pages 12 to 15 describes the Company's affairs and mentions important events that occurred during the year and up to the date of this Report. The Management Discussion and Analysis on pages 30 to 32 elaborates the financial results of the Company. These reports together with the Audited Financial Statements reflect the state of affairs of the Company.

Principal Activities

The principal activity of the Company is General Takaful Business. The Family Takaful (Long-Term Insurance) business is carried out through Amāna Takaful Life PLC, a subsidiary of Amāna Takaful PLC.

Financial Statements

The Financial Statements are prepared in conformity with the Sri Lanka Accounting Standards and in compliance with the requirements of Section 151 of the Companies Act No. 07 of 2007 and the Rules and Regulations of the Insurance Regulatory Commission of Sri Lanka, are given on pages 70 to 132 of this Annual Report.

Independent Auditors' Report

The Auditors' Report on the Financial Statements is given on page 65 of this Annual Report.

Accounting Policies

The accounting policies adopted in preparation of the Financial Statements are given on pages 81 to 94.

Financial Results and Appropriations

The Profit After Taxation of the Company for the year was Rs.38.8 Mn (2019 – Loss Rs. -381.5 Mn) and the Profit After Taxation of the Group for the year was Rs.222.4 Mn (2019 – Loss Rs. -277.2 Mn).

The Family Takaful (Life) Fund balance including Unit Linked Fund stood at Rs.2.4 Bn in 2020. (2019 – Rs.2.2 Bn)

Property, Plant and Equipment

During the year under review, the capital expenditure on Property, Plant and Equipment for the Group amounted to Rs.8.1 Mn (2019 – Rs.23.7 Mn).

Information relating to movement in Property, Plant and Equipment during the year is disclosed under Note 6 to the Financial Statements.

Financial Assets

Details of financial assets held by the Company are given in Note 9 to the Financial Statements.

Reserves

Accumulated Loss as at 31st December 2020 for the Company and Group amounted to Rs. -383.46 Mn (2019 – Loss Rs. -431.76 Mn) and loss of Rs. -487.95 Mn (2019 – Loss Rs. -637.89 Mn), respectively. The break-up and the movement are shown in the Statement of Changes in Equity in the Financial Statements.

Stated Capital

The stated capital of the Company as at 31st December 2020 was Rs.1,860,001,339/- represented by 180,000,130 ordinary shares. The details of the stated capital are given in Note 14 to the Financial Statements on page 107.

Contingent Liabilities

There were no material contingent liabilities outstanding as at 31st December

2020 other than those reported in Note 38.2 to the Financial Statements.

Material Issues Pertaining to Employees and Industrial Relations of the Company

The Company did not come across any material issues pertaining to employees and industrial relations during the year.

Post-Balance Sheet Events

There were no material events occurring after the reporting date that require adjustments or disclosure in the Financial Statements.

Directors' Responsibilities

The Statement of the Directors' Responsibilities is given on page 62 of this Annual Report.

Corporate Governance

The Company has complied with the Corporate Governance Rules laid down under the Listing Rules of the Colombo Stock Exchange. The Report on the Corporate Governance is given on pages 37 to 44 of this Annual Report.

Statutory Payments

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to all relevant regulatory and statutory authorities have been paid within the stipulated period.

Interests Register

The Company has maintained an Interest Register as contemplated by the Companies Act No. 07 of 2007.

- a. Directors' interest in contracts of the Company, both direct and indirect during the year under review, are included in Note 36 in the related party disclosures to the Financial Statements.

Annual Report of the Board of Directors on the Affairs of the Company

- b. Details of shareholding of Directors are given under particulars of Directors' Shareholding on page 55.

Board Committees

Audit and Compliance Committee

Following are the names of the Directors comprising the Audit and Compliance Committee of the Board:

Zulficar Ghouse – Chairman
Syed Rizwan Hussain
Dr. A.A.M. Haroon
Dato' Mohd Fadzli Yusof – (Retired w.e.f 14th July 2020)
M.H.M. Rafiq – (Retired w.e.f 14th July 2020)
M.H.S. Kassim – (Appointed as Managing Director and ceased to be a member of the committee w.e.f 2 March 2020)

The Report of the Audit Compliance Committee on pages 56 and 57 set out the manner of compliance by the Company in accordance with the requirements of the Rule 7.10.6 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

Remuneration Committee

Following are the names of the Directors comprising the Remuneration Committee of the Board:

Dr. A.A.M. Haroon – Chairman
Syed Rizwan Hussain
Zulficar Ghouse
Dato' Mohd Fadzli Yusof – (Retired w.e.f 14th July 2020)
M.H.M. Rafiq – (Retired w.e.f 14th July 2020)

The particulars of the Remuneration Committee are mentioned in the Report of the Remuneration Committee on page 58 in accordance with the requirements

of the Rule 7.10.5 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance. The details of the aggregate remuneration paid to the Executive and Non-Executive Directors during the financial year are given in Note 32 to the Financial Statements.

Related Party Transaction Review Committee

Following are the names of the Directors comprising Related Party Transaction Review Committee of the Board in accordance with the requirements of the Rule 9.2 of the Listing Rules of the Colombo Stock Exchange on Corporate Governance.

M. R. M. Nayeem – Chairman
M.H.M. Rafiq – (Retired w.e.f 14th July 2020)
Dr. A.A.M. Haroon
Zulficar Ghouse

The particulars of the Related Party Transaction Review Committee are mentioned in the Report of the Related Party Transaction Committee on page 59.

Share Information and Substantial Shareholdings

The distribution of shareholding, market value of shares and twenty largest shareholders are given on pages 144 and 145.

The earnings per share, dividends per share, net assets per share are given on page 146.

Directors

The Directors of the Company during the year are as follows:

Member	Date of Resignation/Retirement
Mr. Osman Kassim (Appointed 7th December 1998)	-
Mr. M.H.M. Rafiq (Appointed 7th December 1998)	14th July 2020
Dato' Mohd Fadzli Yusof (Appointed 10th February 1999)	14th July 2020
Dr. A.A.M. Haroon (Appointed 21st September 2000)	-
Mr. M.R.M. Nayeem (Appointed 7th March 2016)	-
Mr. M. Hassan Sattar Kassim (Appointed 7th March 2016)	-
Mr. M. Z. M. Ghouse (Appointed 3rd June 2020)	-
Mr. S. R. Hussain (Appointed 3rd May 2019)	-
Ms. E. D. Wickramasuriya (Appointed 22nd December 2020)	-

A brief profile of the Directors are given on pages 23 and 25 of this Annual Report.

During the year under review the Board met on four occasions. The attendance at these meetings is mentioned on page 44.

In terms of Section 82 of the Articles of Association of the Company, Mr. M. R. M. Nayeem does not offer himself for re-appointment and have notified his intention of stepping down from the Board.

In terms of Section 89 of the Articles of Association of the Company, Mr. M. Z. M. Ghouse and Ms. E. D. Wickramasuriya have been appointed as Directors subsequent to the last Annual General Meeting and being eligible have offered themselves for re-election.

Directors' Shareholdings

The interest of the Directors in the shares of the Company as at 31st December 2020 were as follows:

As at 31st December	No. of Ordinary Shares	
	2020	2019
Mr. Osman Kassim & Mrs. K. Kassim	17,899,708	33,300,024
Amana Bank PLC /		
Mr. Osman Kassim	15,500,000	—
Dr. A.A.M. Haroon	4	4
Mr. M.H.M. Rafiq	—	2
Mr. Syed Rizwan Hussain	—	—
Mr. M.R.M. Nayeem	—	—
Mr. M. Hassan Sattar Kassim	22,040	—
Mr. M. Z. M. Ghouse	—	—
Ms. E. D. Wickramasriya	—	—

Independence of Directors

Particulars of Independent Directors are mentioned under Corporate Governance Report on pages 37 to 44.

Related Party Transactions

The details pertaining to related party transactions which exceeds the lower of 10% of equity or 5% of the total assets of the Company have been disclosed in the respective Notes to the Financial Statements. Directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard LKAS 24 – "Related Party Disclosures", in Note 36 to the Financial Statements.

In terms of section 9.3.2 (d) of the listing rules the Board confirms that the company has complied with all requirements pertaining to Related Party Transaction.

Going Concern

The Directors, after making necessary inquiries and review of the financial position and future prospects of the Company, have a reasonable expectation that the Company has adequate resources to continue to be in operational existence for the foreseeable future. Therefore, the going concern basis is adopted in the preparation of the Financial Statements.

Auditors

The resolutions to appoint the present Auditors, Messrs Ernst & Young, Chartered Accountants, who have expressed their willingness to continue in office, will be proposed at the Annual General Meeting.

The audit and non-audit fees paid to the Auditors is disclosed in Note 32 on page 118 of this Annual Report.

As far as the Directors are aware, the Auditors do not have any relationship or interest in the Company.

The Audit Committee reviews the appointment of the Auditors, its effectiveness and its relationship with the Company including the level of audit and non-audit fees paid to the Auditors. Details on the work of the Audit Committee are set out in the Audit Committee Report.

Notice of Annual General Meeting

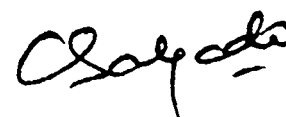
The Annual General Meeting will be held on the 17th of June 2021 at 10 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM). The Notice of the Annual General Meeting appears on page 152 of this Annual Report.

For and on behalf of the Board,



Mr. Osman Kassim

Chairman



Managers & Secretaries (Pvt) Ltd.

Secretaries

Amāna Takaful PLC

12th May 2021

Colombo

Report of the Board Audit and Compliance Committee

Composition

The Audit Committee of the Board, appointed by and answerable to the Board of Directors, comprises (as at the date of this Annual Report) two members who are independent of the three Non-Executive Directors. The Committee is made up of members who bring their varied expertise, experience and knowledge to carry out and discharge their duties and responsibilities professionally and effectively. The Committee meets at least four (4) times a year (However this was 3 during the period under review), usually at quarterly intervals, to review and approve both the annual external and internal audit plans; review and deliberate the internal audit reports on significant issues and audit findings, audit recommendations and management responses as well as its action plans; discuss on action taken to improve the effectiveness of the internal control system in the audit areas; ensure the independence and objectivity of the External Auditors; review the internal audit process, adequacy of internal controls and assessment on various transactions of the related party. In addition, the Committee also plays the role of a platform for the Management to raise concerns on possible irregularities for investigation.

The membership composition of the Committee and details of attendance of each member at meetings of the Committee during the period under review are as follows:

Member	Number of Meetings Attended
Zulficar Ghouse Chairman/Independent Non-Executive Director (Inducted from August 2020 meeting)	2 out of 3

Member	Number of Meetings Attended
A A M Haroon Non-Executive Director (Inducted from August 2020 meeting)	2 out of 3
Syed Rizwan Hussain Independent Non-Executive Director (Inducted from August 2020 meeting)	2 out of 3
Dato' Mohd Fadzli Yusof Independent Non-Executive Director (Retired w.e.f. 14 July 2020)	1 out of 3
M H M Rafiq Independent Non-Executive Director (Retired w.e.f. 14 July 2020)	1 out of 3
M Hassan Sattar Kassim Independent Non-Executive Director (Appointed as Managing Director and ceased to be a member of the committee w.e.f. 2 March 2020)	1 out of 3

The Managing Director, Chief Executive Officer, General Manager Operations and Medical Takaful as well as Head of Sales and Marketing were invited to be present at all meetings of the Committee during the period under review. The Head of Internal Audit also attended all meetings in the capacity of Secretary to the Audit Committee, so were the respective Heads of Departments Compliance and Corporate Risk, Finance, Underwriting, Claims and Reinsurance/Retakaful. Other members of the Management were also invited to attend the meeting when required.

Agendas and reports to be tabled, presented and deliberated at the meetings were prepared and distributed sufficiently in advance to all members, along with the appropriate and relevant briefing materials.

Objectives, Duties and Responsibilities

The key objectives of the Audit Committee are:

- To satisfy themselves that a good financial reporting system is in place in order to ensure accurate and timely financial information to the Board of Directors, regulators and shareholders and to make sure that these are prepared in accordance with Sri Lanka Accounting Standard and other relevant laws and regulations.
- To satisfy themselves of the effectiveness of the Company's risk management process in order to identify and mitigate risks.
- To review the design and implementation of the internal control system and take steps to strengthen them as necessary.
- To ensure that the contract of the business is in compliance with the applicable laws and regulations of the country and the policies and procedures of the Company.
- To assess the independence of the External Auditors, and monitor the performance of Internal and External Auditors.
- To assess the Company's ability to continue as a going concern in the foreseeable future.

The primary duties and the responsibilities of the Committee are as follows:

- (1) Review the adequacy of the internal audit programme and plan, internal audit findings and recommend actions to be taken by the Management of deficiencies in controls, processes and procedures.

- (2) Assessment of the independence and performance of the Company's External Auditors.
- (3) Review the Management Letter of the External Auditors and follow-up on its recommendations.
- (4) Ensure the preparation and presentation of financial reports in line with the accounting standards and ensuring the adequacy of disclosure in such report.
- (5) Review the effectiveness of internal controls and risk management processes.
- (6) Ensure compliance with Regulatory Affairs and Corporate Governance.

Internal Audit

The internal audit functions of the Company are undertaken by the Internal Audit Department. The Department presented to the Committee the Comprehensive Audit Plan for the financial year under review, and instructed the Internal Auditors on the approach to be adopted in their auditing processes. Apart from the Audit Plan, the Committee also instructed the Auditors to carry out investigation, inspection and auditing on certain issues deemed necessary to maintain and ensure the adequacy and effectiveness of internal controls, appropriate governance and principles of best practice.

The Committee deliberated and reviewed a number of internal audit reports on a multitude of operational areas such as Reinsurance (Retakaful), various types of reserve including technical/mortality reserve, claims and underwriting as well as treasury matters. To ensure key decisions and recommendations of the Committee were efficiently implemented a process of follow-up programmes had

been put in place. Where necessary, Auditors were directed to conduct follow-up audits and inspections.

External Audit

The Committee reviewed the Management Letter and other recommendations submitted by the External Auditors, Messrs Ernst & Young and followed-up the issues raised, during the financial year under review. From time to time during the period under review External Auditors made presentations and briefings to the Committee on matters related to new accounting standards and regulatory requirements.

The Committee further made recommendations in relation to the remuneration, functions and terms of engagement of the External Auditors, particularly in relation to their audit work.

Provision of Non-Audit Service

The Committee is also responsible for reviewing the nature of non-audit services that the External Auditors may undertake in order to ensure that the Auditors' independence is not impaired in such circumstances.

Conclusion

The Committee is satisfied that effective measures, in respect of internal controls of the Company, are in place. The accounting standards are duly followed. Similarly, all the activities and functions of the Company are in compliance with regulatory and statutory provisions. The Committee is also comfortable that the assets of the Company have been adequately safeguarded, and the requirements of independence of both the Internal and the External Auditors are met. With the transparent and appropriate relationship established with

the External Auditors, the latter have an obligation to raise and highlight any significant defects or weaknesses in the Company's system of internal control and compliance to the attention of the Management, the Committee and the Board. On the whole, the Committee firmly believes that the Company is in the right direction in terms of corporate governance and best practices.



Zulficar Ghouse

Chairman – Board Audit and Compliance Committee

12th May 2021

Colombo

Report of the Board

Remuneration Committee

The Remuneration Committee is entrusted by the Board of Directors with the responsibility of overseeing a reasonable, attractive and competitive remuneration package policy be adopted for all level of employees of the Amāna Takaful Group of companies. The policy ought to be aligned with the Group's performance and interests of all stakeholders. The Committee has to ensure that the remuneration structure is commensurate with each employee's performance, competency, commitment, dedication, responsibility and skill.

In implementing the policy, the Committee reviewed and compared the overall executive compensation package, benchmarking against the industry, for the consideration and adoption of the Board. It also recommended the packages for the Chief Executive Officer and other senior members of the Management, taking into cognisance the practice of the industry as well as the overall financial strength of the Group. In relation to this, the Committee took into consideration Key Result Areas and Performances linked to the achievement, contribution and performance of each

individual officer, relative to respective targets set.

Independent Directors had not received, directly or indirectly, any consulting, advisory or other compensatory fees from the Group. Papers to be deliberated at meetings of the Committee were distributed in advance to all the members.

Other key responsibilities under the mandate of the Remuneration Committee covered the following scopes:

- Reviewing and ensuring that the Group implemented a sound Performance Appraisal Review System for employees at all levels.
- Making recommendation to the Board on annual increments, key promotions and scale-ups.
- Making recommendation to the Board on bonus and related payment, if any, to employees of all levels.
- Considering and recommending to the Board the remuneration scheme for the Directors.

The Board Remuneration Committee of Amāna Takaful PLC, the parent Company functions as the Board Remuneration Committee in terms of Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Committee Comprised of three (3) Non-Executive Directors, of whom two (2) are independent. The Committee met twice during the year under review.



Dr. A A M Haroon

Chairman – Remuneration Committee

12th May 2021

Colombo

Members	Meeting Attendance
1. Dr. A.A.M. Haroon Chairman/Non-Executive Director	2 out of 2
2. Dato' Mohd Fadzli Yusof Independent Non-Executive Director	1 out of 2 (Retired as at the 2nd meeting)
3. M.H.M. Rafiq Independent Non-Executive Director	1 out of 2 (Retired as at the 2nd meeting)
4. Rizwan Hussain Independent Non-Executive Director	1 out of 2 (Inducted from the Aug 2020 Meeting)
5. Zulficar Ghouse Independent Non-Executive Director	1 out of 2 (Inducted from the Aug 2020 Meeting)
6. Farhan Jabir Secretary	2 out of 2

Report of the Related Party Transactions Review Committee

Objective of the Committee

The Committee reviews all related party transactions of Amāna Takaful PLC to ensure that the Company complies with the Rules set out under Section 09 of the Listing Rules.

The primary objective of the Committee is to ensure that the interests of the shareholders are taken into consideration when entering into related party transactions and to ensure that these transactions are not more favourable to related parties than those generally available to the general public.

Composition of Committee

The Related Party Transaction Review Committee (the Committee) comprises three Non-Executive Directors of which two Directors are Independent as at Reporting date.

Meetings of the Committee

Three (3) meetings of the Committee were held during the period under review and the attendance of the Committee is as follows:

Member	Number of Meetings Attended
M R M Nayeem Chairman/Independent Non-Executive Director	3 out of 3
M H M Rafiq Independent Non-Executive Director (Retired w.e.f. 14.07.2020)	1 out of 3
Dr. A.A.M. Haroon Non-Executive Director (Inducted from August 2020 Meeting)	2 out of 3
M. Zulficar Ghouse Independent Non-Executive Director (Inducted from August 2020 Meeting)	2 out of 3

In addition, the Chief Executive of the Company, Chief Executive Officer of Amāna Takaful Life PLC, Head of Compliance and Head of Finance attended these meetings by invitation. The Assistant Manager Compliance, M.F.H. Nizar serves as the Secretary to the Committee as at reporting date.

Review of Related Party Transactions

The Committee reviewed all related party transactions of the Company for the year 2020 and concluded that all related party transactions entered into during the year were of a recurrent and trading nature, and were within the normal scope of day-to-day operations of the Company. Details of such related party transactions entered in to during the year are given in Note 36 to the Financial Statements on page 122 of this Annual Report.

The Chairman of the Committee has on a regular basis, appraised the Board on the matters deliberated at the Related Party Transactions Review Committee meetings.

Policies and Procedures

The Head of Finance and Compliance is responsible for reporting related party transactions proposed to be entered into by the Company which are within the purview of the Committee in terms of the Listing Rules for the Committee to review and to grant approval.

Moreover, on a quarterly basis, the Compliance team is required to report the related party transactions entered into by the Company during the period under Review for Committee's consideration.

Conclusion

The Committee is satisfied that the interests of the shareholders as a whole are taken into consideration when entering into related party transactions and that the transactions were not more favourable to related parties than those generally available to the general public.



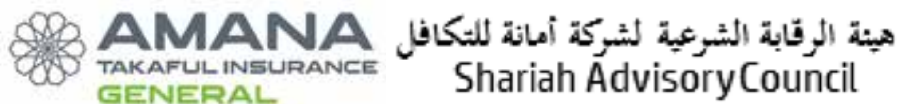
M R M Nayeem

Chairman – Related Party Transactions Review Committee

12th May 2021

Colombo

Report on the Shari'ah Advisory Council



بسم الله الرحمن الرحيم

SHARI'AH AUDIT REPORT TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

السلام عليكم ورحمة الله وبركاته

We have examined the operations of Amana Takaful (PLC) (the "Company") for the year ending 31st December 2020. We have also conducted our review to form an opinion as to whether the Company has complied with the Shari'ah Rules and principles and also with the specific fatwas, regulations and guidelines issued by the Shari'ah Advisory Council.

Responsibilities

It is our responsibility, as Shari'ah Advisory Council, to ensure that the Takaful operations, financial arrangements, contracts and transactions entered in to by the Company with its participants, clients and stakeholders are in compliance with Shari'ah rules and principles. It is the responsibility of the Company's Management to ensure that all rules, principles and guidelines set by the Shari'ah Advisory Council are complied with, and that all policies and services being offered are duly approved by the Shari'ah Advisory Council.

Scope of Audit and Basis of Opinion

The scope of our audit primarily involves the review of Company's compliance with Shari'ah Regulations and Guidelines. Our review also included examining, on a test basis of each type of product in relation to issuance of policies & payment of claims.

Opinion

In our opinion and to the best of our information and belief and according to the explanations given to us:

- The Takaful operations and financial transactions undertaken by the Company, during the year 2020, were generally in accordance with the guidelines prescribed by the Shari'ah Advisory Council.
- All incidental non-permissible income received are applied in accordance with the guidelines issued by the Shari'ah Advisory Council.

We seek Allah the Almighty to grant us all success and straight-forwardness.

والسلام عليكم ورحمة الله وبركاته

Mufti M I M Rizwe

Chairman-Shari'ah Advisory Council

Mufti Shafique A Jakhura

Member-Shari'ah Advisory Council

Ash-Sheikh Murshid Mulaffar

Secretary-Shari'ah Advisory Council

DAWN OF A NEW BEGINNING

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Statement of Directors' Responsibilities

This statement sets out the responsibilities of the Directors in relation to Financial Statements of the Group and the Company. The Directors confirm that the Financial Statements for the year 2020 prepared and presented in this Annual Report are consistent with the requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000.

In preparing the Financial Statements, the Directors have adopted appropriate accounting principles and policies and where relevant, disclosed and explained material departures, if any. The Directors ensure that applicable accounting standards (SLFRS/LKAS) have been followed and that the judgements and estimates provided are reasonable and prudent and provide a true and fair view of the state of affairs as well as the profitability of the Company. The Directors also state that the Financial Statements are prepared on a going concern basis and a review of the Company's performance indicates that the Company has adequate resources to continue in operation.

The Directors have taken proper and sufficient care to ensure the maintenance of adequate accounting records in conformity with the applicable provisions of the Regulation of Insurance Act No. 43 of 2000 and any other legislations including the Companies Act No. 07 of 2007 to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Company possesses an effective internal audit system commensurate with the size and nature of its business. Steps have also been taken to ensure that proper records are maintained and the information generated is reliable.

It is the responsibility of the Directors to provide the Auditors every opportunity to carry out necessary audit work to enable them to present their audit report. The Directors, are satisfied that all statutory payments, in relation to all relevant regulatory and statutory authorities, which were due and payable by the Company as at the reporting date have been paid or where relevant provided for.

The Directors are of the view that they have to the best of their knowledge, discharged their responsibilities as set out in this Statement.

For and on behalf of the Board,



Osman Kassim

Chairman

12th May 2021

Colombo, Sri Lanka

Certificate of the Actuary - Family Takaful (Life)

To the Shareholders of Amāna Takaful
Life PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2020

We have carried out an actuarial valuation
of the Long Term Insurance Business as
at 31 December 2020. We hereby certify
that, in our opinion,

1. Proper records have been kept by the
Company, which are appropriate for
the purpose of the actuarial valuation
of the liabilities of the Long Term
Insurance Fund;
2. Adequate and proper reserves have
been provided as at 31 December
2020, for insurance related risk
liabilities in respect of the Long Term
Insurance Fund, taking into account all
current and contingent liabilities as at
that date.



Zainal Abidin Mohd. Kassim

Fellow of the Institute of Actuaries

Actuarial Partners Consulting Sdn. Bhd.
Suite 17.02, Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur
Malaysia.

Tel.: 603 2161 0433
Fax: 603 2161 3595

Kuala Lumpur
26th April 2021

Certification of IBNR



22 April 2021

Amana Takaful PLC 31 December 2020 Net IBNR and LAT Certification

I hereby certify that the undiscounted Central Estimate IBNR provision of LKR 65,330,575 inclusive of Claims Handling Expenses (CHE) is adequate in relation to the Claim Liability of Amana Takaful PLC as at 31 December 2020, Net of Retakaful. This IBNR provision, together with the Case Reserves held by the Operator, is expected to be adequate at a 50th percentile to meet future liabilities, including CHE, in respect of the Operator's reported claims obligations as at 31 December 2020, in many, but not all, scenarios of future experience. (The undiscounted Central Estimate IBNR provision, Gross of Retakaful, including CHE is LKR 216,885,474).

At the end of each reporting period, companies are required to carry out a Liability Adequacy Test (LAT) as laid out in SLFRS 4. The LAT is performed to assess the adequacy of the carrying amount of the Unearned Contribution Reserve (UCR). I hereby certify that the total UCR provision of LKR 506,206,458 set by the Operator, Net of Retakaful and Wakalah Fee, is lower than the estimated undiscounted Central Estimate Unexpired Risk Reserve of LKR 511,805,036. This implies the carrying amount of UCR is inadequate at a 50th percentile in relation to the unexpired risks of Amana Takaful PLC as at 31 December 2020, in many, but not all, scenarios of future experience. As such, the Operator is required to hold a contribution deficiency reserve of LKR 5,598,578.

The results have been determined in accordance with internationally accepted actuarial principles.

I relied upon information and data provided by the management of the above Operator and I have not independently verified the data supplied, beyond applying checks to satisfy myself as to the reasonableness of the data.

A handwritten signature in black ink, appearing to read "Jaap Plugge".

Jaap Plugge
Fellow of the Dutch Actuarial Society ("Actuariële Genootschap")
For and on behalf of NMG Consulting
Dated 22 April 2021

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www.NMG-Group.com
109 North Bridge Road #05 21, Singapore 179097

Independent Auditors' Report



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

APAG/HLKC

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF AMANA TAKAFUL PLC

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Amana Takaful PLC ("the Company"), and the consolidated financial statements of the company and its subsidiary ("Group"), which comprise the statement of financial position as at 31 December 2020, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31 December 2020, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: W R H Fernando FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H De Silva ACA ACMA W K B S P Fernando FCA FCMA
Ms. K R M Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G G S Manatunga FCA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principals: G B Goudian ACMA A A J R Perera ACA ACMA T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Independent Auditors' Report



Key audit matter	How our audit addressed the key audit matter
1. Life Insurance Contract Liabilities	
Life Insurance Contract Liabilities amounting to Rs.2,358,888,270(note 18) represent 43% of total liabilities of the Group as at 31 December 2020. Life Insurance Contract Liabilities are determined as described in note 2.4.1.2(ii) This was a key audit matter due to: - materiality of the reported Life Insurance Contract Liabilities; - the degree of assumptions, judgements and estimation uncertainty associated with actuarial valuation of Life Insurance Contract Liabilities; and - liability adequacy test carried out to ensure the adequacy of the carrying value of Life Insurance Contract Liabilities. Key areas of significant judgements, estimates and assumptions used in the valuation of the Life Insurance Contract Liabilities included the following: - the determination of assumptions such as mortality, morbidity, lapses and surrenders, loss ratios, bonus, interest rate, discount rates and expenses; and - the determination on expected effects of the ongoing COVID-19 pandemic on assumptions.	To assess the reasonableness of the Life Insurance Contract Liabilities, our audit procedures included among others the following: - We checked the completeness and accuracy of the data used in the valuation of Life Insurance Contract Liabilities by agreeing significant details to source documents and accounting records. - We engaged specialized resources to assess the reasonableness of the assumptions and appropriateness of the method used in the Life Insurance Contract Liabilities valuation with reference to market data, policyholders experience and impact of COVID-19 on the assumption. - We assessed the adequacy of the related disclosures in 18 and 43.5 to the financial statements.

2. Non-Life Insurance Contract Liabilities

Non-Life Insurance Contract Liabilities amounting to Rs.1,260,983,971 (Note 17) represent 25% of total liabilities of the Group as at 31 December 2020.

Non-Life Insurance Contract Liabilities include provision for reported claims, provision for claims IBNR & IBNER and provision for unearned premiums.

Non-Life Insurance Contract Liabilities are determined as described in note 2.4.1.2(i).

This was a key audit matter due to:

- materiality of the reported Non-Life Insurance Contract Liabilities;
- the degree of assumptions, judgements and estimation uncertainty associated with valuation of Non-Life Insurance Contract Liabilities; and
- liability adequacy test carried out to ensure the adequacy of the carrying value of Non-Life Insurance Contract Liabilities.

Key areas of significant judgements, estimates and assumptions used in the valuation of the Non-Life Insurance Contract Liabilities included the following:

- the determination of historical experience and business expectation such as previous claim experience, existing knowledge of risk events, industry ultimate loss ratio, claim handling expenses and management expenses;
- the determination method used for unearned premium calculation; and
- the determination on expected effects of the ongoing COVID-19 pandemic on assumptions.

To assess the reasonableness of the Non-Life Insurance Contract Liabilities, our audit procedures included among others the following:

- We checked the completeness and accuracy of the data used in the valuation of Non-life Insurance Contract Liabilities by agreeing significant details to source documents and accounting records.
- We test-checked the unearned premium calculation.
- We engaged specialized resources to assess the reasonableness of the assumptions used in the valuation of the Non-Life Insurance Contract Liabilities valuation with reference to the industry data and considering the both historical experience, business expectation and impact of COVID-19 on the assumptions.
- We assessed the adequacy of the related disclosures in Notes 17 and 43.5 to the financial statements.

3. Valuation of Investment Properties

The Group carried Investment properties amounting to Rs.194,000,000 which are stated at fair value as at the reporting date. Fair value was determined by an external valuers engaged by the Company.

This is key audit matter due to:

- the significance of estimates and judgements associated with the valuation.

Key areas of significant judgements and estimates and assumptions used in the valuation of investment properties included the following:

- the determination on expected effects of the ongoing COVID-19 pandemic on the valuation.

To assess the reasonableness of the valuation performed by external valuers, our audit procedures included among others the following:

- We evaluated the competence, capabilities and objectivity of the external valuers appointed by the management.
- We engaged internal specialized resources to assist us in evaluating the appropriateness of the valuation method and range of prices used for the valuation of Land and Buildings.
- We assessed the adequacy of the related disclosures in note 7 to the financial statements.

Independent Auditors' Report



Other information included in the 2020 Annual Report

Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information.

Our opinion on the financial statements does not cover other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the

going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for

one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.

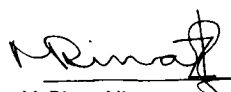


12 May 2021
Colombo

Statement of Financial Position

As at 31 December 2020		Group		Company	
		2020	2019	2020	2019
	Notes	Rs.	Rs.	Rs.	Rs.
Assets					
Intangible Assets	5	109,311,653	114,454,505	28,336,185	29,718,037
Property, Plant and Equipment	6	68,650,769	86,385,886	36,112,121	48,374,578
Right of use assets	23.	249,555,652	255,334,446	12,936,038	13,818,976
Deferred Tax Assets	34.2	7,549,555	5,984,713	-	-
Investment Property	7	194,000,000	194,000,000	46,500,000	46,500,000
Investments in Subsidiaries	8	-	-	1,052,867,811	1,052,867,811
Financial Assets	9	3,177,241,470	2,831,688,054	805,547,093	839,380,544
Retakaful (Reinsurance) Receivables		419,515,247	330,635,917	362,802,595	190,265,962
Contribution (Premium) Receivables	10	639,192,920	589,940,459	471,905,295	395,623,737
Other Assets	11	223,167,168	210,590,698	81,160,339	93,063,324
Financial Assets - Unit Linked	12	1,907,619,575	1,716,210,033	-	-
Cash and Bank Balances	13	112,834,891	260,272,858	47,399,475	167,389,849
Cash and Bank Balances - Unit Linked	13	2,243,871	38,197,730	-	-
Total Assets		7,110,882,772	6,633,695,302	2,945,566,952	2,877,002,808
Liabilities					
Insurance Contract Liabilities - Non Life	17	1,260,983,971	1,070,777,688	878,842,046	704,792,638
Insurance Contract Liabilities - Family Takaful Fund	18.1	445,781,710	471,280,391	-	-
Insurance Contract Liabilities- Unit Linked	18.2	1,913,106,560	1,747,559,594	-	-
Employee Benefits	19	82,631,700	82,572,410	32,218,450	38,851,542
Other Liabilities - Unit Linked	20	74,379,141	50,986,682	-	-
Other Liabilities	21	907,132,967	831,819,801	252,646,187	174,652,121
Subordinated Debt	22	214,527,602	226,250,333	263,096,369	272,402,200
Lease Liability	23.1	116,592,013	113,097,657	13,749,012	14,053,815
Short Term Borrowings	24	-	157,857,492	-	157,857,492
Bank Overdrafts	13	-	56,123,560	-	56,123,560
Total Liabilities		5,015,135,664	4,808,325,606	1,440,552,063	1,418,733,368
Shareholders' Equity					
Equity Attributable to Equity Holders of the Parent					
Stated Capital	14	1,860,001,339	1,860,001,339	1,860,001,339	1,860,001,339
Other Reserves	15	153,197,188	141,525,164	28,477,953	30,029,658
Revenue Reserves	16	(487,950,307)	(637,893,262)	(383,464,404)	(431,761,555)
		1,525,248,220	1,363,633,241	1,505,014,888	1,458,269,442
Non Controlling Interest		570,498,888	461,736,457	-	-
Total Equity		2,095,747,108	1,825,369,698	1,505,014,888	1,458,269,442
Total Equity and Liabilities		7,110,882,772	6,633,695,302	2,945,566,952	2,877,002,808

These Financial Statements are in compliance with the requirements of the Companies Act, No. 07 of 2007.



M. Rinaz Niyas
Head of Finance



Shehan Feisal
Chief Executive Officer

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the Board by:



Osman Kassim
Chairman



M.H.S. Kassim
Managing Director

The notes on pages 81 to 141 are an integral part of these consolidated financial statements.

12 May 2021
Colombo

Statement of Profit or Loss and Other Comprehensive Income

Year ended 31 December 2020		Group		Company	
		2020	2019	2020	2019
	Notes	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	25	4,143,673,826	4,275,775,664	1,839,498,270	1,832,052,947
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)		(1,174,788,491)	(1,156,962,914)	(483,162,934)	(482,358,879)
Net Written Contribution (Premium)		2,968,885,335	3,118,812,750	1,356,335,336	1,349,694,068
Net Change in Reserve for Un-Earned Contribution (Premium)		30,591,806	173,788,550	(10,633,829)	127,361,817
Net Earned Contribution (Premium)		2,999,477,141	3,292,601,300	1,345,701,507	1,477,055,884
Other Revenue					
Income from Investments	26	388,219,117	378,931,821	73,939,920	92,868,259
Other income	27	134,649,140	200,418,925	31,572,007	59,566,374
Total Revenue	28	3,522,345,399	3,871,952,047	1,451,213,434	1,629,490,517
Benefits, Losses and Expenses					
Takaful (Insurance) Claims and Benefits (Net)	29	(1,632,750,665)	(2,244,905,116)	(738,874,019)	(1,055,106,947)
Acquisition Cost (Net of Reinsurance Commission)		(250,332,925)	(258,813,573)	(101,221,711)	(106,451,597)
Change in Family Takaful Contract Liability		(140,186,358)	(27,283,776)	-	-
Other Operating and Administration Expenses	30	(1,190,106,169)	(1,451,741,952)	(535,968,125)	(717,494,894)
Amortisation	31	(7,997,773)	(8,212,337)	(2,110,052)	(2,142,711)
Total Claims, Benefits and Expenses		(3,221,373,891)	(3,990,956,754)	(1,378,173,907)	(1,881,196,148)
Profit / (Loss) from Operations	32	300,971,508	(119,004,707)	73,039,528	(251,705,631)
Finance Cost	33	(40,948,455)	(32,814,219)	(34,276,320)	(32,992,874)
Profit / (Loss) Before Taxation		260,023,052	(151,818,926)	38,763,207	(284,698,505)
Income Tax	34	(37,597,465)	(125,351,194)	-	(96,792,137)
Profit / (Loss) for the Year		222,425,588	(277,170,120)	38,763,207	(381,490,642)
Profit attributable to:					
Equity Holders of the Parent		120,577,502	(337,009,988)	38,763,207	(381,490,642)
Non Controlling Interest		101,848,086	59,839,869	-	-
		222,425,588	(277,170,120)	38,763,207	(381,490,642)
Earnings Per Share					
Basic, Diluted Earnings Per Share	35	0.67	(1.87)	0.22	(2.12)
Other Comprehensive Income					
Items that will never be reclassified to profit or loss					
Defined Benefit Plan Actuarial Losses	19	8,201,311	(1,105,660)	7,017,695	928,180
		8,201,311	(1,105,660)	7,017,695	928,180
Items that are or may be reclassified to profit or loss					
Net Change in Fair Value of Available-for-Sale Financial Assets		28,014,832	133,598,072	964,544	-
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve		4,835,645	3,278,674	-	-
Foreign Currency Translation Differences for Foreign Operations		24,043,144	3,527,910	-	-
		56,893,620	140,404,656	964,544	-
Other Comprehensive Income, Net of tax		65,094,931	139,298,996	7,982,239	928,180
Total Comprehensive Income for the year		287,520,519	(137,871,124)	46,745,446	(380,562,462)
Total Comprehensive Income attributable to:					
Equity Holders of the Parent		161,614,979	(259,638,020)	46,745,446	(380,562,462)
Non Controlling Interest		125,905,539	121,766,897	-	-
		287,520,519	(137,871,124)	46,745,446	(380,562,462)

The notes on pages 81 to 141 are an integral part of these consolidated financial statements.

Statement of Changes in Equity

Year ended 31 December 2020	Stated Capital	Other Reserves		Revenue Reserves			Non Controlling Interest	Total
		Revaluation Reserve	Translation Reserve	Policyholders' Reserve	Available For Sale Reserve	Accumulated Loss		
	Rs.	Rs.		Rs.	Rs.	Rs.	Rs.	Rs.
Group								
Balance as at 01st January 2019	1,860,001,339	33,728,956	107,226,776	(61,960)	1,259,430	(378,883,276)	353,846,144	1,977,117,331
Net Profit / (Loss) for the year	-	-	-			(337,009,988)	59,839,869	(277,170,120)
Other Comprehensive Income								
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-		73,478,940		60,119,132	133,598,072
Net Change in Fair Value of Property, plant and equipment		-						-
Foreign Currency Translation Differences for Foreign Operations	-	-	1,940,351				1,587,560	3,527,910
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve	-	-		2,698,349			580,325	3,278,674
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-				(745,670)	(359,990)	(1,105,660)
Total Comprehensive Income	-	-	1,940,351	2,698,349	73,478,940	(337,755,659)	121,766,819	(137,871,124)
Transfer of revaluation surplus to retained earnings, at the disposal	-	(1,370,919)	-	-	-	1,370,919	-	-
Dividend Paid	-	-	-	-	-	-	(13,876,505)	(13,876,505)
Changes in ownership interests	-	(1,370,919)	-	-	-	1,370,919	(13,876,505)	(13,876,505)
Balance as at 31st December 2019	1,860,001,339	32,358,037	109,167,127	2,636,389	74,738,370	(715,268,022)	461,736,457	1,825,369,698
Net Profit / (Loss) for the period	-	-	-	-	-	120,577,502	101,848,086	222,425,588
Other Comprehensive Income								
Foreign Currency Translation Differences for Foreign Operations	-	-	13,223,729	-	-	-	10,819,415	24,043,144
Net Change in Fair Value of Available-for-Sale Financial Assets - transfer (to)/from policyholders reserve	-	-	-	3,979,736	-	-	855,909	4,835,645
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	-	15,842,202	-	12,172,629	28,014,832
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	-	-	7,991,811	209,500	8,201,311
Total Comprehensive Income	-	-	13,223,729	3,979,736	15,842,202	128,569,312	125,905,539	287,520,518
Transfer of revaluation surplus to retained earnings, at the disposal	-	(1,551,705)	-	-	-	1,551,705	-	-
Dividend Paid	-	-	-	-	-	-	(17,143,108)	(17,143,108)
Total changes in ownership interests	-	(1,551,705)	-	-	-	1,551,705	(17,143,108)	(17,143,108)
Balance as at 31st December 2020	1,860,001,339	30,806,332	122,390,856	6,616,125	90,580,573	(585,147,004)	570,498,888	2,095,747,108

The notes on pages 81 to 141 are an integral part of these consolidated financial statements.

Year ended 31 December 2020	Stated	Other Reserves	Revenue Reserves		Total
	Capital	Revaluation Reserve	Available For Sale Reserve	Accumulated Profit/(Loss)	
	Rs.	Rs.	Rs.		Rs.
Company					
Balance as at 01st January 2019	1,860,001,339	31,400,577	-	(52,570,012)	1,838,831,904
TOTAL COMPREHENSIVE INCOME					
Net Profit / (Loss) for the period	-	-	-	(381,490,642)	(381,490,642)
Other Comprehensive Income					
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	928,180	928,180
Total Comprehensive Income	-	-	-	(380,562,462)	(380,562,462)
Transfer from the Revaluation Reserve	-	(1,370,919)	-	1,370,919	-
Balance as at 31st December 2019	1,860,001,339	30,029,658	-	(431,761,555)	1,458,269,442
TOTAL COMPREHENSIVE INCOME					
Net Profit / (Loss) for the period	-	-	-	38,763,207	38,763,207
Other Comprehensive Income					
Net Change in Fair Value of Available-for-Sale Financial Assets			964,544		964,544
Transfer from the Revaluation Reserve	-	(1,551,705)	-	1,551,705	-
Defined Benefit Plan Actuarial Losses, Net of Deferred Tax	-	-	-	7,017,695	7,017,695
Total Comprehensive Income	-	(1,551,705)	964,544	47,332,607	46,745,446
Balance as at 31st December 2020	1,860,001,339	28,477,953	964,544	(384,428,948)	1,505,014,888

The notes on pages 81 to 141 are an integral part of these consolidated financial statements.

Statement of Cash Flows

Year ended 31 December 2020	Notes	Group		Company	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
Operating Activities					
Contribution (Premium) Received from Participants		4,286,973,173	5,042,801,921	1,950,781,151	2,251,575,118
Retakaful (Reinsurance) Premium Paid		(972,389,190)	(1,007,189,923)	(412,236,984)	(486,182,033)
Claims, Benefits and Expenses Paid		(1,730,316,373)	(3,061,415,093)	(880,383,644)	(1,680,890,080)
Retakaful (Reinsurance) Receipts in Respect of Claims		445,027,213	891,532,018	314,046,258	684,599,623
Cash Paid to and on behalf of Employees		(818,769,894)	(720,263,051)	(546,423,242)	(558,631,038)
Profits Received from Investments and Other Income		350,207,031	297,882,480	64,868,059	43,260,243
Dividends Received		26,538,696	20,021,600	21,211,688	16,960,173
Finance Cost Paid		(48,113,145)	(39,121,000)	(34,276,320)	(32,992,874)
Other Operating Cash Payments		(1,118,764,341)	(1,373,205,388)	(484,074,136)	(392,243,907)
Cash Flow from/(used in) Operating Activities (Note A)		420,393,171	51,043,564	(6,487,170)	(154,544,775)
Employee Benefit Paid	19	(11,822,149)	(5,198,854)	(10,381,414)	(4,057,042)
Income Tax Paid		(28,095,276)	(34,644,360)	-	-
Net Cash Flow from/(used in) Operating Activities		380,475,746	11,200,350	(16,868,585)	(158,601,817)
Investing Activities					
Purchase of Investment Securities		(1,544,526,852)	(1,083,270,245)	(409,801,318)	(136,396,867)
Sale of Investment Securities		1,196,491,738	1,097,327,689	480,161,627	137,450,492
Purchase of Intangible Assets	5	(2,973,644)	(31,522,493)	(728,200)	(834,800)
Purchase of Property, Plant and Equipment	6	(8,140,406)	(23,769,355)	(2,816,704)	(1,738,362)
Proceeds from Disposal of Property, Plant and Equipment	27	1,515,843	890,582	1,515,843	890,582
Proceeds from Disposal of Investment Property	7	-	29,500,000	-	29,500,000
Net Cash Flows used in Investing Activities		(357,633,321)	(10,843,822)	68,331,248	28,871,046
Financing Activities					
Repayment of Lease Facility	23	(22,779,329)	(13,746,220)	(6,971,496)	(5,024,583)
Short Term Loans Obtained	24	93,000,000	477,000,000	93,000,000	477,000,000
Repayment of Short Term Borrowings	24	(250,857,492)	(519,919,785)	(250,857,492)	(519,919,785)
Obtained / (Repayments) of Subordinated Debt		(14,000,000)	181,647,786	(14,000,000)	174,657,440
Dividend Paid		(38,095,796)	(30,836,677)	-	-
Net Cash Flows from Financing Activities		(232,732,615)	94,145,104	(178,828,988)	126,713,072
Increase/(Decrease) in Cash and Cash Equivalents (Note B)		(209,890,192)	94,501,559	(127,366,324)	(3,017,700)

Year ended 31 December 2020	Notes	Group		Company	
		2020	2019	2020	2019
		Rs.	Rs.	Rs.	Rs.
NOTE A					
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations					
Profit/(Loss) from Operations	32	300,971,508	(119,004,707)	73,039,528	(251,705,631)
Depreciation	6	24,687,755	24,762,530	12,792,840	15,419,143
Amortisation	5	7,997,773	8,212,337	2,110,052	2,142,711
Depreciation of Right of use assets	23	26,680,986	12,738,100	5,532,472	4,259,938
Provision for Employee Benefit	19	19,186,318	19,802,543	10,766,017	8,808,673
(Increase)/Decrease in Debtors and Other Assets		(150,708,262)	270,394,651	(236,915,206)	396,341,705
Increase in Family Takaful (Long Term Insurance) Fund		25,498,681	63,687,079	-	-
Increase/(Decrease) in Net Unearned Contribution (Premium)	28	(30,591,806)	(173,788,550)	10,633,829	(127,361,817)
Increase/(Decrease) in IBNR & General Reserve Provision		96,632,709	30,278,045	6,792,000	10,100,910
Increase/(Decrease) in Claims Provision		118,534,392	(179,679,757)	66,279,503	(170,553,687)
Increase/(Decrease) in Other Creditors		21,480,068	124,282,472	77,994,066	(8,464,825)
Profit on Sale of Property, Plant & Equipment	27	(1,515,843)	(890,582)	(1,515,843)	(890,582)
Profit/(Loss) on Intangible Assets		2,173,571	-	-	-
Finance Cost	33	(40,948,455)	(32,814,219)	(34,276,320)	(32,992,874)
(Gain)/Loss on Fair Value of Investment Property	7	-	(500,000)	-	(500,000)
Exchange (Gain)/Loss	27	313,777	3,563,622	279,892	851,555
Cash Flows from/(used in) Operating Activities		420,393,171	51,043,564	(6,487,170)	(154,544,775)
Note B					
Increase/(Decrease) in Cash and Cash Equivalents					
Cash at bank and in Hand and Cash Equivalents					
Cash and Cash Equivalents at the end of the period	13	567,505,853	777,396,045	249,275,887	376,642,211
Cash and Cash Equivalents at the beginning of the year	13	777,396,045	682,894,486	376,642,211	379,659,911
Increase/(Decrease) in Cash and Cash Equivalents		(209,890,192)	94,501,559	(127,366,324)	(3,017,700)

The notes on pages 81 to 141 are an integral part of these consolidated financial statements.

Segment Analysis –

Statement of Financial Position – 2020

Year ended 31 December 2020	Amana Takaful PLC	Amana Takaful Life PLC	Amana Takaful Maldives PLC	Amana Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Intangible Assets	28,336,185	18,363,194	62,612,275	-	-	109,311,653
Property, Plant and Equipment	36,112,121	15,347,219	17,191,429	-	-	68,650,769
Deferred Tax Asset	-	-	7,549,555	-	-	7,549,555
Investment Property	46,500,000	147,500,000	-	-	-	194,000,000
Investment in Subsidiaries	1,052,867,811	-	-	-	(1,052,867,811)	-
Financial Assets	805,547,093	860,603,295	1,643,035,149	-	(131,944,068)	3,177,241,470
Retakaful (Reinsurance) Receivables	362,802,595	11,449,309	45,263,343	-	-	419,515,247
Contribution (Premium) Receivables	471,905,295	37,119,107	130,168,518	-	-	639,192,920
Other Assets	80,265,104	38,511,686	104,390,378	-	-	223,167,168
Financial Assets - Unit Linked	-	1,907,619,575	-	-	-	1,907,619,575
Right Of Use Asset	12,936,038	20,838,753	215,780,861	-	-	249,555,652
Related Party Receivable	895,235	-	1,299,780	-	(2,195,015)	-
Cash and Bank Balances	47,399,475	39,626,364	24,857,908	951,144	-	112,834,891
Cash and Bank Balances - Unit Linked	-	2,243,871	-	-	-	2,243,871
Total Assets	2,945,566,952	3,099,222,373	2,252,149,196	951,144	(1,187,006,893)	7,110,882,772
Liabilities						
Insurance Contract Liabilities - Non Life	878,842,046	-	382,141,925	-	-	1,260,983,971
Insurance Contract Liabilities - Family Takaful Fund	-	445,781,710	-	-	-	445,781,710
Insurance Contract Liabilities - Family Takaful Unit Linked	-	1,913,106,560	-	-	-	1,913,106,560
Retakaful (Reinsurance) Payables	-	-	148,474,169	-	-	148,474,169
Employee Benefits	32,218,450	11,710,758	38,702,492	-	-	82,631,700
Other Liabilities - Unit Linked	-	74,379,141	-	-	-	74,379,141
Other Liabilities	251,346,407	93,889,087	400,547,610	12,875,693	-	758,658,797
Related Party Payable	1,299,780	-	-	895,235	(2,195,015)	-
Subordinated Debt	263,096,369	83,375,301	-	-	(131,944,068)	214,527,602
Lease Liability	13,749,012	17,820,151	85,022,850	-	-	116,592,013
Total Liabilities	1,440,552,063	2,640,062,709	1,054,889,046	13,770,928	(134,139,083)	5,015,135,664
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	28,477,953	11,545,268	217,196,969	-	(104,023,002)	153,197,188
Revenue Reserves	(383,464,404)	(52,385,605)	777,692,462	(49,944,784)	(779,847,977)	(487,950,307)
	1,505,014,888	459,159,663	1,197,260,149	(12,819,784)	(1,623,366,698)	1,525,248,220
Non Controlling Interest	-	-	-	-	570,498,888	570,498,888
Total Equity	1,505,014,888	459,159,663	1,197,260,149	(12,819,784)	(1,052,867,810)	2,095,747,108
Total Equity and Liabilities	2,945,566,952	3,099,222,373	2,252,149,196	951,144	(1,187,006,893)	7,110,882,772

The notes on pages 81 to 141 are an integral part of these consolidated financial statements.

Segment Analysis – Statement of Profit or Loss and Other Comprehensive Income – 2020

Year ended 31 December 2020	Amana Takaful PLC	Amana Takaful Life PLC	Amana Takaful Maldives PLC	Amana Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	1,839,498,270	767,231,684	1,537,523,580	-	(579,707)	4,143,673,826
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(483,162,934)	(23,837,484)	(667,788,073)	-	-	(1,174,788,491)
Net Written Contribution (Premium)	1,356,335,336	743,394,200	869,735,507	-	(579,707)	2,968,885,335
Net Change in Reserve for						
Un-Earned Contribution (Premium)	(10,633,829)	(641,324)	41,866,959	-	-	30,591,806
Net Earned Contribution (Premium)	1,345,701,507	742,752,876	911,602,465	-	(579,707)	2,999,477,141
Other Income						
Income from Investments	73,939,920	268,311,498	74,085,082	-	(28,117,378)	388,219,117
Other Operating Income	31,572,007	21,684,797	81,358,453	5,433,884	(5,400,000)	134,649,140
Total Revenue	1,451,213,434	1,032,749,170	1,067,045,999	5,433,884	(34,097,085)	3,522,345,399
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits-net	(738,874,019)	(447,220,259)	(446,656,389)	-	-	(1,632,750,665)
Acquisition Cost (Net of Reinsurance Commission)	(101,221,711)	(103,131,926)	(45,979,288)	-	-	(250,332,925)
Increase in Family Takaful (Long Term Insurance) Fund	-	(140,186,358)	-	-	-	(140,186,358)
Less : Indirect Expenses						
Other Operating and Administration Expenses	(523,175,285)	(360,456,171)	(281,696,599)	(6,089,008)	5,979,707	(1,165,437,357)
Amortisation	(2,110,052)	(1,295,725)	(4,591,996)	-	-	(7,997,773)
Depreciation	(12,792,840)	(6,975,077)	(4,900,896)	-	-	(24,668,813)
Profit / (Loss) from Operations	73,039,528	(26,516,346)	283,220,831	(655,124)	(28,117,378)	300,971,508
Finance Cost	(34,276,320)	(8,196,103)	(5,640,722)	-	7,164,690	(40,948,455)
Profit/(Loss) Before Taxation	38,763,207	(34,712,449)	277,580,108	(655,124)	(20,952,688)	260,023,052
Income Tax	-	-	(37,597,465)	-	-	(37,597,465)
Profit/(Loss) for the period	38,763,207	(34,712,449)	239,982,643	(655,124)	(20,952,688)	222,425,588

The notes on pages 81 to 141 are an integral part of these consolidated financial statements.

Segment Analysis –

Statement of Financial Position – 2019

Year ended 31 December	Amana Takaful PLC	Amana Takaful Life PLC	Amana Takaful Maldives PLC	Amana Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Intangible Assets	29,718,037	19,658,919	65,077,550	-	-	114,454,506
Property, Plant and Equipment	48,374,578	20,109,849	17,901,457	-	-	86,385,885
Deferred Tax Asset	-	-	5,984,719	-	-	5,984,719
Investment Property	46,500,000	147,500,000	-	-	-	194,000,000
Investment in Subsidiaries	1,052,867,811	-	-	-	(1,052,867,811)	-
Financial Assets	839,380,544	816,349,834	1,303,762,377	-	(127,804,695)	2,831,688,060
Retakaful (Reinsurance) Receivables	190,265,962	-	140,370,036	-	-	330,635,917
Contribution (Premium) Receivables	395,623,737	36,692,115	157,624,607	-	-	589,940,459
Other Assets	89,985,873	37,022,003	83,582,868	-	-	210,590,711
Financial Assets - Unit Linked	-	1,716,210,033	-	-	-	1,716,210,033
Right Of Use Asset	13,818,976	16,063,681	225,451,788	-	-	255,334,446
Related Party Receivable	3,077,451	6,359,096	3,480,817	450,000	(13,367,365)	-
Cash and Bank Balances	167,389,849	70,324,846	21,974,534	583,629	-	260,272,858
Cash and Bank Balances - Unit Linked	-	38,197,730	-	-	-	38,197,730
Total Assets	2,877,002,808	2,924,488,105	2,025,210,751	1,033,629	(1,194,039,869)	6,633,695,302
Liabilities						
Insurance Contract Liabilities - Non Life	704,792,638	-	365,985,049	-	-	1,070,777,687
Insurance Contract Liabilities - Family Takaful Fund	-	471,280,391	-	-	-	471,280,391
Insurance Contract Liabilities - Family Takaful Unit Linked	-	1,747,559,594	-	-	-	1,747,559,594
Retakaful (Reinsurance) Payables	-	-	257,775,515	-	-	257,775,515
Employee Benefits	38,851,542	10,090,893	33,629,980	-	-	82,572,415
Other Liabilities - Unit Linked	-	50,986,682	-	-	-	50,986,682
Other Liabilities	164,903,490	59,848,341	336,572,612	12,955,655	(235,770)	574,044,245
Related Party Payable	9,748,632	2,835,413	540,685	242,634	(13,367,365)	-
Subordinated Debt	272,402,200	81,417,058	-	-	(127,568,925)	226,250,333
Lease Liability	14,053,816	12,616,879	86,426,963	-	-	113,097,658
Short Term Borrowings	157,857,492	-	-	-	-	157,857,492
Bank Overdrafts	56,123,560	-	-	-	-	56,123,560
Total Liabilities	1,418,733,368	2,436,635,252	1,080,930,804	13,198,289	(141,172,059)	4,808,325,606
Shareholders' Equity						
Equity Attributable to Equity Holders of the Parent						
Stated Capital	1,860,001,339	500,000,000	202,370,719	37,125,000	(739,495,719)	1,860,001,339
Other Reserves	30,029,658	6,709,623	198,356,342	-	(93,570,491)	141,525,164
Revenue Reserves	(431,761,555)	(18,856,770)	543,552,887	(49,289,660)	(681,538,126)	(637,893,262)
	1,458,269,442	487,852,853	944,279,947	(12,164,660)	(1,514,604,258)	1,363,633,241
Non Controlling Interest	-	-	-	-	461,736,457	461,736,457
Total Equity	1,458,269,442	487,852,853	944,279,947	(12,164,660)	(1,052,867,801)	1,825,369,698
Total Equity and Liabilities	2,877,002,808	2,924,488,105	2,025,210,751	1,033,629	(1,194,039,869)	6,633,695,302

The notes on pages 81 to 141 are an integral part of these consolidated financial statements.

Segment Analysis – Statement of Profit or Loss and Other Comprehensive Income – 2019

Year ended 31 December	Amana Takaful PLC	Amana Takaful Life PLC	Amana Takaful Maldives PLC	Amana Global Ltd.	Adjustments	Group
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	1,832,052,947	851,292,853	1,598,455,000	-	(6,025,137)	4,275,775,664
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(482,358,879)	(32,419,293)	(642,184,742)	-	-	(1,156,962,914)
Net Written Contribution (Premium)	1,349,694,068	818,873,561	956,270,258	-	(6,025,137)	3,118,812,750
Net Change in Reserve for						
Un-Earned Contribution (Premium)	127,361,817	1,639,884	44,786,850	-	-	173,788,550
Net Earned Contribution (Premium)	1,477,055,884	820,513,445	1,001,057,108	-	(6,025,137)	3,292,601,300
Other Income						
Income from Investments	92,868,259	255,617,132	53,713,380	-	(23,266,954)	378,931,821
Other Operating Income	59,566,374	64,609,056	76,210,752	5,432,743	(5,400,000)	200,418,925
Total Revenue	1,629,490,517	1,140,739,633	1,130,981,241	5,432,743	(34,692,091)	3,871,952,047
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits-net	(1,055,106,947)	(591,894,900)	(601,255,302)	-	3,352,032	(2,244,905,116)
Acquisition Cost (Net of Reinsurance Commission)	(106,451,597)	(117,897,768)	(34,464,209)	-	-	(258,813,573)
Increase in Family Takaful (Long Term Insurance) Fund	-	(27,283,776)	-	-	-	(27,283,776)
Less : Indirect Expenses						
Other Operating and Administration Expenses	(702,075,751)	(426,284,170)	(314,559,967)	(6,621,479)	15,229,980	(1,434,311,387)
Amortisation	(2,142,711)	(1,295,725)	(4,773,901)	-	-	(8,212,337)
Depreciation	(15,419,143)	-	(2,011,425)	-	-	(17,430,567)
Profit / (Loss) from Operations	(251,705,631)	(23,916,707)	173,916,438	(1,188,736)	(16,110,078)	(119,004,707)
Finance Cost	(32,992,874)	(5,201,324)	(926,802)	-	6,306,781	(32,814,219)
Profit/(Loss) Before Taxation	(284,698,505)	(29,118,030)	172,989,636	(1,188,736)	(9,803,297)	(151,818,926)
Income Tax	(96,792,137)	-	(28,559,057)	-	-	(125,351,194)
Profit/(Loss) for the period	(381,490,642)	(29,118,030)	144,430,578	(1,188,736)	(9,803,297)	(277,170,120)

The notes on pages 81 to 141 are an integral part of these consolidated financial statements.

Statement of Financial Position of Family Takaful (Life Insurance) - Supplemental

Year ended 31 December	2020	2019
	Rs.	Rs.
ASSETS		
Intangible Assets	18,363,194	19,658,919
Property, Plant and Equipment	15,347,219	20,109,849
Investment Property	147,500,000	147,500,000
Financial Assets	860,603,295	816,349,834
Right of use of Asset	20,838,753	16,063,681
Contribution (Premium) Receivables	37,119,107	36,692,115
Other Assets	38,511,686	43,381,099
Financial Assets - Unit Linked	1,907,619,575	1,716,210,033
Cash and Bank balances	39,626,364	70,324,846
Cash and Bank balances - Unit Linked	2,243,871	38,197,730
Total Assets	3,099,222,373	2,924,488,105
LIABILITIES		
Insurance Contract Liability - Family Takaful Fund	445,781,710	471,280,391
Insurance Contract Liability - Family Takaful - Unit Linked	1,913,106,560	1,747,559,594
Employee Benefits	11,710,758	10,090,893
Other Liabilities - Unit Linked	74,379,141	50,986,682
Subordinated Debt	83,375,301	81,417,058
Other Liabilities	93,889,087	62,683,755
Lease Liability	17,820,151	12,616,879
Total Liabilities	2,640,062,709	2,436,635,252
Shareholders' Equity		
Stated Capital	500,000,000	500,000,000
Other Reserves	11,545,268	6,709,623
Revenue Reserves	(52,385,605)	(18,856,770)
Total Equity	459,159,663	487,852,853
Total Equity and Liabilities	3,099,222,373	2,924,488,105

Notes to the Financial Statements 2020

1. CORPORATE INFORMATION

1.1 General

Amana Takaful PLC ("Company") is a public limited liability company incorporated and domiciled in Sri Lanka. The registered office of the Company is located at 660 – 1/1, Galle Road, Colombo 03.

The shares of the Company are listed on the Secondary Board of the Colombo Stock Exchange.

These consolidated Financial Statements comprise the Company and its subsidiaries (collectively the 'Group' and individually 'Group companies').

1.2 Principal Activities and Nature of Operations

Company

During the year, the principal activity of the Company was General Takaful Insurance Business.

Subsidiary

The principal activity of Amana Global Limited (100% stake) is providing services such as Technical Support, Research and Development, under section 17 of the Board of Investment of Sri Lanka Law No. 4 of 1978.

Amana Takaful Maldives PLC, which is a subsidiary (55%) of Amana Takaful PLC was incorporated to carry out Insurance Business in the Republic of Maldives and has obtained license from Maldivian Monetary Authority on 04 March 2010 to carry out General Takaful Business.

Amana Takaful Life PLC (82.3% stake) was incorporated on 10 July 2014 in which principal activity of the Company is Life Takaful insurance.

1.3 Date of Authorisation for issue

The Consolidated and Separate Financial Statements of Amana Takaful PLC for the year ended 31 December 2020 was authorised for issue by the Board of Directors on 12 May 2021.

1.4 Responsibility for Financial Statements

The Board of Directors is responsible for these financial statements.

2. BASIS OF PREPARATION

The Group's Statement of Financial Position represents the assets, liabilities and equity of General Takaful (Non-life Insurance), Family Takaful (Life Insurance) and Shareholders' Fund. The Statement of Financial position of the Family Takaful (Life Insurance) Fund represents assets and liabilities of the Family Takaful (Life Insurance) Fund.

The Group's Statement of Financial Position includes the assets and liabilities of Amana Global Limited, Amana Takaful Maldives PLC and Amana Takaful Life PLC.

The Group's Statement of Profit or loss and Other Comprehensive Income reflects the underwriting results of General Takaful business, surplus from Family Takaful business and investment and other income of General Takaful, Family Takaful and Shareholders' Funds and related expenses. The results of Amana Global Limited, Amana Takaful Maldives PLC and Amana Takaful Life PLC, are also included in the Group Statement of Profit or loss and Other Comprehensive Income.

Financial assets and financial liabilities are offset and the net amount reported in the Consolidated Statement of Financial Position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the assets and settle the liability simultaneously.

2.1 Statement of Compliance

The Consolidated Statement of Financial Position, the Consolidated Statement of Profit or loss and Other Comprehensive Income, Changes in Equity and Cash Flows, together with accounting policies and notes, ("Financial Statements") as at and for the year then ended, have been prepared in accordance with Sri

Lanka Accounting Standards (hereinafter referred to as SLFRS/ LKAS) as issued by the Institute of Chartered Accountants of Sri Lanka (CA), and comply with the requirements of the Companies Act, No. 7 of 2007, the Regulation of Insurance Industry Act, No. 43 of 2000 and amendments thereto.

2.2 Basis of Measurement

The Consolidated and Separate Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

- Motor vehicles included in Property, Plant and Equipment measured at fair value
- Financial instruments at fair value through profit or loss are measured at fair value
- Available-for-sale financial assets are measured at fair value
- Investment properties, which are measured at fair value
- Policyholders' liabilities have been measured at actuarial determined values
- The liability for Defined Benefit Obligations are actuarially valued and recognised at the present value
- Incurred but not reported / Incurred but not enough reported liability – actuarially determined values based on internationally accepted actuarial policies and methodologies

The Group presents its Statement of Financial Position broadly in the order of liquidity.

2.3 Functional and Presentation Currency

These consolidated and separate Financial Statements are presented in Sri Lankan Rupees (Rs.), which is the Company's functional and presentation currency.

2.4 Use of Estimates and Judgments

In the process of applying the group accounting policies, management is

Notes to the Financial Statements 2020

required to make judgments, apart from those involving estimations, which has the most significant effect on the amounts recognised in the consolidated Financial Statements. Further, the management is required to consider key assumptions concerning the future and other key sources of estimation uncertainty at the Reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The respective carrying amounts of assets and liabilities are given in related notes to the consolidated and separate Financial Statements. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

The key items as such are discussed below.

2.4.1 Assumption and Estimation Uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 December 2020 is included in the following notes:

2.4.1.1 Note 7 – Investment Property

The Group has determined the fair value of its investment properties based on the valuation reports submitted by Mr. P. P. T. Mohideen (FIV, MRICS). The fair value is determined, taking into consideration the situation, location infrastructure facilities, amenities available, present market value of close properties etc.

2.4.1.2 Actuarial Valuations of the Insurance Provisions

The valuation of Long-Term Insurance Provision and General Insurance Provisions were carried out by Actuarial Partners Consulting Sdn. Bhd. (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia and NMG Consulting respectively.

(i) Note 17 – General Insurance Provision

Non-life insurance contract liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are known as the outstanding claims provision, which are based on the estimated ultimate cost of all claims incurred but not settled at the Reporting date, whether reported or not, together with related claims handling costs and reduction for the expected value of salvage and other recoveries. Delays can be experienced in the notification and settlement of certain types of claims, therefore the ultimate cost of these cannot be known with certainty at the reporting date. This calculation uses current estimates of future contractual cash flows, after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions. If these estimates show that the carrying amount of the unearned premiums is inadequate, the deficiency is recognised in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy. The liability is not discounted for the time value of money. No provision for equalisation or catastrophe reserves is recognised. The liabilities are derecognised when the contract expires, is discharged or is cancelled.

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally, the reserve is released over the term of the contract and is recognised as premium income. At each reporting date, the Group reviews its unexpired risk and a liability adequacy test is performed to determine whether there is any overall excess of expected claims and over unearned premiums. This calculation uses current estimates of future contractual cash flows after taking account of the investment return expected to arise on assets relating to the relevant non-life insurance technical provisions.

If these estimates show that the carrying amount of the unearned premiums is

inadequate, the deficiency is recognised in the Statement of Profit or loss and Other Comprehensive Income by setting up a provision for liability adequacy.

(ii) Note 18 – Long Term Insurance Provision – (Family Takaful Fund)

Life insurance liabilities are recognised when contracts are entered into and premiums are receivable. At each Reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using a liability adequacy test.

Significant estimates and assumptions made in respect of Actuarial Valuations have been disclosed in the Note 18 to the Financial Statements.

2.4.1.3 Note 19 – Employee Benefits

The Defined Benefit Obligation and the related charge for the year are determined using assumptions required under actuarial valuation techniques. The valuation involves making assumptions about discount rates, future salary increases, staff turnover rates etc. Due to the long-term nature of such obligations these estimates are subject to significant uncertainty.

2.4.1.4 Note 34.2 – Deferred Tax Asset

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the best estimate of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

2.4.1.5 Note 8 – Investment in Subsidiaries

Fair value of Investment Transferred

The determination of fair value of investment transferred recorded on the statement of Profit or loss and Other Comprehensive Income and the corresponding entry being recorded in investment in Subsidiary on the

statement of Financial Position is determined using a variety of valuation techniques that include the use of mathematical techniques. The inputs to these models are derived from observable market data where possible, but if this is not available, judgment is required to establish their fair values. The Board of Directors decided the fair value of share based on different valuation techniques.

2.5 Measurement of fair values

A number of the Group's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability might be categorised in different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in measuring fair values is included in the following notes:

- Note 6 – Property, plant and equipment
- Note 7 – Investment Property
- Note 9 & 12 – Financial Assets and Financial Assets Unit Linked

2.6 Segment Reporting

A segment is a distinguishable component of the Group engaged in providing services, subject to risks and rewards that are different to those of other segments.

Segmental information is based on industry segments reflecting the Group's management structure. Segmentation has been determined, based on the activities of the companies or sectors into which the product or services are sold. The primary format is based on the core business, General, Family and Fund management services of Shareholders' Fund and Technical Services.

Inter-segment transactions are based on fair market prices.

Expenses directly identified to a particular segment, are charged accordingly. Expenses that cannot be directly identified to a particular segment are allocated on basis decided by the management and applied consistently throughout the period.

The Group's activities are located mainly in Sri Lanka and Maldives. Consequently, assets and liabilities by geographic region are considered not material to be disclosed.

2.7 Going Concern

In determining the basis of preparing the financial statements for the year ended 31 December 2020, based on available information, the management has assessed the existing and anticipated effects of COVID-19 on the Group and

the appropriateness of the use of the going concern basis.

Subsequent to the outbreak of COVID-19 in Sri Lanka, the Group has adhered to the guidelines and directions issued by both the Government and Insurance Regulatory Commission of Sri Lanka (IRCSL) when conducting its business operations. In addition to that, the management of the Group evaluated the resilience of the business considering a wide range of factors under multiple stress tested scenarios, relating to expected premium volumes, volatility of claims, expense management, profitability, ability to defer non-essential capital expenditure, re-insurance payment timelines, liquidity of the investment portfolio and the ability to continue providing services to ensure businesses continue as least impacted as possible.

The management has made an assessment of its ability to continue as a going concern and is satisfied that it has the resources to continue in business for a foreseeable future. Furthermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group's ability to continue as a going concern. Therefore, the financial statements continue to be prepared on the going concern basis.

In determining the above significant management judgements, estimates and assumptions, the impact of the COVID-19 pandemic has been considered as of reporting date and specific considerations have been disclosed under the relevant notes

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate Financial Statements.

The comparative information has been re-classified wherever necessary to conform with the current year's presentation in order to provide a better presentation.

Notes to the Financial Statements 2020

3.1 Basis of Consolidation

3.1.1 Business Combinations

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration payable is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

3.1.2 Non-Controlling Interests (NCI)

NCI are measured at their proportionate share of the acquiree's identifiable net assets at the Balance sheet date.

Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions.

3.1.3 Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the Consolidated Financial

Statements from the date on which control commences until the date on which control ceases.

3.1.4 Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

3.1.5 Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated.

3.1.6 Common Control Transactions

A business combination involving entities or businesses under common control is a business combination in which all of the combining entities or businesses ultimately are controlled by the same party or parties both before and after the combination, and that control is not transitory.

The acquirer of the common control transaction applies book value accounting for all common control transactions.

In applying book value accounting, no entries are recognised in Profit or Loss; instead, the result of the transaction is recognised in equity as arising from a transaction with shareholders.

3.1.7 Common control transactions in separate financial statements

When an investment in a subsidiary, associate or joint venture is acquired in a common control transaction, the investment shall be measured at the fair value of the consideration given (be it cash, other assets or additional shares) plus, where applicable any costs directly attributable to the acquisition.

When the purchase consideration does not correspond to the fair value of the

investment acquired, the transaction shall be recorded at fair value, irrespective of the actual consideration; any difference between fair value and agreed consideration will be a contribution to or a distribution of equity for a subsidiary, or an increase in the investment held or a distribution received by the parent.

3.2 Foreign Currency

3.2.1 Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group companies at exchange rates at the dates of the transactions.

Monetary assets and liabilities denominated in foreign currencies are translated to the functional currency at the exchange rate at the reporting date.

Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated to the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured, based on historical cost in a foreign currency, are translated using the exchange rates as at the dates of the initial transactions.

Foreign currency differences are generally recognised in profit or loss.

However, foreign currency differences arising from the translation of available-for-sale equity investments (except on impairment, in which case foreign currency differences that have been recognised in OCI, are reclassified to profit or loss); are recognised in OCI:

3.2.2 Foreign operations

The assets and liabilities of overseas subsidiaries deemed as foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated into Sri Lankan Rupees at the exchange rates at the reporting date. The income and expenses of foreign operations are translated into Sri Lankan Rupees at the exchange rates at the dates of the transactions.

Foreign currency differences are recognised in OCI and accumulated in the translation reserve, except to the extent that the translation difference is allocated to NCI.

When a foreign operation is disposed of in its entirety or partially, such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. If the Group disposes of part of its interest in a subsidiary but retains control, then the relevant proportion of the cumulative amount is reattributed to NCI.

If the settlement of a monetary item receivable from or payable to a foreign operation is neither planned nor likely to occur in the foreseeable future, then foreign currency differences arising from such item form, part of the net investment in the foreign operation. Accordingly, such differences are recognised in OCI and accumulated in the translation reserve.

3.3 Income Tax

Income tax expense comprises current and deferred tax. It is recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in equity or in OCI.

3.3.1 Current Taxes

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the Commissioner General of Inland Revenue. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the reporting date.

The provision for income tax is based on the elements of income and expenditure, as reported in the Consolidated and Separate Financial Statements and computed in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017 and the amendments thereto.

3.3.2 Deferred Taxation

Deferred income tax is provided, using the liability method, on all temporary differences at the Reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognised for all taxable temporary differences.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the carry forward of unused tax assets and unused tax losses can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the Reporting date.

3.4 Intangible Assets

3.4.1 Goodwill

Goodwill arising on the acquisition of subsidiaries is measured at the acquisition date as:

- the fair value of the consideration transferred; plus
- the recognised amount of any non-controlling interests in the acquiree; plus
- if the business combination is achieved in stages, the fair value of the pre-existing equity interest in the acquiree; less

- The net recognised amount (fair value) of the identifiable assets acquired and liabilities assumed.

Subsequently, Goodwill is measured at cost less accumulated impairment losses.

Goodwill is reviewed for impairment, annually or more frequently if event or changes in circumstances indicate that the carrying value may be impaired.

3.4.2 Research & Development

Expenditure on development activities is capitalised only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Group intends to and has sufficient resources to complete development and to use or sell the asset. Subsequent to initial recognition, development expenditure is measured at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is recognised in the Statement of Profit or Loss and Other Comprehensive Income on a systematic basis over 20 years to reflect the pattern in which the related economic benefits are recognised.

Research and other development expenditure are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year it is incurred.

3.4.3 Other Intangible Assets

Intangible assets acquired separately are measured on initial recognition at cost. Following the initial recognition of the intangible assets, the cost model is applied, requiring the assets to be carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life

Notes to the Financial Statements 2020

are reviewed at least at each financial year end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate and treated as changes in accounting estimates.

The amortisation expense on intangible assets with finite lives is recognised in the Statement of Profit or Loss and Other Comprehensive Income in the expense category consistent with the nature of the intangible asset. Amortisation commences when the assets were available for use.

The useful lives and the amortisation methods of intangible assets with finite lives are as follows:

Class	Use ful Life	Amortisation method
Computer Software	08-20 years	Straight line method

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the asset is derecognised.

3.5 Prepaid Expenditure

Expenditure which is deemed to have a benefit or relationship to more than one financial year is classified as prepaid expenditure. Such expenditure is written off over the period, to which it relates, on a straight-line basis.

3.6 Salvage Stock

Salvage Stocks are valued at since realised/realisable value.

3.7 Retakaful (Reinsurance) and Contribution (Premium) Receivable

The Group cedes insurance risk, in the normal course of business for all of its businesses. Reinsurance assets

represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance assets are reviewed for impairment at each Reporting date or more frequently when an indication of impairment arises during the Reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Group may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Group will receive from the reinsurer. The impairment loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group also assumes reinsurance risk in the normal course of business for life insurance and non-life insurance contracts where applicable. Premiums and claims on assumed reinsurance are recognised as revenue or expenses in the same manner as they would be, if the reinsurance were considered direct business, taking into account the product classification of the reinsured business.

Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract.

Premiums and claims are presented on a gross basis for both ceded and assumed reinsurance.

Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expired or when the contract is transferred to another party.

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. The

carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the Statement of Profit or Loss and Other Comprehensive Income.

3.8 Other Assets & Receivables

Other assets & receivables are stated at their estimated realisable value

3.9 Property, Plant and Equipment

3.9.1 Cost

The Property, Plant and Equipment are stated at cost (except for motor vehicles) less accumulated depreciation and any accumulated impairment losses.

The cost of Property, Plant & Equipment is the cost of acquisition or construction, together with any expenses incurred in bringing the asset to its working condition for its intended use.

When parts of an item of Property, Plant & Equipment have different useful lives, they are accounted for as separate items (major components) of Property, Plant & Equipment.

Expenditure incurred for the purpose of acquiring, extending or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business has been treated as capital expenditure.

The Group has revalued its entire class of motor vehicles as at 31 December 2018 and has carried it at the revalued amount in the Consolidated and Separate Statement of Financial Position. The motor vehicles are revalued every three years on a rollover basis to ensure that the carrying amounts do not differ materially from the fair value at the Reporting date.

An item of Property, Plant & Equipment is derecognised upon disposal or when no future economic benefits are expected from its use. Any gain or losses arising on derecognition of the asset is included in the Statement of Profit or Loss and Other

Comprehensive Income in the year the asset is derecognised.

3.9.2 Restoration Cost

Expenditure incurred on repairs or maintenance of Property, Plant & Equipment in order to restore or maintain the future economic benefits expected from originally assessed standard of performance, is recognised in the Statement of Profit or Loss and Other Comprehensive Income as an expense when incurred.

3.9.3 Depreciation

The provision for depreciation is calculated by using a straight-line method on the cost or revalued amount of all Property, Plant & Equipment, in order to write-off such amounts less their estimated residual values over the estimated useful economic lives. Leased assets are depreciated over the shorter of the lease term and their useful lives, unless it is reasonably certain that the Group will obtain ownership by the end of the lease term.

The estimated useful lives of Property, Plant & Equipment are as follows:

Class	Useful Life
Motor Vehicles	04 - 05 Years
Computer Equipment	03 - 05 Years
Other Equipment	04 - 05 Years
Furniture & Fittings	05 - 10 Years
Leasehold vehicle	04 - 05 Years

The Group provides depreciation from the date the assets are available for use, up to the date of disposal.

3.10 Financial Assets

The Group classifies non-derivative financial assets into the following categories: financial assets at Fair Value through Profit or Loss, Loans and Receivables and Available-For-Sale financial assets.

The Group classifies non-derivative financial liabilities into the Other Financial Liabilities category.

The classification depends on the purpose for which the investments were acquired or originated. Financial assets are classified as at fair value through profit or loss where the Group's documented investment strategy is to manage financial investments on a fair value basis, because the related liabilities are also managed on this basis. The available-for-sale and held-to-maturity categories are used when the relevant liability (including shareholders' funds) is passively managed and/or carried at amortised cost.

The Group's financial assets include cash and short-term deposits, trade and other receivables, loan and other receivables, quoted and unquoted financial instruments, and derivative financial instruments.

The Group's existing types of financial instruments and their classifications are shown in the table below.

Financial Asset	Category
Treasury Bonds	Available for Sale
Treasury Bills	Loans and Receivables
Equity Shares	Fair Value Through Profit or Loss and Available-for-Sale
Unit Trust	Available-for-Sale
Gold	Fair Value Through Profit
Term Deposits / Mudharabah	Loans and Receivables
Deposits	
Loans & Receivable	Loans and Receivables
Financial Liability	Category
Murabaha Facility/ Fixed Term	Other Financial Liabilities

3.11.1 Recognition of financial assets

The Group initially recognises loans and receivables on the date that they are originated. All other financial assets (including assets designated as at Fair Value through Profit or Loss) are recognised initially on the trade date, which is the date that the Group becomes a party to the contractual provisions of the instrument.

Financial assets and financial liabilities are offset and the net amount presented in the Consolidated and Separate Statement of Financial Position when, and only when, the Group has a legal right to offset the amounts and intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

3.11.2 Measurement

(a) Financial assets at Fair Value through Profit or Loss

Financial assets at fair value through profit or loss include financial assets held-for-trading and those designated at fair value through profit or loss at inception. Investments typically bought with the intention to sell in the near future are classified as held-for-trading. For investments designated as at fair value through profit or loss, the following criteria must be met.

The designation eliminates or significantly reduces the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognising gains or losses on a different basis; or

The assets and liabilities are part of a group of financial assets, financial liabilities or both which are managed, and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.

These investments are initially recorded at fair value. Directly attributable transaction costs are recognised in the Statement of Profit or Loss and Other Comprehensive Income as incurred. Subsequent to initial recognition, these investments are remeasured at fair value. Fair value adjustments and realised gain and loss are recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(b) Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These investments are

Notes to the Financial Statements 2020

initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the effective interest rate method. Gains and losses are recognised in the Statement of Profit or Loss and Other Comprehensive Income when the investments are derecognised or impaired, as well as through the amortisation process.

(c) Cash and Cash Equivalents

Cash and cash equivalents are defined as cash in hand, demand deposits and short-term highly liquid investments, readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

For the purpose of Cash Flow Statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e., three months or less from the date of acquisition are also treated as cash equivalents. Interest and dividend received are classified as operating cash flows.

(d) Available-For-Sale financial assets

Available-For-Sale financial assets are non-derivative financial assets that are designated as Available-For-Sale or are not classified in any of the three preceding categories. These investments are initially recorded at fair value plus any directly attributable transaction costs. After initial measurement, Available-For-Sale financial assets are measured at fair value.

Fair value gains and losses are reported as a separate component in other comprehensive income and accumulated in the available-for-sale Reserve until the investment is derecognised or the investment is determined to be impaired.

On derecognition or impairment, the cumulative fair value gains and losses, previously reported in equity, are

transferred to the Statement of Profit or Loss and Other Comprehensive Income.

(e) Other Financial Liabilities

Other Financial Liabilities are non-derivative financial liabilities, which are initially recognised at fair value less any directly attributable transaction costs. Subsequent to initial recognition, these liabilities are measured at amortised cost using the effective interest method.

3.11.3 Impairment of financial assets

Financial assets, not classified as at fair value through profit or loss, are assessed at each Reporting date to determine whether there is objective evidence of impairment.

Objective evidence that financial assets are impaired includes:

- default or delinquency by a debtor;
- restructuring of an amount due to the Group on terms that the Group would not consider otherwise;
- indications that a debtor or issuer will enter bankruptcy;
- adverse changes in the payment status of borrowers or issuers;
- the disappearance of an active market for a security; or
- Observable data indicating that there is measurable decrease in expected cash flows from a group of financial assets.

(a) Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Statement of Profit or Loss and Other Comprehensive Income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment. The impairment assessment is performed at each Reporting date.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed.

Any subsequent reversal of an impairment loss is recognised in the Statement of Profit or Loss and Other Comprehensive Income, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available-For-Sale financial investments

If an available-for-sale financial asset is impaired, an amount comprising the difference between its costs (net of any principal repayment and amortisation) and its current fair value, less any impairment loss previously recognised in other comprehensive income, is transferred from equity to the Statement of Profit or Loss and Other Comprehensive Income. Reversals in respect of equity instruments classified as available-for-sale are not recognised in the Statement of Profit or Loss and Other Comprehensive Income.

Reversals of impairment losses on debt instruments classified at available-

for-sale are reversed through the Statement of Profit or Loss and Other Comprehensive Income if the increase in the fair value of the instruments can be objectively related to an event occurring after the impairment losses were recognised in the Statement of Profit or Loss and Other Comprehensive Income.

(c) Financial assets carried at cost

If there is objective evidence that an impairment loss has been incurred on an unquoted equity instrument, that is not carried at fair value because its fair value cannot be reliably measured, or on a derivative asset that is linked to and must be settled by delivery of such an unquoted equity instrument, the amount of the impairment loss is measured as the difference between the carrying amount of the financial asset and the present value of estimated future cash flows discounted at the current market rate of return for a similar financial asset. Such impairment losses shall not be reversed.

3.13 De-recognition of financial assets

A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when,

- The rights to receive cash flows from the asset have expired
- The Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement
- The Group has transferred its rights to receive cash flows from the asset and either:
- Has transferred substantially all the risks and rewards of the asset, or
- Has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained

substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

When continuing involvement takes the form of a written and/or purchased option (including cash settled option or similar provision) on the transferred asset, the extent of the Group's continuing involvement is the amount of the transferred asset that the Group may repurchase, except that, in the case of a written put option (including a cash settled option or similar provision) on an asset measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

3.14 Investment Properties

Investment properties are measured initially at cost, including transaction costs. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met; and excludes the costs of day-to-day servicing of an investment property.

Subsequent to initial recognition, investment properties are stated at fair value, which reflects market conditions at the Reporting date. Gains or losses arising from changes in the fair value of investment properties are included in the Statement of Profit or Loss and Other Comprehensive Income in the year in which they arise. Valuation of investment property by a professional valuer is carried out every year.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the Statement of Profit or Loss and Other Comprehensive Income in the year of retirement or disposal.

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner-occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under Property, Plant & Equipment up to the date of change.

3.15 Leases

Recognition

At inception of a contract, the Group assess whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assess whether:

- the contract involves the use of an identified asset
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Group has the right to direct the use of the asset.

The Group recognises a right of use asset and a lease liability at the lease commencement date. The right of use assets of the Group consists of branch premises and vehicles.

Measurement

The right of use asset is initially measured at cost, which comprises

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the initial amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined group's incremental borrowing rate) adjusted for any lease payments made at or before the commencement date less any lease incentives received, plus any initial direct costs incurred.

Where the Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Right of use assets are subject to impairment.

Estimating the incremental borrowing rate

As the Group cannot readily determine the interest rate implicit in the lease, it uses its incremental borrowing rate ("IBR") to measure the lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company "would have to pay", which requires estimation when no observable rates are available (or when they need to be adjusted to reflect the terms and conditions of the lease). The Group estimates the IBR using observable input when available and is required to make certain entity-specific adjustments

3.15 Liabilities and Provisions (Excluding Insurance Contracts)

3.15.1 Liabilities

All known liabilities have been accounted for in preparing the Consolidated and Separate Financial Statement.

3.15.2 Provisions (Excluding Insurance Contracts)

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. The unwinding of the discount is recognised as finance cost.

3.16 Employee Benefits

3.16.1 Defined Benefit Plan – Gratuity

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The liability recognised in the Consolidated and Separate Financial Statements in respect of defined benefit plans is the present value of the defined benefit obligation as at the reporting date. The defined benefit obligation is calculated by a qualified actuary as at the Reporting date using the Projected Unit Credit (PUC) method as recommended by LKAS 19 - 'Employee Benefits'.

However, under the payment of Gratuity Act No. 12 of 1983, the liability to an employee arises only on completion of five years of continued service. The Group is liable to pay gratuity in terms of relevant statute. In order to meet this liability, a provision is carried forward in the Consolidated and Separate Statement of Financial Position.

The item is stated under defined benefit liability in the Consolidated and Separate Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains or losses are recognised in the Statement of Profit or Loss and Other

Comprehensive Income in the period in which they arise.

Recognition of Past Service Cost

Past Service Costs are recognised as an expense on a straight-line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognised immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

3.16.2 Defined Contribution Plans – Employees' Provident Fund & Employees' Trust Fund

Employees are eligible for Employees' Provident Fund contributions and Employees' Trust Fund contributions in-line with the respective statutes and regulations. The Group contributes 12 % and 3 % of gross emoluments of employees to Employees' Provident Fund and Employees' Trust Fund respectively.

3.16.3 Short-term employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognised for the amount expected to be paid, if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

3.17 Impairment of Non-Financial Assets

The Group assesses at each Reporting date, whether there is an indication that an asset may be impaired. If any such indication exists or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate

cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples or other available fair value indicators.

Impairment losses of continuing operations are recognised in the Statement of Profit or Loss and Other Comprehensive Income in those expense categories consistent with the function of the impaired asset, except for property previously revalued where the revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the amount of any previous revaluation.

For assets, an assessment is made at each Reporting date, as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount, since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the Statement of Profit or Loss and Other Comprehensive Income, unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase.

3.18 General Takaful Business (Non-Life Insurance Business)

3.18.1 Gross Written Contribution (Gross Written Premium)

Contributions (Premiums) are recognised earlier of the entity being on risk to provide coverage to the policyholders for insured event and the signing of the insurance contract. Upon inception of the contract, contributions (premiums) are recorded as written and are earned primarily on a pro rata basis over the term of the related policy coverage. However, for those contracts for which the period of risk differs significantly from the contract period, contributions (premiums) are earned over the period of risk in proportion to the amount of insurance protection provided.

3.18.2 Unearned Contribution (Premium)

The Unearned Contribution (Premium) Reserve represents the portion of the contributions (premiums) written in a year but relating to the unexpired terms of coverage.

The Unearned Premium is calculated applying 1/365 method on the net premium (Gross Written Premium minus Reinsurance and Allocation Fee).

3.18.3 Unexpired Risk

Provision is made where appropriate for the estimated amount required over and above unearned contribution (premium) to meet future claims and related expenses on the business in force as at 31st December.

3.18.4 Outward Retakaful (Reinsurance)

Contribution (premium) ceded to Retakaful companies (Reinsurers), is recognised as an expense in accordance with the pattern of Retakaful (Reinsurance) service received.

3.18.5 Claims

General insurance, include all claims occurring during the year, whether reported or not, related internal and external claims handling costs that are

directly related to the processing and settlement of claims, a reduction for the value of salvage and other recoveries and any adjustments to claims outstanding from previous years.

Claims expense and liability for outstanding claims are recognised in respect of direct and inward Retakaful (reinsurance) business. The liability covers claims reported but not yet paid, Incurred But Not Reported claims ('IBNR') and the anticipated direct and indirect costs of settling those claims. Claims outstanding are assessed by review of individual claim files and estimating changes in the ultimate cost of settling claims. The provision in respect of IBNR is actuarially valued to ensure a more realistic estimation of the future liability, based on past experience and trends. Whilst the Directors consider that the provision for claims are fairly stated on the basis of information currently available, the ultimate liability will vary as a result of subsequent information and events. This may result in adjustments to the amount provided. Such amount is reflected in the Consolidated and Separate Financial Statements for that period. The methods used and estimates made are reviewed regularly.

3.18.6 Deferred Acquisition Cost and Deferred Income

Acquisition cost / Income is directly attributable to the profit or loss when policy is underwritten.

3.19 Family Takaful Business (Long-Term Insurance Business)

3.19.1 Takaful Contribution (Premium)

Contributions (premiums) from Family Takaful (traditional life insurance) contracts, including participating contracts and annuity policies with life contingencies, are recognised as revenue when payable by the policyholder. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies.

Moreover, for single contribution (premium) contracts, contributions

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(premiums) are recorded as income when received with any excess profit deferred and recognised in income in a constant relationship to the insurance in force or, for annuities, the amount of expected benefit payments.

3.19.2 Retakaful Contracts (Reinsurance Contracts)

Outward Retakaful contributions (reinsurance premiums) are recognised when payable. Retakaful (Reinsurance) recoveries are credited to match the relevant gross claims.

3.19.3 Claims

Death claims are recorded on the basis of notifications received. Maturities are recorded when due. Claims on participating business include profit. Claims payable include direct costs of settlement.

The interim payments (Part withdrawals) and surrenders are accounted only at the time of settlement.

3.19.4 Technical Provisions – Family Takaful Business provision and provision for Linked Liabilities

The Directors agree to the Family Takaful (long-term insurance) business provisions for the Group on the recommendation of reporting Actuary, following his annual investigation of the Family Takaful (life insurance) business.

The Actuary's valuation takes into account of all liabilities including contingent liabilities and is based on the assumptions recommended by the Consultant Actuary.

3.20 Revenue Recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue and associated costs incurred or to be incurred, can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes. The following specific criteria are used for the purpose of recognition of revenue.

3.20.1 Wakala Fee (Agency/ Allocation Fee)

3.20.1.1 Wakala Fee (Agency/Allocation Fee) on Takaful Contribution (Insurance Premium)

The Shareholders' Fund is entitled for Allocation Fee on every Takaful Contribution (insurance premium) received in respect of the business received during the year on following basis.

- General Takaful (Insurance) Business

The Shareholders' Fund is entitled for Allocation Fee on contribution (premium) of General Takaful (insurance) certificates. However, the Shareholders' Fund has charged a reduced allocation fee at the rates given below in order strengthen the General Takaful (insurance) Fund.

Medical Takaful (Insurance)	
Policies	10% & 37.5%
All other General Takaful (Insurance) Policies	20% - 50%

- Family Takaful (Life Insurance) Business

The Allocation fee is charged on contribution of Family Takaful Certificates, at the following rates:

Family Takaful	
Products	- First Year 80%
	- Second Year 45%
	- Third Year & after 02%
Mortgage Family Takaful (Insurance) Policies	
	20%
Group Family Takaful (Insurance) Policies	
	30%

3.20.1.2 Wakala Fee (Agency/ Allocation Fee) on Investment Income

The Shareholders' fund is entitled for allocation fee of 50% on net investment income.

3.20.2 Investment Income

3.20.2.1 Interest Income

Interest income is recognised in the Statement of Profit or Loss and Other

Comprehensive Income, as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognised as an adjustment to the effective interest rate of the instrument.

3.20.2.2 Dividend Income

Investment income also includes dividends, when the right to receive payment is established. For listed securities, this is the date the security is listed as ex-dividend.

3.20.2.3 Realised/Unrealised Gains and (Losses)

Realised gains and losses, recorded in the Statement of Profit or Loss and Other Comprehensive Income on investments, include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortised cost and are recorded on occurrence of the sale transaction.

3.21 Others

Other income is recognised on an accrual basis.

3.22 Expenditure Recognition

Expenses are recognised in the Statement of Profit or Loss and Other Comprehensive Income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the Property, Plant & Equipment in a state of efficiency, has been charged to the Statement of Profit or Loss and Other Comprehensive Income.

Surplus refund is made only when the Fund is in a surplus and to those participants who have not made any claims during the policy period.

For the purpose of presentation of Statement of Profit or Loss and Other Comprehensive Income, the Directors

are of the opinion that nature of expenses method, presents fairly, the elements of the Group's performance, and hence such presentation method is adopted.

3.23 Events after the Reporting Date

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date when the financial statements are authorised for issue. All material events after the reporting date have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

3.24 Capital Commitments and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by occurrence or non-occurrence of uncertain future events not wholly within the control of the Group or present obligations where the transfer of economic benefits is not probable or cannot be reliably measured.

Capital commitments and contingent liabilities of the Group are disclosed in the respective notes to the financial statements.

3.25 Stated Capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects.

3.26 Earnings per share (EPS)

The Group presents basic earnings per share data for its ordinary shareholders. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares determined in accordance with LKAS 33.

3.27 Statement of Cash Flows

The Cash Flow Statement has been prepared using the direct Method of

preparing Cash Flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 'Statement of Cash flows.

For cash flow purposes, cash and cash equivalents are presented net of bank overdrafts.

4. STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT REPORTING DATE

Impending Accounting Standards/ standards issued not yet effective

Certain new accounting standards and amendments / improvements to existing standards have been published, that are not mandatory for 31 December 2020 reporting periods. None of those have been early adopted by the Group.

Sri Lanka Accounting Standard (SLFRS) 9 - Financial Instruments:

In December 2014, the CA Sri Lanka issued the final version of IFRS 9 Financial Instruments classification and measurement which reflects all phases of the financial instruments project and replaces LKAS 39 – Financial Instruments: Recognition and Measurement.

SLFRS 9 is effective for annual periods beginning on or after 01st January 2018, with an early application permitted. Retrospective application is required, but comparative information is not compulsory.

Temporary Exemption from SLFRS 9

An insurer that meets the criteria in paragraph 20B of SLFRS 4 (amended) provides a temporary exemption that permits but does not require the insurer to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 1 January 2023.

An insurer may apply the temporary exemption from SLFRS 9 if, and only if;

- 1) It has not previously applied any version of SLFRS 9, other than only the requirements of the Presentation of gains and losses on financial

liabilities designated as at Fair Value Through Profit or Loss and;

- 2) Its activities are predominantly connected with insurance, at its annual reporting date that immediately proceeds 01 April 2016, or at a subsequent annual reporting date.

Having considered the above criteria, since Amana Takaful PLC and Amana Takaful Life PLC are connected with insurance activities, both the companies may continue to apply LKAS 39 – Financial Instruments: Recognition and Measurement rather than SLFRS 9 for annual periods beginning before 01 January 2023. As at reporting date insurance related liabilities are above 90% which is the minimum percentage eligible to exemption as per SLFRS 9.

SLFRS 17 - Insurance Contracts

As recommended by the Accounting Standards Committee, the Institute of Chartered Accountants of Sri Lanka has decided to adopt SLFRS 17 Insurance Contracts with effective from annual reporting periods beginning on or after 1 January 2021.

However, International Accounting Standard Board (IASB) has tentatively decided to defer the effective date of IFRS 17 to period beginning on or after 1 January 2023.

SLFRS 4 permitted insurers to continue to use the statutory basis of accounting for insurance assets and liabilities that existed in their jurisdictions prior to January 2005. SLFRS 17 replaces this with a new measurement model for all insurance contracts.

SLFRS 17 requires liabilities for insurance contracts to be recognised as the present value of future cash flows, incorporating an explicit risk adjustment, which is updated at each reporting date to reflect current conditions, and a contractual service margin (CSM) that is equal and opposite to any day-one gain arising on initial recognition. Losses are recognised directly into the income statement. For

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measurement purposes, contracts are grouped together into contracts of similar risk, profitability profile and issue year, with further divisions for contracts that are managed separately.

Profit for insurance contracts under SLFRS 17 is represented by the recognition of the services provided to policyholders in the period (release of the CSM), release from non-economic risk (release of risk adjustment) and investment profit.

The CSM is released as profit over the coverage period of the insurance contract, reflecting the delivery of services to the policyholder. For certain contracts with participating features (where a substantial share of the fair value of the related investments and other underlying items is paid to policyholders) the CSM reflects the variable fee to shareholders. For these contracts, the CSM is adjusted to reflect the changes in economic experience and assumptions. For all other contracts the CSM is only adjusted for non-economic assumptions.

SLFRS 17 introduces a new measure of insurance revenue, based on the delivery of services to policyholders and excluding any premiums related to the investment elements of policies, which will be significantly different from existing premium revenue measures, currently reported in the income statement. In order to transition to SLFRS 17, the amount of deferred profit, being the CSM at transition date, needs to be determined.

SLFRS 17 requires, this CSM to be calculated as if the standard had applied retrospectively. If this is not practical, an entity is required to choose either a simplified retrospective approach or determine the CSM by reference to the fair value of the liabilities at the transition date. The approach for determining the CSM will have a significant impact on both shareholders' equity and on the amount

of profits on in-force business in future reporting periods.

SLFRS 17 Implementation Programme

SLFRS 17 is expected to have a significant impact, as the requirements of the new standard are complex and requires a fundamental change to accounting for insurance contracts as well as the application of significant judgement and new estimation techniques. The effect of changes required to the Group's accounting policies as a result of implementing these standards are currently uncertain, but these changes can be expected to, among other things, alter the timing of profit recognition. Given the implementation of this standard is likely to involve significant enhancements to IT, actuarial and finance systems of the Group, it will also have an impact on the Group's expenses.

The Group has an implementation programme underway to implement SLFRS 17 and SLFRS 9. The scope of the programme consists of setting accounting policies and developing application methodologies, establishing appropriate processes and controls, sourcing appropriate data and implementing actuarial and finance system changes.

The Steering Committee chaired by both Chief Financial Officer and General Manager Actuarial provides oversight and strategic direction to the implementation programme along with the involvement of external consultants.

The Group remains on track to providing SLFRS 17 financial statements in line with the requirements for reporting as at 31st December 2022 with comparative figures for 2021.

4.3 Amendments to SLFRS 9, LKAS 39, SLFRS 7, SLFRS 4 and SLFRS 16 – Interest Rate Benchmark Reform (Phase 1 & 2)

The amendments to SLFRS 9 & LKAS 39 provide a number of reliefs, which apply to all hedging relationships that are directly affected by interest rate benchmark reform. A hedging relationship is affected if the reform gives rise to uncertainty about the timing and/or amount of benchmark-based cash flows of the hedged item or the hedging instrument.

IBOR reforms Phase 2 include number of reliefs and additional disclosures. Amendments supports companies in applying SLFRS when changes are made to contractual cash flows or hedging relationships because of the reform.

These amendments to various standards are effective for the annual reporting periods beginning on or after 01 January 2021.

4.4 Amendments to SLFRS 16 - COVID – 19 Related Rent Concession

The amendments provide relief to lessees from applying SLFRS 16 guidance on lease modification accounting for rent concessions arising as a direct consequence of the COVID-19 Pandemic.

As a practical expedient, a lessee may elect not to assess whether a COVID-19 related rent concession from a lessor is a lease modification. A lessee that makes this election accounts for any change in lease payments resulting from COVID-19 related rent concession the same way it would account for the change under SLFRS16, if the change were not a lease modification.

The amendment applies to annual reporting periods beginning on or after 01st June 2020.

5. INTANGIBLE ASSETS

5.1 Group

Year ended 31 December	2020	2019
	Rs.	Rs.
Cost		
Balance at the beginning of the year	184,200,932	154,072,927
Additions during the year	2,973,644	31,522,493
Disposal during the year	(4,712,674)	-
Exchange gain /(loss)	2,686,453	(1,394,488)
Balance at the end of the year	185,148,355	184,200,932
Amortisation		
Balance at the beginning of the year	69,746,427	67,130,013
Charges for the year	7,997,773	8,212,337
Disposal during the year	(2,887,889)	-
Exchange gain /(loss)	980,391	(5,595,923)
Balance at the end of the year	75,836,702	69,746,427
Carrying Amount	109,311,653	114,454,505

5.2 Company

Year ended 31 December	2020	2019
	Rs.	Rs.
Cost		
Balance at the beginning of the year	56,076,526	55,241,726
Additions during the year	728,200	834,800
Balance at the end of the year	56,804,726	56,076,526
Amortisation		
Balance at the beginning of the year	26,358,489	24,215,778
Amortisation charge for the year	2,110,052	2,142,711
Balance at the end of the year	28,468,541	26,358,489
Carrying value	28,336,185	29,718,037

5.3 Acquisition of Intangible Assets during the year

During the financial year, the Group has acquired/ capitalised Intangible Assets (Computer Software) to the aggregate value of Rs.2,973,644/- (2019 - 31,522,493).

5.4 Fully Amortised Intangible Assets in use

The Group Intangible Assets includes fully amortised computer software which are in the use of normal business activities having an initial cost of Rs.10,862,742/- (2019 - Rs.10,862,742/-).

5.5 Title restriction on Intangible Assets

There were no restrictions that existed on the title of the Intangible Assets of the Group as at 31st December 2020.

5.6 Assessment of Impairment of Intangible Assets

The Board of Directors has assessed the potential impairment indicators of Intangible Assets as at 31st December 2020. Based on the assessment, no impairment indicators were identified.

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6. PROPERTY, PLANT AND EQUIPMENT

6.1 Cost/Valuation

Group	Balance as at 01.01.2020	Additions/ Transfers	Disposals/ Transfers	Increase/ Decrease in Revaluation	Elimination	Exchange Movement	Total as at 31.12.2020
	Rs.	Rs.	Rs.	Rs.		Rs.	Rs.
Freehold (6.1.1)	350,858,026	8,140,406	(7,612,162)	-		966,410	352,352,681
	350,858,026	8,140,406	(7,612,162)	-		966,410	352,352,681

6.1.1 Freehold Property, Plant and Equipment

Group Cost/Valuation	Balance as at 01.01.2020	Additions/ Transfers	Disposals/ Transfers	Increase/ Decrease in Revaluation	Elimination	Exchange Movement	Total as at 31.12.2020
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	11,929,137	-	(3,590,000)	-	-	41,047	8,380,184
Computer Equipment	85,218,875	3,905,009	(335,259)	-	-	222,951	89,011,577
Other Equipment	115,007,316	2,922,998	(676,328)	-	-	158,512	117,412,498
Furniture and Fittings	138,702,698	1,312,399	(3,010,575)	-	-	543,900	137,548,422
Total Value of Depreciable Assets	350,858,026	8,140,406	(7,612,162)	-	-	966,410	352,352,682

Depreciation	Balance as at 01.01.2020	Charge for the Year	Disposals/ Transfers	Increase/ Decrease in Revaluation	Elimination	Exchange Movement	Total as at 31.12.2020
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	3,631,534	2,045,745	(1,303,679)	-	-	(41,048)	4,332,553
Computer Equipment	76,427,835	4,551,811	(332,508)	-	-	(174,305)	80,472,833
Other Equipment	96,182,968	6,455,894	(676,328)	-	-	(100,676)	101,861,858
Furniture and Fittings	88,229,803	11,634,305	(2,649,746)	-	-	(179,693)	97,034,669
Total Depreciation	264,472,140	24,687,755	(4,962,261)	-	-	(495,722)	283,701,913
Carrying Amount	86,385,886						68,650,769

6.1.2 Net Book Values

Year ended 31 December	2020	2019
	Rs.	Rs.
Freehold	68,650,769	86,385,886
Total Carrying Amount of Property, Plant and Equipment	68,650,769	86,385,886

6.1.3 Acquisition of Property, Plant and Equipment during the year - Group

During the year, the Group acquired Property, Plant and Equipment to the aggregate value of Rs.8,140,406/- (2019 - Rs.23,769,355/-) for cash considerations.

6.1.4 Fully Depreciated Property, Plant and Equipment in use - Group

Group Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.184,017,122/- (2019 - Rs.184,017,122/-).

6.2 Title restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Group as at the reporting date.

6.3 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2020. Based on the assessment, no impairment indicators were identified.

6.4 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.5 Temporarily idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31st December 2020.

6.6 Company

Cost/Valuation	Balance as at 01.01.2020	Additions/ Transfers	Disposals/ Transfers	Total as at 31.12.2020
	Rs.	Rs.	Rs.	Rs.
Freehold (6.6.1)	274,592,062	2,816,704	(3,590,000)	273,818,766
	274,592,062	2,816,704	(3,590,000)	273,818,766

6.6.1 Freehold Property, Plant and Equipment

Cost/Valuation	Balance as at 01.01.2020	Additions/ Transfers	Disposals/ Transfers	Total as at 31.12.2020
	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	10,030,000	-	(3,590,000)	6,440,000
Computer Equipment	67,516,190	1,132,506	-	68,648,696
Other Equipment	93,623,792	971,698	-	94,595,490
Furniture and Fittings	103,422,081	712,500	-	104,134,581
Total Value of Depreciable Assets	274,592,062	2,816,704	(3,590,000)	273,818,766

Depreciation	Balance as at 01.01.2020	Charge for the Year	Disposals/ Transfers	Total as at 31.12.2020
	Rs.	Rs.	Rs.	Rs.
Motor Vehicles	2,002,822	1,978,000	(1,303,679)	2,677,143
Computer Equipment	63,962,758	1,248,662	-	65,211,420
Other Equipment	86,537,709	2,370,401	-	88,908,110
Furniture and Fittings	73,714,195	7,195,777	-	80,909,972
Total Depreciation	226,217,484	12,792,840	(1,303,679)	237,706,645
Carrying Amount	48,374,578			36,112,121

Notes to the Financial Statements 2020

6.6.2 Net Book Values

Year ended 31 December	2020	2019
Cost/Valuation	Rs.	Rs.
Freehold	36,112,121	48,374,578
Total Carrying Amount of Property, Plant and Equipment	36,112,121	48,374,578

6.6.3 Acquisition of Property, Plant and Equipment during the year - Company

During the year, the Company acquired Property, Plant and Equipment to the aggregate value of Rs.2,816,704/- (2019 - Rs.1,738,362/-) for cash considerations.

6.6.4 Fully Depreciated Property, Plant and Equipment in use - Company

Company Property, Plant and Equipment includes fully depreciated assets having a gross carrying amount of Rs.169,603,212/- (2019 - Rs.169,603,212/-).

6.6.5 Revaluation

Company

In 2018, The Company's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows:

Year ended 31 December	2020	2019
	Rs.	Rs.
Cost	6,440,000	12,546,422
Accumulated depreciation	(2,576,000)	(4,752,924)
Carrying Value	3,864,000	7,793,498

Other Group Companies

Amana Takaful Life PLC

In 2018, Amana Takaful Life PLC's entire class of motor vehicles were revalued by De Silva Motor Engineers (Pvt) Ltd, which is a professional valuation organisation. Valuation was made on the basis of open market value which is the Level two in the fair value hierarchy. The revaluation surplus was transferred to the Revaluation Reserve. The carrying amount of revalued motor vehicles that would have been included in the financial statements had the assets been carried at cost would have been as follows:

Year ended 31 December	2020	2019
	Rs.	Rs.
Cost	10,312,726	10,312,726
Accumulated depreciation	(9,502,920)	(7,542,449)
Carrying Value	809,805	2,770,276

6.7 Title restriction on Property, Plant and Equipment

There are no restriction that existed on the title of the Property, Plant and Equipment of the Company as at the reporting date.

6.8 Assessment of Impairment

The Board of Directors has assessed the potential impairment indicators of Property, Plant and Equipment as at 31st December 2020. Based on the assessment, no impairment indicators were identified.

6.9 Capitalisation of Borrowing Costs

There were no capitalised borrowing costs relating to the acquisition of Property, Plant and Equipment during the year.

6.10 Temporarily idle Property, Plant and Equipment

There were no temporarily idle Property, Plant and Equipment as at the year ended 31 December 2020.

7. INVESTMENT PROPERTY

Year ended 31 December 2020	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Balance as at 1st January	194,000,000	220,429,000	46,500,000	75,500,000
Disposals during the year	-	(29,500,000)	-	(29,500,000)
Net Gain/ Loss from Fair Value Adjustment	-	3,071,000	-	500,000
Balance as at 31st December	194,000,000	194,000,000	46,500,000	46,500,000

7.1 During the financial year, the Amana Takaful PLC has incurred direct operating expenses on the investment property to the aggregate value of Rs.240,000/- (2019 - Rs.240,000/-). Amana Takaful Life PLC has not incurred direct operating expenses on the investment property in 2020 (2019 - Rs.Nil).

7.2 Fair value hierarchy

The fair value of investment property was determined by external, independent property valuers, Mr. P. P. T. Mohideen (FIV, FRICS) having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer provides the fair value of the Group's investment property portfolio annually. The Group's entire class of investment properties were revalued on 31 December 2020.

The Group fair value measurement for investment property of Rs.194,000,000/- (2019- Rs.194,000,000/-) has been categorised as a Level 3 fair value based on the inputs to the valuation technique used.

7.3 Valuation Technique

In determining the fair value, the current condition of the properties, further usability and associated redevelopment requirements have been considered. The Valuer has also made reference to market evidence of transaction prices for similar properties, with appropriate adjustments for size and location. The appraised fair values are approximated within appropriate range of values which are as follows :

Address	Extent	Fair Value 2020	Per Perch/ Sq. ft. Value	Fair Value 2019	Per Perch/ Sq. ft. Value
		Rs.	Rs.	Rs.	Rs.
Amana Takaful PLC					
107/15, Buthgamuwa Road, Rajagiriya					
- Building	1700 sq.ft.	46,500,000	27,059 per sq. ft.	46,500,000	27,059 per sq. ft.
Amana Takaful Life PLC					
451, Old Moor Street, Colombo 12.					
- Land	5.5 Perches	137,500,000	24,500,000 per Perch	137,500,000	24,500,000 per Perch
- Building	2,610 sq. ft	10,000,000	3,900 per sq. ft	10,000,000	3,900 per sq. ft

Notes to the Financial Statements 2020

7.4 Sensitivity

The Group investment property reasonably possible changes at the reporting date to one of the relevant inputs, holding other assumptions constant, would have affected the investment property by the amounts shown below.

	31 December 2020		31 December 2019	
	Increase	Decrease	Decrease	2019
Amana Takaful PLC				
Per square Feet (Rs.1000 movement)	1,700,000	(1,700,000)	1,700,000	(1,700,000)
Amana Takaful Life PLC				
Per Perch Value (Rs.100,000 movemnt)	550,000	(550,000)	550,000	(550,000)
Per square Feet (Rs.1000 movement)	2,610,000	(2,610,000)	2,610,000	(2,610,000)

8. INVESTMENTS IN SUBSIDIARIES

	% Holding		Number of Shares		Cost	
	2020	2019	2020	2019	2020	2019
					Rs.	Rs.
Amana Global Ltd.	100%	100%	33,333	33,333	37,125,000	37,125,000
Amana Takaful Life PLC	82.7%	82.7%	41,150,000	41,150,000	411,500,000	411,500,000
Amana Takaful Maldives PLC	55%	55%	11,133,308	11,133,308	641,367,811	641,367,811
Provision for Amana Global Ltd.	-	-	-	-	(37,125,000)	(37,125,000)
					1,052,867,811	1,052,867,811

Principal place of business of Subsidiary company Amana Takaful Life PLC and Amana Global Ltd is in Sri Lanka. The principal place of business of Amana Takaful Maldives PLC is in Maldives.

9. FINANCIAL ASSETS

Year ended 31 December 2020	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Financial Assets at Fair Value Through Profit & Loss (9.2.1)	647,658,683	559,286,964	-	-
Available For Sale Financial Assets (9.2.2)	110,862,183	50,039,119	25,466,329	525,000
Loans and Receivable (9.2.3)	2,418,720,604	2,222,361,971	780,080,764	838,855,544
	3,177,241,470	2,831,688,054	805,547,093	839,380,544

9.1 Fair Value Through Profit or Loss Investments and Available-For-Sale Investments have been valued at fair value. Loans and Receivable are valued at amortised cost

9.2 Classification of Financial Assets

9.2.1 Financial Assets at Fair Value Through Profit & Loss

As at 31st December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Investments in Equity Securities (9.3.1)	582,291,883	559,286,964	-	-
Investments in Gold	65,366,800	-	-	-
	647,658,683	559,286,964	-	-

9.2.2 Available For Sale Financial Assets

As at 31st December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Investments in Equity Securities - Quoted (9.3.2)	28,805,643	21,483,888	-	-
Unit Trust			-	-
- Candor Balance Fund	14,831,345	12,944,847	-	-
- Candor Income Fund	15,753,159	15,085,384	-	-
- Wealth Management NDB	50,947,036	-	24,941,329	-
Investments in Equity Securities - Unquoted (9.3.3) (**)	525,000	525,000	525,000	525,000
	110,862,183	50,039,119	25,466,329	525,000

** The Company carries the unquoted financial assets at cost, since such financial assets do not have a market price in an active market and in the absence of any similar securities with observable market data, fair value of the same cannot be measured reliably.

9.2.3 Loans and Receivable

Year ended 31 December 2020	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Repurchase Agreements	452,427,091	571,002,297	201,876,412	265,375,922
Fixed Term Investments	1,954,843,572	1,637,612,055	568,090,391	560,055,696
Advances to Company Officers (9.2.4)	11,449,941	13,747,619	10,113,960	13,423,926
	2,418,720,604	2,222,361,971	780,080,764	838,855,544

Investments in Government Securities are made for the purpose of meeting the requirements of the Regulation of Insurance Industry Act, No. 43 of 2000

** The Group Loans and Receivables includes a provision of Rs.75,658,959/-(2019-75,658,959/-).The said provision will be reviewed upon recovery.

9.2.4 Advances to Company Officers

Year ended 31 December 2020	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Balance at the beginning of the year	13,747,619	13,523,668	13,423,926	13,101,450
Loans granted during the year	11,395,251	15,981,367	6,766,066	15,657,673
Less : Repayments during the year	(13,692,928)	(15,757,415)	(10,076,032)	(15,335,197)
Balance at the end of the year	11,449,942	13,747,619	10,113,960	13,423,926
Less: Provision for Impairment	-	-	-	-
	11,449,941	13,747,619	10,113,960	13,423,926

Notes to the Financial Statements 2020

9.3 Investments in Equity Securities

9.3.1 Quoted

9.3.1.1 Financial Investments at Fair Value Through Profit or Loss

Year ended 31 December	Group				Company			
	2020		2019		2020		2019	
	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value
	Rs.		Rs.		Rs.		Rs.	
Amana Bank PLC	-	-	10,937,500	25,156,250	-	-	-	-
Dhivehi Raajjeyge Gulhun PLC	2,270	2,627,570	2,270	2,800,279	-	-	-	-
Ooredoo Maldives PLC	100,000	50,641,500	100,000	42,294,960	-	-	-	-
Maldives Islamic Bank PLC	1,125,000	529,022,813	1,125,000	489,035,475	-	-	-	-
At Fair Value Through Profit or Loss	582,291,883		559,286,964		-		-	

9.3.2 Quoted

Year ended 31 December	Group				Company			
	2020		2019		2020		2019	
	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value	Number of Shares	Market Value
	Rs.		Rs.		Rs.		Rs.	
Amana Bank PLC	8,472,248	28,805,643	9,340,821	21,483,888	-	-	-	-
Available for Sale Investments at Fair Value	28,805,643		21,483,888		-		-	

9.3.3 Unquoted

Available for sale financial assets re classified to profit or loss

Year ended 31 December	Group				Company			
	2020		2019		2020		2019	
	Number of Shares	Cost	Number of Shares	Cost	Number of Shares	Cost	Number of Shares	Cost
	Rs.		Rs.		Rs.		Rs.	
Cleanco (Pvt) Ltd	35,000	525,000	35,000	525,000	35,000	525,000	35,000	525,000
Available for Sale Investments at Fair Value	525,000		525,000		525,000		525,000	

9.4 Financial Instruments - Fair Value and Risk Management

Fair Value Hierarchy for Assets Carried at Fair Value

The different levels have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows the fair value hierarchy of the financial assets carried at fair value.

9.4.1 Accounting classifications and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities.

The financial assets not measured at fair value are financial instruments for which their carrying amounts are a reasonable approximation of fair values, because for example they are short term in nature or re-prices to current market rates frequently.

Group	Carrying Amount				Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
31st December 2020	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets measured at fair value								
Equity securities - Quoted	-	28,805,643	582,291,883	611,097,526	611,097,526	-	-	611,097,526
Equity Securities - Unit Linked	-	-	82,080,039	82,080,039	82,080,039	-	-	82,080,039
Unit Trust	-	81,531,541	-	81,531,541	-	81,531,541	-	81,531,541
Unit Trust - Unit Linked	-	30,093,602	-	30,093,602	-	30,093,602	-	30,093,602
Investment In Gold	-	-	65,366,800	65,366,800	-	65,366,800	-	65,366,800
	-	140,430,786	729,738,722	870,169,508	693,177,565	176,991,943	-	870,169,508
Financial assets not measured at fair value								
Repurchase Agreements	452,427,091	-	-	452,427,091	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Fixed Term Investments	1,954,843,572	-	-	1,954,843,572	-	-	-	-
Advances to Company Officers	11,449,941	-	-	11,449,941	-	-	-	-
Repurchase Agreements - Unit Linked	30,767,990	-	-	30,767,990	-	-	-	-
Mudharaba Investments - Unit Linked	1,759,448,599	-	-	1,759,448,599	-	-	-	-
Investment In Gold	-	-	5,229,344	5,229,344	-	-	-	-
	4,208,937,193	525,000	5,229,344	4,214,691,537	-	-	-	-
	4,208,937,193	140,955,786	734,968,066	5,084,861,045	693,177,565	176,991,943	-	870,169,508

Notes to the Financial Statements 2020

9.4.2

Company	Carrying Amount				Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
31st December 2020	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets not measured at fair value								
Repurchase Agreements	201,876,412	-	-	201,876,412	-	-	-	-
Fixed Term Investments	568,090,391	-	-	568,090,391	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Advances to Company Officers	10,113,960	-	-	10,113,960	-	-	-	-
Mudharaba Investments - Unit Linked	24,941,329	-	-	24,941,329	-	-	-	-
	805,022,093	525,000	-	805,547,093	-	-	-	-

9.4.3

Group	Carrying Amount				Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
31st December 2019	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets measured at fair value								
Equity securities - Quoted	-	21,483,888	559,286,964	580,770,852	580,770,852	-	-	580,770,852
Equity Securities - Unit Linked	-	-	58,391,703	58,391,703	58,391,703	-	-	58,391,703
Unit Trust	-	28,030,231	-	28,030,231	-	28,030,231	-	28,030,231
Unit Trust - Unit Linked	-	28,900,391	-	28,900,391	-	28,900,391	-	28,900,391
	-	78,414,510	617,678,667	696,093,177	639,162,555	56,930,622	-	696,093,177
Financial assets not measured at fair value								
Repurchase Agreements	571,002,297	-	-	571,002,297	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Fixed Term Investments	1,637,612,055	-	-	1,637,612,055	-	-	-	-
Advances to Company Officers	13,747,619	-	-	13,747,619	-	-	-	-
Repurchase Agreements - Unit Linked	30,110,959	-	-	30,110,959	-	-	-	-
Mudharaba Investments - Unit Linked	1,598,806,981	-	-	1,598,806,981	-	-	-	-
	3,851,279,911	525,000	-	3,851,804,911	-	-	-	-
	3,851,279,911	78,939,510	617,678,667	4,547,898,088	639,162,555	56,930,622	-	696,093,177

9.4.4

Company	Carrying Amount				Fair value			
	Loans and receivables	Available for sale	Fair value through profit or loss	Total	Level 1	Level 2	Level 3	Total
31st December 2019	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Financial assets not measured at fair value								
Repurchase Agreements	265,375,922	-	-	265,375,922	-	-	-	-
Mudharaba Investments	560,055,696	-	-	560,055,696	-	-	-	-
Equity securities - Unquoted	-	525,000	-	525,000	-	-	-	-
Advances to Company Officers	13,423,926	-	-	13,423,926	-	-	-	-
	838,855,544	525,000	-	839,380,544	-	-	-	-

10. CONTRIBUTION (PREMIUM) RECEIVABLES

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Contribution (Premiums) Receivable From Participants	455,238,231	400,679,448	287,950,606	206,362,726
Contribution (Premium) Receivable From Agents, Brokers and Intermediaries	183,954,689	189,261,011	183,954,689	189,261,011
Contribution (Premium) Receivable - Net	639,192,920	589,940,459	471,905,295	395,623,737

The Board of Directors has assessed potential impairment loss of premium receivable as at 31st December 2020. Based on the assessment, no impairment provision has been made in the Consolidated and Seperate Financial Statements as at the reporting date in respect of premium receivable.

11. OTHER ASSETS

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Financial Assets (Note 11.1)	163,486,612	141,118,722	65,183,615	67,140,725
Non-Financial Assets (Note 11.2)	59,680,556	69,471,976	15,976,724	25,922,599
	223,167,168	210,590,698	81,160,339	93,063,324

11.1 Financial Assets

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Other Receivables	163,486,612	141,118,722	64,288,374	64,063,274
Amount Due from Related Party	-	-	895,241	3,077,451
	163,486,612	141,118,722	65,183,615	67,140,725

Notes to the Financial Statements 2020

11.2 Non-Financial Assets

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Deposits, Advances and Prepayments	59,680,556	69,471,976	15,976,724	25,922,599
	59,680,556	69,471,976	15,976,724	25,922,599

12. FINANCIAL ASSETS - UNIT LINKED

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Financial Assets at Fair Value Through Profit & Loss (12.1)	87,309,383	58,391,703	-	-
Available For Sale (12.2)	30,093,602	28,900,391	-	-
Loans and Receivable (12.3)	1,790,216,589	1,628,917,940	-	-
	1,907,619,575	1,716,210,033	-	-

** The Group Loan and Receivable includes a provision of Rs.75,658,959 (2019-75,658,959/-).The said provision will be revised upon recovery.

12.1 Financial Assets at Fair Value Through Profit & Loss

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Investment in Equity Securities (12.4)	82,080,039	58,391,703	-	-
Investment In Gold	5,229,344	-	-	-
	87,309,383	58,391,703	-	-

12.2 Available For Sale

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Unit Trust - Candor Income Fund	30,093,602	28,900,391	-	-
	30,093,602	28,900,391	-	-

12.3 Loans and Receivable

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Repurchase Agreements	30,767,990	30,110,959	-	-
Mudharaba / Fixed Term Investments	1,759,448,599	1,598,806,981	-	-
	1,790,216,589	1,628,917,940	-	-

12.4 Investments in Equity Securities - Unit Linked

Year ended 31 December	Group			
	2020		2019	
	No. of shares	Market Value Rs.	No. of shares	Market Value Rs.
Access Engineering PLC	543,380	13,367,148	432,148	9,420,826
ACL Cables PLC	-	-	78,142	4,493,165
Dialog Telekom PLC	1,235,000	15,314,000	-	-
Sunshine Holdings PLC	55,909	4,618,083	-	-
Dipped Products PLC	-	-	28,137	2,363,508
Colombo Dockyard PLC	-	-	22,948	1,422,776
Piramal Glass Ceylon PLC	-	-	800,001	3,600,005
Chevron Lubricants Lanka PLC	145,934	15,760,872	124,434	9,320,107
Hayleys Fabric PLC	-	-	433,470	7,759,113
Tokyo Cement Company (Lanka) PLC - Non Voting	149,000	10,161,800	253,753	9,947,118
Tokyo Cement Company (Lanka) PLC	54,000	4,114,800	-	-
Bairaha Farms PLC	7,991	1,122,736	7,991	894,992
Teejay Lanka PLC	400,000	15,200,000	224,500	9,159,600
Three Acre Farms PLC	14,000	2,420,600	90	10,494
		82,080,039		58,391,703

13. CASH AND CASH EQUIVALENTS IN CASH FLOW STATEMENT

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Components of Cash and Cash Equivalents				
Cash & Bank Balances	112,834,891	260,272,858	47,399,475	167,389,849
Cash & Bank Balances - Unit Linked	2,243,871	38,197,730	-	-
Bank Overdrafts	-	(56,123,560)	-	(56,123,560)
Investments in Government Securities	452,427,091	535,049,017	201,876,412	265,375,922
	567,505,853	777,396,045	249,275,887	376,642,211

14. STATED CAPITAL

Year ended 31 December	Company			
	2020		2019	
	No. of shares	Market Value Rs.	No. of shares	Market Value Rs.
Fully Paid Ordinary Shares -Voting	180,000,130	1,860,001,339	180,000,130	1,860,001,339

All issued shares carry equal voting rights. The holders of ordinary shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

Notes to the Financial Statements 2020

15. OTHER RESERVES

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Reserves consists of the following :				
Revaluation Reserve (15.1)	30,806,332	32,358,037	28,477,953	30,029,658
Translation Reserve (15.2)	122,390,856	109,167,127	-	-
	153,197,188	141,525,164	28,477,953	30,029,658

15.1 Revaluation Reserve

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
The Revaluation Reserve relates to the revaluation of Property, Plant and Equipment.				
Balance as at 1st January	32,358,037	33,728,956	30,029,658	31,400,577
Change in Fair Value of Property, Plant & Equipment	-	-	-	-
Transfer of revaluation surplus to retained earnings, at the disposal	(1,551,705)	(1,370,919)	(1,551,705)	(1,370,919)
Balance as at 31st December	30,806,332	32,358,037	28,477,953	30,029,658

15.2 Translation Reserve

The Translation Reserve comprises all foreign currency differences arising from the translation of the Financial Statements of foreign operations.

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Balance as at 1st January	109,167,127	107,226,776	-	-
Foreign Currency Translation Differences for Foreign Operations	13,223,729	1,940,351	-	-
Balance as at 31st December	122,390,856	109,167,127	-	-

16. REVENUE RESERVE

As at December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Accumulated Profit / (Losses)				
Balance as at 1st January	(637,893,262)	(377,685,807)	(431,761,555)	(52,570,013)
Net Profit / (Loss) for the year	120,577,502	(337,009,988)	38,763,207	(381,490,642)
Fair Value Changes taken to OCI	3,979,736	2,698,349	964,544	-
Defined Benefit Plan Actuarial Losses, net of Deferred Tax	7,991,811	(745,670)	7,017,695	928,180
Fair Value Gain on AFS valuation	15,842,202	73,478,940	-	-
Transfer of Revaluation Reserve on Disposal	1,551,705	1,370,919	1,551,705	1,370,919
Balance as at 31st December	(487,950,307)	(637,893,262)	(383,464,404)	(431,761,555)

16.1 Life Policyholders' Reserve Fund

The Life Policyholder Reserve Fund includes the fair value changes recorded under Other Comprehensive Income in respect of Available For Sale financial assets related to Family Takaful Fund.

16.2 Available-for-Sale Reserve

The Available For Sale Reserve comprises the cumulative net change in the fair value of Available For Sale financial assets until the assets are derecognised or impaired.

17. INSURANCE CONTRACT LIABILITIES - NON LIFE

17.1 Unearned Contribution (Premium)

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Gross	872,572,312	936,773,067	664,942,563	648,077,566
Retakaful (Reinsurance)	(158,735,926)	(156,176,935)	(158,735,927)	(156,176,936)
Unexpired Risk Reserve (UERR)	5,598,578	(36,200,350)	5,598,578	9,271,006
Net	719,434,964	744,395,782	511,805,214	501,171,636

17.2 Gross Claims Reserve

Claims Outstanding	314,517,308	195,982,916	150,151,358	83,871,855
Claims Incurred But Not Reported (IBNR)	227,031,699	130,398,990	216,885,474	119,749,148
	541,549,007	326,381,906	367,036,832	203,621,002
	1,260,983,971	1,070,777,688	878,842,046	704,792,638

17.3 General Takaful (Insurance) Technical Reserves

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
General Insurance (Non Life) Provision	1,260,983,971	1,070,777,688	878,842,420	704,792,638
Retakaful (Reinsurance) Receivable on Outstanding Claims	(247,924,561)	(108,592,864)	(247,924,561)	(108,592,864)
	1,013,059,410	962,184,824	630,917,859	596,199,774

The Incurred But Not Reported (IBNR) claim reserve has been actuarially computed by NMG Consulting as per SLFRS 04. The valuation is based on internationally accepted valuation methods, which analyses the past experience and pattern of the claims. Based on the actuaries recommendations, the Group and the Company have provided Rs.216,885,474/- (2019- Rs.119,749,148/-) for IBNR claims reserve and Rs 5,598,578 (2019- Rs.9,271,006) for Unexpired Risk Reserve respectively.

Notes to the Financial Statements 2020

18. INSURANCE CONTRACT LIABILITIES - FAMILY TAKAFUL FUND

"The Family Takaful Fund (Life Insurance Reserve) as shown in the Statement of Financial Position represents the following :

As at December	Group	
	2020	2019
	Rs.	Rs.
18.1 Insurance Contract Liabilities - Family Takaful Fund		
Participant Investment Fund (PIF)	342,313,601	368,699,272
Participant Tabarru Fund (PTF) & Group Fund (GF)	98,650,033	98,404,367
Unearned Premium - Group Family Takaful	4,818,076	4,176,753
	445,781,710	471,280,391
18.2 Insurance Contract Liabilities - Family Takaful Unit Linked		
Unit Fund - Unit Linked	1,892,564,333	1,728,526,204
Participant Tabarru Fund & Group Fund - Unit Linked	20,542,227	19,033,390
	1,913,106,560	1,747,559,594
	2,358,888,270	2,218,839,985
18.3 Insurance Contract Liability	2,301,310,429	2,196,947,463
Surplus of the Fund	57,577,841	21,892,522
Total Insurance Contract Liability - Family Takaful Fund (Note 18.1, Note 18.2)	2,358,888,270	2,218,839,985
18.4 The movement in Family Takaful Fund is as follows:		
Balance as at 1 January	2,218,839,985	2,187,805,876
Net Change in Contract Liabilities	140,048,285	31,034,109
Balance as at 31 December	2,358,888,270	2,218,839,985

18.5 The insurance provision (Family Takaful Fund) has been based upon the following assumptions and other information;

18.5.1 Actuarial Assumptions

Valuation Interest Rate

For Participant Tabarru Fund (PTF) of Family Takaful and Unit Linked business, the company has chosen Valuation Interest Rates of 2.5%p.a. and 2.0%p.a. respectively, which is net of Mudharaba sharing of investment returns with the Takaful Operator. For Mortgage Fund, Valuation Interest Rate of 7.5%p.a. is used which is based on the average of the last 4 years yield of the fund whereas for the Takaful Operator's Fund, Valuation Interest Rate equivalent to the risk-free yield is assumed.

Mortality and Morbidity Assumption

The Company has used the standard table SLA07/09 based on the Sri Lanka Assured Lives Mortality Study Report 2013 from Munich Re to calculate the best estimate assumptions for mortality due to insufficient in-house mortality and morbidity experience. The Total Permanent Disability (TPD) rates are assumed to be 10% of mortality rates and other morbidity rates are assumed as Retakaful rates. The risk margin loading factors assumed for mortality and morbidity are +/- 10% and +/- 20% respectively.

Lapse Assumption

Lapse rate assumptions are based on a combination of the company's experience for early durations as well as industry experience in Sri Lanka. The Company has used different lapse assumptions for each product to suit the specific nature of the product and business. A different lapse rate assumption has been used for single contribution as they are likely to exhibit different lapse experiences. The risk margin loading factor assumed for lapses is +/-20% for both regular and single contribution plans.

Expense Assumption

The Company performed the expense study internally where the expenses are allocated to acquisition and maintenance expenses as well as variable and fixed expenses based on the best representation of actual cost. The variable expenses are linked to contribution amount whereas the fixed expenses are expressed as a per policy expense. Further, the maintenance expenses assumptions were derived assuming that 28.1% of the variable expenses and 19.2% of the fixed expenses will be charged to the PTF for Family Takaful and Unit - Linked business. Expense inflation is assumed to be 5.0% p.a for per policy maintenance expense. The risk margin loading factor assumed for expenses is +10%.

Bonus Assumption

"No guarantees apply to any of the Takaful funds, and all funds except the unit fund and the mortgage fund are subject to sharing of investment income between the certificate holders and the Takaful Operator.

18.5.2 Other Information

The valuation of the Insurance Provisions (Family Takaful Fund), as at 31 December 2020 was made by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia.

In the opinion of the consultant actuary, the provision is adequate to cover the liabilities pertaining to Long Term Insurance (Family Takaful) Fund. It is not required to perform a valuation on Participating Investment Fund since it represents an accumulation of investments made by the policy holders.

18.6 Liability Adequacy Testing (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance Contract Liability was carried out by Mr. Zainal Abidin Mohd. Kassim (FIA) for and on behalf of Actuarial Partners Consulting Sdn Bhd (formerly known as Mercer Zainal Consulting Sdn. Bhd), Malaysia as at 31st December 2020 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, all contractual cash flows were discounted and this amount was compared with the carrying value of the liability. According to the Consultant Actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2020.

19. EMPLOYEE BENEFITS

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Employee Benefits - Gratuity				
Balance at 1st January	82,572,410	66,881,749	38,851,542	35,028,091
Net Benefit Expense (19.1)	10,985,007	20,908,203	3,748,322	7,880,493
	93,557,417	87,789,953	42,599,864	42,908,584
Foreign Currency Translation Movement	896,432	(18,691)	-	-
Payments during the year	(11,822,149)	(5,198,852)	(10,381,414)	(4,057,042)
Balance at 31st December	82,631,700	82,572,410	32,218,450	38,851,542

19.1 Net Benefit Expense

Included in Profit or Loss				
Interest Cost	9,950,909	13,834,089	4,136,022	4,126,309
Current Service Cost	9,235,409	5,968,454	6,629,995	4,682,364
	19,186,318	19,802,543	10,766,017	8,808,673
Included in Other Comprehensive Income				
Actuarial Losses/(Gains) on Obligations	(8,201,311)	1,105,660	(7,017,695)	(928,180)
	(8,201,311)	1,105,660	(7,017,695)	(928,180)
Net Benefit Expense	10,985,007	20,908,203	3,748,322	7,880,493

The gratuity liability was actuarially valued under the Projected Unit Credit Cost method by Mr. Piyal S. Goonetilleke (Fellow of the Society of Actuaries - USA) at 31.12.2020 as requires by LKAS 19, Employee Benefits.

Notes to the Financial Statements 2020

19.2 Principal actuarial assumptions used for the Group and the Company are as follows :

	% Per Annum	
	2020	2019
a) Discount Rate	8.5	10.5
b) Salary Increase	3	9
c) Incidence of Withdrawals	22	16
d) B65:F68 Average Future Working Life of the Active Participants	4.7 Years	4.6 Years

The Liability is not externally funded

	2020	2019
Demographic Assumption		
e) Retirement Age	55 years	55 years
f) Mortality rates	GA 1983 Mortality Table	GA 1983 Mortality Table

19.3 Sensitivity of assumptions employed in Actuarial Valuations

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation as shown below.

	31 December 2020		31 December 2019	
	Increase	Decrease	Increase	Decrease
Discount rate (1% movement)	(1,950,160)	1,784,657	(1,700,032)	1,873,036
Future salary growth (1% movement)	76,932	(4,135,059)	1,885,994	(1,715,819)

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

20. OTHER LIABILITIES - UNIT LINKED

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Financial Liabilities (Note 20.1)	25,135,573	15,595,782	-	-
Non-Financial Liabilities (Note 20.2)	49,243,568	35,390,900	-	-
	74,379,141	50,986,682	-	-
20.1 Financial Liabilities				
Retakaful Payable	25,135,573	15,595,782	-	-
	25,135,573	15,595,782	-	-
20.2 Non-Financial Liabilities				
Advances Received	40,224,422	24,144,780	-	-
Other Creditors	9,019,146	11,246,120	-	-
	49,243,568	35,390,900	-	-

21. OTHER LIABILITIES

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Financial Liabilities (Note 21.1)	371,143,390	398,416,417	188,595,204	126,118,106
Non-Financial Liabilities (Note 21.2)	535,989,577	433,403,384	64,050,983	48,534,015
	907,132,967	831,819,801	252,646,187	174,652,121
21.1 Financial Liabilities				
Retakaful Payable	371,143,390	398,416,417	187,295,424	116,369,475
Amount Due to Related Party	-	-	1,299,780	9,748,632
	371,143,390	398,416,417	188,595,204	126,118,106
21.2 Non-Financial Liabilities				
Accrued Liabilities	255,957,651	198,636,758	30,585,699	25,995,242
Other Creditors	253,398,699	219,472,966	33,465,284	22,538,773
Income Tax Payable	26,633,227	15,293,660	-	-
	535,989,577	433,403,384	64,050,983	48,534,015

22. SUBORDINATED DEBT

As at 31st December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Unsecured Subordinated Debt	214,527,602	226,250,333	263,096,369	272,402,200
	214,527,602	226,250,333	263,096,369	272,402,200

The details of the above Instrument are as follows,

Purpose/ Rationale	Invested Party	Relationship	Face Value Rs.	Repayment Terms
To meet the Risk Based Capital Requirements	Amana Takaful (Maldives) PLC	Related Company	123,096,369	5 Years
To meet the Risk Based Capital Requirements	Others	Investors	140,000,000	5 Years
			263,096,369	

22.1 Maturity Analysis of Subordinated Debt

As at 31st December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Less than 1 year	140,000,000	15,000,000	140,000,000	15,000,000
1 to 5 years	74,527,602	211,250,333	123,096,369	257,402,200
More than 5 years	-	-	-	-
	214,527,602	226,250,333	263,096,369	272,402,200

Notes to the Financial Statements 2020

23. RIGHT OF USE ASSETS

Set out below are the carrying amounts of right-of-use assets recognised and the movement during the year.

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Cost				
Balance as at 1st January 2019	-	6,900,000	-	18,078,914
Effect of adoption of SLFRS 16 as at 1st January 2019	-	262,611,741	-	-
Balance at the beginning of the year	268,110,679	269,511,741	18,078,914	18,078,914
Additions & Improvements	14,974,502	-	4,649,534	-
Exchange Gain/loss	(6,848,543)	(1,401,062)	-	-
Cost as at 31st December 2020	276,236,638	268,110,679	22,728,448	18,078,914
Accumulated Depreciation				
Balance as at 1st January 2020	(12,776,233)	-	(4,259,938)	-
Depreciation Charge for the period	(26,680,986)	(12,738,100)	(5,532,472)	(4,259,938)
Exchange Gain/loss	12,776,233	(38,133)	-	-
Accumulated Depreciation 31st December 2020	(26,680,986)	(12,776,233)	(9,792,410)	(4,259,938)
Carrying Amount	249,555,652	255,334,446	12,936,038	13,818,976

23.1 Lease Liability

Set out below are the carrying amounts of lease liability recognised as per SLFRS 16 and the movement during the year.

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Balance as at 1st January	-	3,849,823	-	-
Effect of adoption of SLFRS 16 as at 1st January 2019	-	118,285,501	-	16,859,633
Balance at the beginning of the year	113,097,657	122,135,324	14,053,815	16,859,633
Additions	14,974,502	-	4,649,534	-
Interest Expense	9,037,517	5,229,050	2,017,158	2,218,765
Repayments	(22,779,329)	(13,746,220)	(6,971,496)	(5,024,583)
Exchange Gain/loss	2,261,666	(520,497)	-	-
Balance as at 31st December 2020	116,592,013	113,097,657	13,749,012	14,053,815
Unamortised Profit	-	-	-	-
Net Liability	116,592,013	113,097,657	13,749,012	14,053,815

23.2 Maturity Analysis of Lease Liability

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Less than 1 year	32,864,443	29,035,038	7,344,133	4,604,687
1 to 5 years	120,712,079	114,477,118	11,976,925	12,845,662
More than 5 years	148,674,401	163,358,996	-	-

24. SHORT TERM BORROWINGS - WAKALA FACILITY

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Opening Balance	157,857,492	200,777,276	157,857,492	200,777,276
Obtained during the year	93,000,000	477,000,000	93,000,000	477,000,000
Repayments	(250,857,492)	(519,919,785)	(250,857,492)	(519,919,785)
At the end of the year	-	157,857,492	-	157,857,492

25. GROSS WRITTEN CONTRIBUTION

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
General Takaful (Insurance)				
Motor	1,068,992,925	1,065,454,542	992,704,532	993,157,707
Fire	823,141,667	790,615,511	245,720,288	260,803,321
Marine	269,459,037	264,723,423	143,650,900	127,528,153
Medical	908,233,906	919,916,187	248,745,522	217,279,197
Miscellaneous	306,614,607	384,359,552	208,677,028	233,284,569
	3,376,442,143	3,425,069,214	1,839,498,270	1,832,052,947
Long Term Policies				
Unit Linked	695,299,975	763,089,978	-	-
Family Takaful	48,519,368	60,280,672	-	-
Mortgage & Group Family Takaful	23,412,341	27,335,799	-	-
	767,231,684	850,706,450	-	-
	4,143,673,826	4,275,775,664	1,839,498,270	1,832,052,947

26. INCOME FROM INVESTMENTS

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Investment Income (26.1)	336,043,598	375,786,177	73,939,920	92,368,259
Fair Value Gain/(Loss) on Investment Properties	-	500,000	-	500,000
Net Realised Capital Gain or (Losses)	24,198,774	(30,077,744)	-	-
Unrealised Capital Gain or (Losses)	27,976,745	32,723,388	-	-
	388,219,117	378,931,821	73,939,920	92,868,259

Notes to the Financial Statements 2020

26.1 Investment Income

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Dividend Income	30,453,267	16,877,141	21,211,687	16,960,173
Income from Fixed Term Deposits	271,029,686	297,242,062	38,386,423	51,142,434
Interest Income from investment in Government Securities (26.2)	34,560,646	61,666,974	14,341,810	24,265,652
	336,043,598	375,786,177	73,939,920	92,368,259

26.2 Interest income from Government Securities has been recognised based on a special approval given by the Council of Islamic Scholars of the Company in 2009.

27. OTHER INCOME

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Profit on Disposal of Property, Plant and Equipment	1,515,843	890,582	1,515,843	890,582
Sundry Income	48,411,118	107,127,819	24,643,972	52,876,837
Fund Management Fee Income	75,426,103	83,068,826	-	-
Rental Income	5,650,000	5,210,000	1,800,000	1,710,000
Salvage Income	3,332,300	3,237,400	3,332,300	3,237,400
Exchange Gain/(Loss)	313,777	884,298	279,892	851,555
	134,649,140	200,418,925	31,572,007	59,566,374

28. TOTAL REVENUE

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Gross Written Contribution (Premium)	4,143,673,826	4,275,775,664	1,839,498,270	1,832,052,947
Less: Contribution (Premium) Ceded to Retakaful Companies (Reinsurers)	(1,174,788,491)	(1,156,962,914)	(483,162,934)	(482,358,879)
Net Written Contribution (Premium)	2,968,885,335	3,118,812,750	1,356,335,336	1,349,694,068
Net Change in Reserve for Unearned Contribution (Premium)	30,591,806	173,788,550	(10,633,829)	127,361,817
Net Earned Contribution (Premium)	2,999,477,141	3,292,601,300	1,345,701,507	1,477,055,884
Income from Investments	388,219,117	378,931,821	73,939,920	92,868,259
Other Income	134,649,140	200,418,925	31,572,007	59,566,374
Total Revenue	3,522,345,399	3,871,952,047	1,451,213,434	1,629,490,517

29. TAKAFUL (INSURANCE) CLAIMS AND BENEFITS (NET)

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
General Takaful (Insurance)				
Gross Claims Incurred				
Motor	455,401,729	664,805,973	447,420,595	656,421,746
Fire	144,030,253	542,802,154	132,806,076	421,767,709
Marine	78,966,069	188,900,837	38,827,418	67,366,374
Medical	483,148,829	506,967,165	174,456,683	217,427,402
Miscellaneous	201,367,415	387,763,542	86,872,873	156,624,169
	1,362,914,295	2,291,239,671	880,383,644	1,519,607,399
Retakaful (Reinsurance) Recoveries	(177,383,888)	(638,229,454)	(141,509,625)	(464,500,452)
General Insurance Claims & Benefits (Net)	1,185,530,407	1,653,010,217	738,874,019	1,055,106,947
Family Takaful (Long Term Insurance)				
Claims Incurred	59,557,587	81,972,504	-	-
Surrenders	312,506,063	428,413,917	-	-
Policy Maturities	34,030,663	39,999,464	-	-
Interim Payments/Part withdrawals	41,125,946	41,509,015	-	-
Long Term Insurance Claims & Benefits	447,220,259	591,894,900	-	-
	1,632,750,665	2,244,905,116	738,874,019	1,055,106,947

30. OTHER OPERATING AND ADMINISTRATION EXPENSES

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Staff Expenses (30.1)	751,007,704	721,267,341	322,586,706	363,871,641
Administration & Establishment Expenses	307,983,102	580,980,355	130,663,772	252,199,686
Selling Expenses	79,765,563	111,986,236	64,392,335	81,744,486
Depreciation ROU Asset	26,680,986	12,776,233	5,532,472	4,259,938
Depreciation	24,668,813	24,731,787	12,792,840	15,419,143
	1,190,106,169	1,451,741,952	535,968,125	717,494,894

30.1 Staff Expenses

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Wages, Salaries, Travel & Bonuses	657,048,019	605,045,416	284,106,554	302,002,708
Contribution to defined contribution plans - EPF & ETF	55,644,162	54,183,923	21,173,635	34,361,375
Staff welfare	10,774,916	24,058,879	6,069,392	16,626,306
Staff training	2,629,733	9,265,519	471,107	2,072,579
Medical claims	5,724,555	8,799,235	-	-
Gratuity	19,186,319	19,914,368	10,766,017	8,808,674
	751,007,704	721,267,341	322,586,706	363,871,641

Notes to the Financial Statements 2020

31. AMORTISATION

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Intangible Asset	7,997,773	8,212,337	2,110,052	2,142,711
	7,997,773	8,212,337	2,110,052	2,142,711

32. THE PROFIT/ (LOSS)FROM OPERATIONS FOR THE YEAR

is stated after charging/(crediting) the following :

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Directors' Emoluments - Executive	3,760,216	10,652,526	-	-
- Non-Executive	4,896,868	8,276,922	3,076,217	4,676,985
Auditors' Remuneration (Fees)				
- Audit	5,080,227	4,697,614	1,892,678	1,616,645
- Audit Related Other	1,182,708	808,685	801,468	397,149
- Non Audit	674,676	577,476	340,200	322,138
Depreciation	24,668,813	24,731,787	12,792,840	15,419,143
Depreciation ROU Assest	26,680,986	12,776,233	5,532,472	4,259,938
Advertisement Costs	16,194,296	39,409,402	16,194,296	39,409,402
Amortisation of Intangibles	7,997,773	8,212,337	2,110,052	2,142,711
Staff Cost	751,007,704	721,267,341	322,586,706	363,871,641
Profit on Disposal of Property, Plant & Equipment	1,515,843	890,582	1,515,843	890,582

33. FINANCE COST

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Profit Mark up on Lease (Ijara) Facility	9,037,565	4,736,342	2,017,158	2,218,765
Finance Cost on Subordinated Debt	26,147,841	5,982,328	26,496,112	8,678,560
Profit Mark up on Wakala Facility	5,763,050	22,095,549	5,763,050	22,095,549
	40,948,455	32,814,219	34,276,320	32,992,874

34. INCOME TAX EXPENSE

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Current Income Tax (Note 34.1)	(39,162,307)	(27,852,640)	-	-
	(39,162,307)	(27,852,640)	-	-
Deferred Tax	1,564,842	(97,498,554)	-	(96,792,137)
	1,564,842	(97,498,554)	-	(96,792,137)
Tax Expense (Note 34.1)	(37,597,465)	(125,351,194)	-	(96,792,137)
Recognised in Profit or Loss	(37,597,465)	(125,351,194)	-	(96,792,137)
Recognised in Other Comprehensive Income	-	-	-	-
	(37,597,465)	(125,351,194)	-	(96,792,137)

34.1 Tax Reconciliation Statement

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Accounting Profit/ (Loss) before Tax	260,023,052	(151,818,926)	38,763,207	(284,698,505)
Aggregate Disallowed Items	341,037,631	347,694,484	51,466,313	82,318,343
Aggregate Allowable Expenses	(405,447,789)	(382,122,962)	(103,491,188)	(113,112,853)
Total Statutory Income/(Losses)	195,612,895	(186,247,404)	(13,261,668)	(315,493,015)
Utilisation of tax losses	-	(17,175,603)	-	-
Consolidated Adjustment	65,469,150	389,107,274	-	-
Taxable Income	261,082,045	185,684,267	-	-
Tax @ 15%	(39,162,307)	(27,852,640)	-	-
Tax @ 28%	-	-	-	-
Income Tax Expense for the Year	(39,162,307)	(27,852,640)	-	-
Deferred taxation charge/(reversal)	1,564,842	(97,498,554)	-	(96,792,137)
Total Tax Expense	(37,597,465)	(125,351,194)	-	(96,792,137)

34.1.1 Amana Takaful Maldives PLC is liable for income tax at 15% (2019 - 15%) on the taxable income for the Year of Assessment 2020, and the income tax expense recognised during the year is from Amana Takaful Maldives PLC.

34.1.2 Amana Takaful PLC is liable for income tax at 24% (2019 - 28%) on the taxable income for the Year of Assessment 2020.

34.1.3 Amana Global Ltd is liable for income tax at 15% (2019 - 15%) on the taxable income for the Year of Assessment 2020.

34.1.4 Amana Takaful Life PLC is liable for income tax at 24% (2019 - 28%) on the taxable income for the Year of Assessment 2020.

Notes to the Financial Statements 2020

34.1.5 Income tax assessment relating to years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16 & 2016/17

The Department of Inland Revenue has raised an assessment for the following years of assessment :

- Year of Assessment 2010/11 : assessing the General Insurance business to pay an income tax liability of Rs.578,898/- inclusive of penalty and a assessment on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2011/12 : an intimation on the Life Insurance business, which however has nil balance to pay. The Company has lodged a valid appeal against the said intimation.
- Year of Assessment 2012/13 : assessing the Life Insurance business to pay an income tax liability of Rs.188,249/- and the Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2013/14 : assessing the Life Insurance business to pay an income tax liability of Rs.11,070,604/- and the Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2014/15 : assessing the Life Insurance business to pay an income tax liability of Rs.18,544,683/- and the Company has lodged a valid appeal against the said assessment
- Year of Assessment 2015/16 : assessing the Life Insurance business to pay an income tax liability of Rs.39,828,769/- and the Company has lodged a valid appeal against the said assessment. Inland Revenue Department has assessed the General Insurance business to pay an income tax liability of Rs.142,784,785/- inclusive of penalty. The Company has lodged a valid appeal against the said assessment.
- Year of Assessment 2016/17: assessing the General Insurance business to pay an Vat liability of Rs.28,592,893/- . The Company has lodged a valid appeal against the said assessment

Directors are of the view that it has followed due process and acted in accordance with the prevailing laws in its tax submissions for years of assessment 2010/11, 2011/12, 2012/13, 2013/14, 2014/15, 2015/16 & 2016/17. Therefore, the above assessments have no rationale or basis in law.

34.2 Deferred Tax Asset

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Tax Losses Brought Forward	2,199,267,782	2,275,204,138	1,332,829,295	1,400,912,691
Tax Losses of which Deferred Tax Asset was not recognised	(2,187,639,902)	(2,275,204,138)	(1,332,829,295)	(1,400,912,691)
Available for sale financial assets	-	-	-	-
Unrealised fair value loss	-	69,108,118	-	-
Defined Benefit Obligation	82,631,697	82,572,410	32,218,450	38,851,542
Defined Benefit Obligation which Deferred Tax Asset was not recognised	(43,929,208)	(48,942,435)	(32,218,450)	(38,851,542)
	50,330,369	102,738,093	-	-
Deferred Tax Assets @ 15% & 24%	7,549,555	15,410,714	-	-
Recognised Deferred Tax Asset	7,549,555	15,410,714	-	-
Deferred Tax Liability				
Property, Plant and Equipment	(18,292,465)	(99,112,561)	(18,292,465)	(36,272,555)
Property, Plant and Equipment which Deferred Tax Liability was not recognised	18,292,465	36,272,555	18,292,465	36,272,555
Revaluation Gain	-	-	-	-
Fair Value gain/(loss) of Investment Property	-	3,925,000	-	3,925,000
Fair Value gain/(loss) of Investment Property which Deferred Tax Asset was not recognised	-	(3,925,000)	-	(3,925,000)
Total Taxable Temporary Differences	-	(62,840,006)	-	-
Deferred Tax Liability @ 15% & 24%	-	(9,426,001)	-	-
Deferred income tax charge/ (reversal)	-	-	-	-
Net Deferred Tax Asset	7,549,555	5,984,713	-	-

34.3 Movement in Temporary Differences during the year

Year ended 31 December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Balance at 1st January	5,984,713	103,483,264	-	96,792,137
Recognised in Total Comprehensive Income				
Tax Losses brought forwards	-	-	-	-
Unrealised fair value loss	-	1,469,713	-	-
Defined Benefit Obligation	1,564,842	1,328,728	-	-
Fair Value gain/(loss) of Investment Property	-	-	-	-
Property, Plant and Equipment	-	(3,504,857)	-	-
Available for sale financial assets	-	-	-	-
Write Off*	-	(96,792,137)	-	(96,792,137)
	1,564,842	(97,498,554)	-	(96,792,137)
Balance at 31st December	7,549,555	5,984,713	-	-

34.4 Deferred tax assets are recognised for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Significant management judgment is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and the level of future taxable profits together with future tax planning strategies. In year 2020 Company has not recognised deferred tax assets over the brought forward tax loss, Defined Benefit Obligation and Fair Value loss of Investment Property, since the doubt of recoverability of the deferred tax asset.

34.5 Amana Takaful PLC has recognised tax losses of which Deferred Tax Asset was not recognised amounting to Rs.1,332,829,295/- (2019 - Rs.1,400,912,691/-), The recognised taxable loss during the financial year 2020 is NIL and the remaining accumulated tax loss as at 31 December 2019, is amounting to Rs.1,400,912,691/- will be carried forward for five years.

35. EARNINGS PER SHARE

35.1 Basic Earnings Per Share is calculated by dividing the net profit/(loss) for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

35.2 The following reflect the income and share data used in the Basic Earnings Per Share computations.

Amount used as the Numerator:

For the year ended 31st December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Net Profit attributable to Ordinary Shareholders	120,577,502	(337,009,988)	38,763,207	(381,490,642)

Number of Ordinary Shares used as Denominator:

	Number	Number	Number	Number
Number of Ordinary Shares in Issue	180,000,130	180,000,130	180,000,130	180,000,130
Earnings per share (Rs.)	0.67	(1.87)	0.22	(2.12)

35.3 There were no potential dilutive ordinary shares outstanding at any time during the year. Therefore, Diluted Earning Per Share is same as Basic Earnings Per Share shown above.

Notes to the Financial Statements 2020

36. RELATED PARTY DISCLOSURES

The Group carries out transactions in the ordinary course of its business with parties who are defined as related parties in Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosures". Transactions with related parties were made on the basis of the price lists in force with non-related parties, but subject to approved discounts. Outstanding balances with related parties other than balances relating to investment related transactions as at the reporting date are unsecured and interest free. Settlement will take place in cash. Such outstanding balances have been included under respective assets and liabilities. Details of related party transactions are reported below :

(A) Transactions and outstanding balances with Related Parties

The following table shows the outstanding balance and transaction with related parties during the year.

Related Parties	Nature of the transaction/Outstanding balance	2020	2019
Subsidiaries	Takaful Premium	5,052,059	5,438,733
	Takaful Premium paid	482,361	586,403
	Claims Paid	4,170,887	3,352,032
	Shared Cost	109,266,656	106,044,402
	Supporting Fee	5,400,000	5,400,000
	Shared Cost Settlement	102,907,561	110,571,297
	Current Account Balance	2,195,015	2,834,916
	Dividend Received	20,952,688	16,960,173
	Subordinated Debt	123,096,369	117,681,913

The Group carries out transactions with Parent, Subsidiaries and Fellow Subsidiaries in the ordinary course of business on an arms length basis at commercial rates.

(B) Compensation of Key Management Personnel

The total compensation to those individuals classified as key management personnel, being those having authority and responsibility for planning, directing and controlling the activities of the Company.

According to Sri Lanka Accounting Standard (LKAS) 24 - "Related Party Disclosure", Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. Accordingly, the Directors (including Executive and Non-Executive Directors) of the Company and its parent have been classified as Key Management Personnel of the Group.

The Group carries out transactions with KMPs & their close family members in the ordinary course of business on an arms length basis at commercial rates.

For the year ended 31st December	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Salary and Other Short Term Benefits	60,688,443	61,803,247	15,590,700	17,053,575
Contributions made by the Company to Provident Fund and Trust Fund	2,411,730	2,955,765	1,387,136	1,935,236
Non Cash Benefits	1,140,000	2,160,000	-	1,020,000
	64,240,173	66,919,011	16,977,836	20,008,811

37. PRINCIPAL SUBSIDIARIES

The following disclosure highlights the group composition and the proportion of ownership interests held by NCI.

Company and Country of Incorporation/Operation	Principal Activities	Class of Shares Held	Proportion of class held by the Company	Group Interest (%)	Non-controlling interest (%)
Sri Lanka					
Amana Takaful Life PLC	Life Insurance	Ordinary	82.3%	82.3%	17.7%
Amana Global Limited	Technical Advisor	Ordinary	100%	100%	-
Maldives					
Amana Takaful Maldives PLC	General Takaful Insurance	Ordinary	55%	55%	45%

37.1 Summary financial information for subsidiaries that have non-controlling interests that are material to the Group.

The following table summarises the information relating to the Group's subsidiary that has material NCI, before any intra-group eliminations.

31st December 2020	Amana Takaful Life PLC	Amana Takaful Maldives PLC
NCI Percentage	17.7%	45%
Total Assets	3,099,222,373	2,252,149,196
Total Liabilities	(2,640,062,709)	(1,054,889,046)
Net Assets	459,159,664	1,197,260,150
- Attributable to Non-Controlling Interest	81,271,260	538,767,068
- Attributable to Parent	377,888,403	658,493,083
Net Earned Contribution (Premium)	742,752,876	911,602,465
Profit for the Period	(34,712,449)	239,982,643
- Profit Attributable to Non-Controlling Interest	(6,144,104)	107,992,190
- Profit Attributable to Parent	(28,568,346)	131,990,454
Other Comprehensive Income, net of tax	2,801,805	51,093,431
Total Comprehensive Income for the year	(31,910,645)	291,076,075
Cash Flows From/(Used) in Operating Activities	117,193,454	252,405,878
Cash Flows From/(Used) in Investment Activities	(238,244,053)	(245,347,757)
Cash Flows Used in Financing Activities (Dividends Paid to NCI: Rs.17,143,108/-)	(6,501,380)	(39,545,401)
Net Increase/(Decrease) in Cash and Cash Equivalents	(127,551,979)	(32,487,280)

Notes to the Financial Statements 2020

31st December 2019	Amana Takaful Life PLC	Amana Takaful Maldives PLC
NCI Percentage	17.7%	45%
Total Assets	2,924,488,105	2,025,210,751
Total Liabilities	(2,436,635,252)	(1,080,930,804)
Net assets	487,852,853	944,279,947
- Attributable to Non-Controlling Interest	86,349,955	424,925,976
- Attributable to Parent	401,502,898	519,353,971
Net Earned Contribution (Premium)	820,513,445	1,001,057,108
Profit for the Period	(29,118,030)	144,430,578
- Profit Attributable to Non-Controlling Interest	(5,153,891)	64,993,760
- Profit Attributable to Parent	(23,964,139)	79,436,818
Other Comprehensive Income, net of tax	1,244,834	137,125,982
Total Comprehensive Income for the year	(27,873,196)	281,556,561
Cash Flows From Operating Activities	16,421,894	105,079,673
Cash Flows Used in Investment Activities	50,050,135	(87,370,450)
Cash Flows Used in Financing Activities	45,837,449	(30,915,971)
Net Increase in Cash and Cash Equivalents	112,309,477	(13,206,748)

38. COMMITMENTS AND CONTINGENCIES

38.1 Commitments

The Group does not have significant capital commitments as at the reporting date.

38.2 Contingencies

A contingent liability at a fair value of Rs.298 Mn has been determined from four claims where, Amana Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs.35 Mn, if any. The said claims are subject to legal proceeding. At the reporting date, the lawyers are of the view that these five cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

39. TRANSFER PRICING

Transfer pricing regulations applicable from 01.04.2018 are given in Extra Ordinary Gazette No. 2104/4 issued on 31st December 2018. Transfer Pricing Regulations apply to International Transactions referred to in Section 76 and to the cases of transactions other than international transactions made between associated enterprises referred to in Section 77 of the Inland Revenue Act, No. 24 of 2017.

During the financial year, certain transactions including provision of insurance solutions and placement of deposits have been taken place with parent entity (Associated undertaking). The group is of the view that the transactions with its' related entities have taken place on arm's length price.

As the aggregate value of transactions of each companies with associated undertaking is more than Rs.50 Million, the group is required to maintain separate documentation as prescribed by Transfer Pricing Regulations. All Companies are in the process of seeking professional advice from tax consultants to prepare required documentations to comply with Transfer Pricing Regulation.

40. EVENTS OCCURRING AFTER THE REPORTING DATE

Events after the reporting period are those events, favourable and unfavourable that occur between the reporting date and the date when the financial statements are authorised for issue.

All material post reporting date events have been considered and where appropriate, adjustments or disclosures have been made in the respective notes to the financial statements.

Except for the following mentioned post balance events, There have been no material events occurring after the reporting date that require adjustments to or disclosure in the financial statements.

41. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2020 Rs.	2019 Rs.	
Cash on hold	Bank Guarantee for Garages for their services	4,000,000	4,000,000	Other Assets - General Fund
Cash on hold	Bank Guarantee for Tax Appeal Commission	-	4,847,929	Other Assets - Shareholders Fund
Repurchase Agreements	Bank Guarantee for a Performance Bond	1,000,000	1,000,000	Financial Assets - General Fund
Investment in Subsidiary	Short-Term Wakala Facility	-	411,500,000	Investment in Subsidiary
Cash on hold	Bank Guarantee for a Government Tender	2,199,632	-	Other Assets - General Fund

42. COMPARATIVE INFORMATION

Comparative information has been reclassified where necessary to conform with the current year presentation.

43. RISK MANAGEMENT

43.1 Overview

"All entities face uncertainty and the challenge for the Group is to determine how much uncertainty to accept as it strives to grow stakeholder value. Uncertainty presents both risk and opportunity, with the potential to erode or enhance value. Primarily, risk management framework enables management to effectively deal with uncertainty and associated risk and opportunity, enhancing the capacity to build value.

43.2 Risk Management Framework

The Group's risk management framework forms an integral part of the management and Board processes and decision-making framework across the Group. The Group has a robust Enterprise Risk Management Framework to mitigate the identified risks exposed at multiple levels of the operation. We believe, while having the Governance practices and the Standard Operating Procedures (SOP's), having the right people at the right place will mitigate more than half the risks.

However, the Board of Directors have the overall responsibility for the establishment and oversight of the Group's risk management framework and thus, their approval is necessary for the Risk management Strategies. The Group's Risk Management Framework categorised into four lines of defense as follows:

1. Front Line People – Risk awareness of the people in the front line is the first line of defense.
2. Policies and Procedures – The Standard Operating Procedures will mitigate the risks at operational level.
3. Key Personnel – Appointing key personnel at the key positions will assist mitigating through right decision-making and approval controls at senior management level.
4. Governance – The governance practices to mitigate the risks at Board level.

Notes to the Financial Statements 2020

The Board has appointed a Subcommittee (Board Risk Committee) to monitor closely the affairs of Risk Management of the Group.

This section discusses the salient features of the risks exposed by the Group in terms of financial instruments and other areas as an insurance sector. The Financial instruments of the Group are exposed to the following Risks.

1. Financial Risk
2. Market Risk
3. Insurance Risk
3. Liquidity Risk

43.3 Financial Risk

43.3.1 Capital Management

a. Objectives and policies

The Group has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- Optimise capital utilisation within the regulatory and Shariah guidelines.
- To maintain the required level of solvency of the Group, thereby providing a degree of security to policyholders.
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders, policyholders and other stakeholders.
- To retain financial flexibility by maintaining strong liquidity.
- To align the profile of assets and liabilities, taking account of risks inherent in the Group's line of business.

The Group currently has stated capital worth Rs.1.86 Bn which is well above the minimum regulatory requirement of the Insurance Regulatory Commission of Sri Lanka (IRCSL). Operations of the Group are also subject to statutory requirements of the IRCSL (Capital, investments, solvency etc..) of which, adaptations are made to internal processes from time to time as and when regulations are amended. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions on events such as capital adequacy and solvency to minimise the risk of default and insolvency on the part of the insurance companies to meet unforeseen liabilities. Furthermore, the Group firmly adheres to Islamic finance principles i.e. the strict adherence of Shariah guidelines in terms of investments, marketing activities and so on, and restrictions in borrowing capital etc., give more stability to the financial strength of the Group.

b. Approach to Capital Management

Capitals of all investments are maintained strictly within the investment guidelines of the Insurance Board of Sri Lanka. This primarily helps the Group to maintain the required levels of solvency at all the times at different funds. In meeting the objectives mentioned above, the Capital management and asset allocation decisions are reviewed and approved by the Executive Committee and the Board Investment Committee which meet regularly on a monthly basis. The Board Investment Committee operates under clear terms of reference to thoroughly analyse the new investment proposals, review the past performance and provide guidance in terms of future investments and movements of assets.

43.3.2 Credit Risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation.

How credit risk could arise

1. Premium receivable
2. Re-Insurance receivable
3. Investments in debt securities

The following policies and procedures are in place to mitigate the Group's exposure to credit risk:

- The Group has a stringent credit policy and a detailed SOP outlining the authority and approval limits to manage credit granted to customers.
- All Re-insurers are selected based on the ratings as required by IRCSL.
- The investment committee evaluates the exposure and the new investments in instruments in order to reduce the risks.
- The executive committee regularly reviews the credit position of the Group i.e. outstandings and overdues. In addition the Group also ensures that there are sufficient provisions created in the case of doubtful debts.

2020 - Industry Analysis	Financial Services	Asset Management	Government	Food & Beverages	Teleco.	Construction, Manufacturing, Power & Chemicals	Others	Total
Assets								
Financial assets at Fair Value through Profit or Loss								
Investments in equity securities	529,022,813	-	-	-	53,269,070	-	-	582,291,883
Investments in equity securities - Unit Linked	-	-	-	-	-	73,347,156	8,732,883	82,080,039
Investment In Gold	-	-	-	-	-	-	70,596,144	70,596,144
Available-for-Sale Financial Assets								
Investment in Equity Securities	28,805,643	-	-	-	-	-	-	28,805,643
Unit Trust	-	81,531,540	-	-	-	-	-	81,531,540
Unit Trust - Unit Linked	-	30,093,602	-	-	-	-	-	30,093,602
Unquoted	-	-	-	-	-	525,000	-	525,000
Loans and Receivables								
Repurchase Agreements	-	-	452,427,091	-	-	-	-	452,427,091
Repurchase Agreements - Unit Linked	-	-	30,767,990	-	-	-	-	30,767,990
Fixed Term Investments	1,954,843,572	-	-	-	-	-	-	1,954,843,572
Mudharaba /Fixed Term Investments - Unit Linked	1,759,448,599	-	-	-	-	-	-	1,759,448,599
Advances to Company Officers	-	-	-	-	-	-	11,449,941	11,449,941
Total Credit Exposure	4,272,120,627	111,625,142	483,195,081	-	53,269,070	73,872,156	90,778,969	5,084,861,045

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2019 - Industry Analysis	Financial Services	Asset Management	Government	Food & Beverages	Teleco.	Construction, Manufacturing, Power & Chemicals	Others	Total
Assets								
Financial assets at Fair Value through Profit or Loss								
Investments in equity securities	514,191,725	-	-	-	45,095,239	-	-	559,286,964
Investments in equity securities - Unit Linked	-	-	-	-	-	56,968,927	1,422,776	58,391,703
Available-for-Sale Financial Assets								
Investment in Equity Securities	21,483,888	-	-	-	-	-	-	21,483,888
Unit Trust	-	28,030,231	-	-	-	-	-	28,030,231
Unit Trust - Unit Linked	-	28,900,391	-	-	-	-	-	28,900,391
Unquoted	-	-	-	-	-	525,000	-	525,000
Loans and Receivables								
Repurchase Agreements	-	-	571,002,297	-	-	-	-	571,002,297
Repurchase Agreements - Unit Linked	-	-	30,110,959	-	-	-	-	30,110,959
Murabaha Investments	-	-	-	-	-	-	-	-
Fixed Term Investments	1,637,612,055	-	-	-	-	-	-	1,637,612,055
Mudharaba /Fixed Term Investments - Unit Linked	1,598,806,981	-	-	-	-	-	-	1,598,806,981
Advances to Company Officers	-	-	-	-	-	-	13,747,619	13,747,619
Total Credit Exposure	3,772,094,649	56,930,622	601,113,256	-	45,095,239	57,493,927	15,170,395	4,547,898,088

43.3.2.1 Credit Exposure

The Group's maximum exposure to credit risk for the components of the Statement of Financial Position at 31 December 2020 and 2019, is the carrying amounts of respective financial instruments.

Credit Exposure - 31st December 2020	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2020 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	647,658,683	-	-	647,658,683
Investment in Equity Securities - Unit Linked	87,309,383	-	-	87,309,383
Available-for-Sale Financial Assets				
Investment in Equity Securities - Quoted	28,805,643	-	-	28,805,643
Unit Trust	-	-	-	-
Unit Trust - Unit Linked	30,093,602	-	-	30,093,602
Investment in Equity Securities - Unquoted	525,000	-	-	525,000
Loans & Receivables				
Repurchase Agreements	452,427,091	-	-	452,427,091
Repurchase Agreements - Unit Linked	30,767,990	-	-	30,767,990
Fixed Term Investments	1,954,843,572	-	-	1,954,843,572
Commercial Paper	-	-	-	-
Mudharaba Investments - Unit Linked	1,759,448,599	-	-	1,759,448,599
Advance to Company Officers	11,449,941	-	-	11,449,941
Other Assets Related to Financial Risk				
Retakaful (reinsurance) Receivables	419,515,247	-	-	419,515,247
Contribution (Premium) Receivables	639,192,920	-	-	639,192,920
Cash and Cash Equivalents	115,078,762	-	-	115,078,762
Total Credit Exposure	6,177,116,434	-	-	6,177,116,434

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Credit Exposure - 31st December 2019	Neither Past Due nor Impaired Rs.	Past Due but Not Impaired Rs.	Individually Impaired Rs.	As at 31st December 2019 Rs.
Financial Assets				
Financial Assets at Fair Value through Profit or Loss				
Investment in Equity Securities	559,286,964	-	-	559,286,964
Investment in Equity Securities - Unit Linked	58,391,703	-	-	58,391,703
Available-for-Sale Financial Assets				
Investment in Equity Securities - Quoted	21,483,888	-	-	21,483,888
Unit Trust	-	-	-	-
Unit Trust - Unit Linked	28,900,391	-	-	28,900,391
Investment in Equity Securities - Unquoted	525,000	-	-	525,000
Loans & Receivables				
Repurchase Agreements	571,002,297	-	-	571,002,297
Repurchase Agreements - Unit Linked	30,110,959	-	-	30,110,959
Murabaha Investments	-	-	-	-
Mudharaba Investments	1,637,612,055	-	-	1,637,612,055
Commercial Paper	-	-	-	-
Mudharaba Investments - Unit Linked	1,598,806,981	-	-	1,598,806,981
Advance to Company Officers	13,747,619	-	-	13,747,619
Other Assets Related to Financial Risk				
Retakaful (reinsurance) Receivables	330,635,917	-	-	330,635,917
Contribution (Premium) Receivables	589,940,459	-	-	589,940,459
Cash and Cash Equivalents	298,470,588	-	-	298,470,588
Total Credit Exposure	5,738,914,820	-	-	5,738,914,820

The following table provided information regarding the credit risk exposure on investments of the Group as at 31st December 2020 as a percentage of respective credit ratings of the investee. AAA is considered the highest possible rating, while assets that fall outside the range of AAA to BBB- are classified as speculative grade. No credit exposure limits were exceeded by the Group during the year.

Investment in Repurchase Agreements are Government Securities and can be categorised as risk free investment. Further, investments in shares and units are not considered, since credit rating is not applicable.

Credit Rating	Exposure %
A+	43
A	21
AA-	18
AA	11
BB	7

43.4 Market Risk

Market risk involves all the fluctuations in the demand and supply forces in the capital and insurance markets for the Group. The capital market forces determine interest rates, equity prices, yield on other investment assets, while the market forces in the insurance market determines the net premiums and gross premium values. Further, prices of goods and services in general i.e., inflation, determines the cost of administration.

43.4.1 Interest Rate Risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in the market interest rates. Floating rate instruments expose the Group to cash flow interest risk, whereas fixed interest rate instruments expose the Group to fair value interest risk.

The Group invests in Treasury Bills primarily to meet the mandatory requirement of the investment Insurance Regulatory Commission of Sri Lanka and to park the cash inflow within the admissible assets category until a suitable option is identified within the available time space.

43.4.2 Equity Risk

Listed equity investments are prone to market risk arising from uncertainties faced in the future values of the securities. In order to diversify its risk the Group and the Company have a diversified investment policy based on fundamental analysis which has helped balance the uncertainty faced. It is also notable that the Group and the Company invests only in sound fundamental value giving investments to the Group and the Company; providing greater security in its invested equity securities.

Amana Takaful Equity Exposure (Group) - Quoted

Sector	2020 Equity Exposure		2019 Equity Exposure	
	Exposure	Sector Weight	Exposure	Sector Weight
	Rs.	%	Rs.	%
Financial Services	557,828,456	91%	535,675,613	92%
Telecommunication	53,269,070	9%	45,095,239	8%
	611,097,526	100%	580,770,852	100%

Sector	2020 Equity Exposure - Unit Linked		2019 Equity Exposure - Unit Linked	
	Exposure	Sector Weight	Exposure	Sector Weight
	Rs.	%	Rs.	%
Construction	17,481,948	21%	15,336,767	26%
Manufacturing	64,598,091	79%	43,054,936	74%
	82,080,039	100%	58,391,703	100%

43.4.2.1 Sensitivity Analysis of Equity Risk-Group

Sector	Type of Classification	2020		2019	
		Rs.	Rs.	Rs.	Rs.
		10% Decline	10% Increase	10% Decline	10% Increase
Financial Assets	FVTPL	(6,528,880)	6,528,880	(7,061,960)	7,061,960
	AFS	(1,409,558)	1,409,558	(182,863)	182,863
Financial Assets - Unit Linked	FVTPL	(820,800)	820,800	(5,839,170)	5,839,170
Net impact on profit before tax	FVTPL	(6,528,880)	6,528,880	(7,061,960)	7,061,960
Net impact on OCI	AFS	(1,409,558)	1,409,558	(182,863)	182,863

43.4.3 Foreign Currency Risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group has exposure to foreign currency risk where it has cash flows in overseas operations and foreign currency transactions which are affected by foreign exchange movements.

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43.5 Insurance Risk

Being in the Insurance Industry, risks related to the insurance business i.e. Insurance Risk, becomes primary in the list. Insurance is all about managing risks on behalf of the customers. In that context, we have identified the following three major risk areas under this Category.

- Underwriting Risks
- Claims Risks
- Re-Insurance Risk

In addition to the above Life insurance is specifically subject to the following risks.

1. Mortality risk – risk of loss arising due to policyholder death experience being different than expected.
2. Morbidity risk – risk of loss arising due to policyholder health experience being different than expected.
3. Investment return risk – risk of loss arising from actual returns being different than expected.
4. Expense risk – risk of loss arising from expense experience being different than expected.
5. Policyholder decision risk – risk of loss arising due to policyholder experiences (lapses and surrenders) being different than expected.

In order to mitigate such risk the Group has adopted the following strategy. The Group's strategy is driven by the comprehensive screening of policy holders in order to ascertain current medical status, family medical history, the key been the comprehensive screening of participants. Further, the Group ensures that the overall risk is reduced by diversifying the product portfolio across widespread geographical and industry wide segments.

The Group also rejects the payment of fraudulent claims once fully exhausting its investigative capacity. The insurance risk described above is also affected by the contract holder's right to pay reduced premiums or no future premiums, to terminate the contract completely. As a result, the amount of insurance risk is also subject to contract holder behavior.

43.5.1 Under-writing Risks

In insurance, underwriting risk may either arise from an inaccurate assessment of the risks entailed in writing an insurance policy, or from factors wholly out of the underwriter's control. As a result, the policy may cost the insurer much more than it has earned in premiums.

Management Strategy

- i. Price** – The Group has strict pricing mechanisms which need to be adhered in respect of various classes of products. Whilst pricing is periodically reviewed in respect of market activity it is notable that discounting is strictly monitored with authority levels only at the highest level whilst also been on a multi-level basis.
- ii. Exposure** – The Group fully ensures that the Group does not underwrite risk which does not suit its risk profile and further ensures all high volume non-motor risks are re-insured.
- iii. Personnel** – The Group ensures that all Underwriting personnel in both General and Life are adequately trained. Further, all staff inclusive of underwriting staff have been given specific Key Performance Indicators (KPI's) with regard to revenue and profitability of product segments. The Life segment has its own in-house actuary, who reviews the Life business closely and guides the management when taking crucial product based decisions.

Further, it should be noted that the Group monitors product profitability of all main classes of insurance on a month by month basis.

43.5.2 Claims Risk

The key risk facing insurance companies is the claims risk where an extremely high amount of risks i.e., a significantly high claims ratio in comparison to the earned premium could drastically affect Group performance.

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasised in Key Performance indicators of all staff levels.

Claim Development Table

The following tables show the estimate of cumulative incurred claims for each year.

Gross non-life insurance outstanding claims provision for 2020

(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2015	2016	2017	2018	2019	2020
1	939,112	1,208,437	859,932	1,219,262	1,345,185	861,083
2	971,969	1,266,034	899,992	1,239,751	1,418,704	
3	977,219	1,265,987	899,948	1,240,098		
4	979,453	1,266,064	900,322			
5	979,618	1,265,908				
6	980,543					

Net non-life insurance outstanding claims provision for 2020

(All figures are in Rupees thousands unless otherwise stated)

DY/AY	2015	2016	2017	2018	2019	2020
1	911,449	795,550	672,032	821,145	1,016,883	661,715
2	942,676	820,135	720,718	864,369	1,081,823	
3	947,841	820,091	717,641	864,097		
4	948,254	820,169	717,916			
5	948,419	820,012				
6	949,344					

Sensitivity analysis on claim handling expenses, loss development factors and provision for adverse deviation

Table 1: Impact on Undiscounted Net Claim Liability

Sensitivity	Change in variable^	CE IBNR (including CHE)	CE CL (including CHE)	Impact on Profit & Loss*
Base		65,331	119,112	(24,085)
CHE (Base: 4%)				
Stressed Up CHE (4.4%)	+10%	65,789	119,570	(24,543)
Stressed Down CHE (3.6%)	-10%	64,872	118,654	(23,627)
ULR				
Stressed Up ULR	+5%	150,393	204,172	(109,144)
Stressed Down ULR	-5%	23,852	77,631	17,397

Table 2: Impact on Undiscounted Net Contribution Liability

Sensitivity	Change in variable^	UCR (Net of Wakala Fee)	CE URR (including expenses)	Impact on Profit & Loss~
Base		506,206	511,805	(19,904)
CHE (Base: 4%)				
Stressed Up CHE (4.4%)	+10%	506,206	513,774	(21,873)
Stressed Down CHE (3.6%)	-10%	506,206	509,837	(17,936)
Wakalah Fee				
Stressed Up Wakalah Fee	+10%	506,206	542,707	(50,807)
Stressed Down Wakala Fee	-10%	506,206	484,248	7,653

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Table 3: Impact on Undiscounted Gross Claim Liability

Sensitivity	Change in variable [^]	CE IBNR (including CHE)	CE CL (including CHE)	Impact on Profit & Loss*
Base		216,885	367,037	(163,416)
CHE (Base: 4%)				
Stressed Up CHE	+10%	217,344	367,495	(163,874)
Stressed Down CHE	-10%	216,427	366,579	(162,958)
ULR				
Stressed Up ULR	+5%	337,983	488,135	(284,515)
Stressed Down ULR	-5%	151,316	301,468	(97,847)

Table 4: Impact on Undiscounted Gross Contribution Liability

Sensitivity	Change in variable [^]	UCR (Net of Wakala Fee)	CE URR (including expenses)	Impact on Profit & Loss~
Base		664,942	689,427	(41,349)
CHE (Base: 4%)				
Stressed Up ULR	+10%	664,942	691,395	(43,318)
Stressed Down CHE	-10%	664,942	687,458	(39,381)
Wakalah Fee				
Stressed Up Wakala Fee	+10%	664,942	729,117	(81,039)
Stressed Down Wakala Fee	-10%	664,942	653,907	(5,830)

[^] During the sensitivity analysis, the variables were stressed up/down on a multiplicative basis (e.g.: A ULR of 50% stressed up by 10% is 55%)

* The impact on profit & loss is the difference between the Central Estimate Claim Liability (including CHE) as at 31 Dec 2020 and the Central Estimate Claim Liability (including CHE) as at 31 Dec 2020. A negative value indicates a decrease in the profits and a positive value indicates an increase in the profits

~ The impact on profit & loss is the difference between the Unearned Contribution Reserve as at 31 Dec 2020 and the Central Estimate Unexpired Risk Reserve (including CHE) as at 31 Dec 2020. A negative value indicates a decrease in the profits and a positive value indicates an increase in the profits

43.5.2.1 Claims Risk Amana Takaful Life PLC (Group)

The key risk facing insurance companies is the claims risk, where an extremely high amount of withdrawals i.e. a significantly high surrender ratio in comparison to the premium, could drastically affect company performance.

Sensitivities

The sensitivity analysis below has been performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions.

31st December 2020	Impact on Takaful Contract Liabilities		
	Change in Assumptions	Gross	Net
	%	RS.	RS.
Mortality/morbidity	+10%	7,707	2,530
Mortality/morbidity	-10%	(7,054)	(1,863)
Lapse and surrender rates	-10%	494	436
Discount rate	-1%	2,681	2,015
Expenses	+10%	336	336
Unit Fund Investment Return	-1%	336	336

Movement in Takaful Contract Liabilities

The movement of Takaful Contract Liabilities are summarised in the table below by measurement category

	Takaful Contract Liabilities	
	Gross	Net
	LKR'000	LKR'000
As at 31 December 2019	2,223,768	2,196,440
Reserve Unwinding	(5,810)	(5,378)
Experience variance	(21,324)	(15,353)
Change in valuation basis (Methodology)	(15,750)	(15,677)
Change in valuation basis (Assumptions)	(837)	(628)
New Business	6,821	4,224
Others	150,209	150,209
As at 31 December 2020	2,337,077	2,313,837

Management Strategy

Countenance of adverse risk of the same is in effect with strict claims management with proper policy documentation at underwriting level and thorough inspection at claims level been fully emphasised in Key Performance indicators of all staff levels.

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43.5.3 Reinsurance Risk

Statement of Reinsurance Arrangements (General Insurance) Outward Treaty Reinsurance

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Marine	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	22.01.2021
			A	AA-	S&P	25.11.2020
			a+	A+	AM Best	17.07.2020
	General Insurance Corporation of India	India	bbb+	B++	AM Best	03.07.2020
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	08.07.2019
	Ocean Re	Barbados	a-	A-	AM Best	10.10.2019
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	30.04.2020
	Tunis Re	TUNISIA	bbb-	B+ (Good)	AM Best	20.07.2020
Fire	NITF	Sri Lanka				
	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	22.01.2021
			A	AA-	S&P	25.11.2020
			a+	A+	AM Best	17.07.2020
	General Insurance Corporation of India	India	bbb+	B++	AM Best	03.07.2020
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	08.07.2019
	Ocean Re	Barbados	a-	A-	AM Best	10.10.2019
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	30.04.2020
Motor	Tunis Re	TUNISIA	bbb-	B+ (Good)	AM Best	20.07.2020
	NITF	Sri Lanka				
	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	22.01.2021
			A	AA-	S&P	25.11.2020
			a+	A+	AM Best	17.07.2020
	General Insurance Corporation of India	India	bbb+	B++	AM Best	03.07.2020
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	08.07.2019
	Ocean Re	Barbados	a-	A-	AM Best	10.10.2019
Liability	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	30.04.2020
	Tunis Re	TUNISIA	bbb-	B+ (Good)	AM Best	20.07.2020
	NITF	Sri Lanka				
	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	22.01.2021
			A	AA-	S&P	25.11.2020
			a+	A+	AM Best	17.07.2020
	General Insurance Corporation of India	India	bbb+	B++	AM Best	03.07.2020
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	08.07.2019
	Ocean Re	Barbados	a-	A-	AM Best	10.10.2019
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	30.04.2020
	Tunis Re	TUNISIA	bbb-	B+ (Good)	AM Best	20.07.2020
	NITF	Sri Lanka				

Class of business	Name of the reinsurer	Reinsurers Country of origin	Rating		Rating Agency	Date of Rating
			Financial Strength	Credit		
Miscellaneous	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	22.01.2021
			A	AA-	S&P	25.11.2020
			a+	A+	AM Best	17.07.2020
	General Insurance Corporation of India	India	bbb+	B++	AM Best	03.07.2020
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	08.07.2019
	Ocean Re	Barbados	a-	A-	AM Best	10.10.2019
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	30.04.2020
	Tunis Re	TUNISIA	bbb-	B+ (Good)	AM Best	20.07.2020
	NITF	Sri Lanka				
Travel PA	Labuan Reinsurance (L) Ltd.	Malaysia	a-	A-	AM Best	03.12.2020
	NITF	Sri Lanka				
Engineering	Swiss Re Asia Pte. Ltd., Malaysia Branch (Swiss Re Retakaful)	Singapore	A2	AA3	Moody's	22.01.2021
			A	AA-	S&P	25.11.2020
			a+	A+	AM Best	17.07.2020
	General Insurance Corporation of India	India	bbb+	B++	AM Best	03.07.2020
	Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	-	A3 (IFSR)	Moody's	08.07.2019
	Ocean Re	Barbados	a-	A-	AM Best	10.10.2019
	Asian Reinsurance Corporation	Thailand	bbb-	B+ Good	AM Best	30.04.2020
	Tunis Re	TUNISIA	bbb-	B+ (Good)	AM Best	20.07.2020
	NITF	Sri Lanka				

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Amana Takaful Life PLC

Class of business	Name of the reinsurer	Reinsurers Country of origin	Name of the regulatory authority which approval obtained to transact reinsurance business*	License validity period of the reinsurer	Rating		Rating Agency	Date of Rating
					Financial Strength	Credit		
Life								
1. Long Term Takaful Plans (Endowments)	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	16/12/2020
	Hanover Re	Baharain	Central Bank of Baharain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	07/12/2020
Other								
1. All family Takaful Policies (CAT Cover)	Hanover Re	Baharain	Central Bank of Baharain	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	07/12/2020
2. Unit Link Takaful	Hanover Re	Baharain	Negara Malaysia (BNM)	Yearly Renewal Unlimited	A+ (Stable)	A+ (Stable)	S&P	07/12/2020
3. Group Family	Munich Re	Malaysia	Central Bank of Baharain	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	16/02/2020
4. Credit & Mortgage Takaful	Munich Re	Malaysia	Negara Malaysia (BNM)	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	16/02/2020
	2. Score Re	Malaysia	Labuan FSA	Yearly Renewal Unlimited	AA- (Stable)	AA- (Stable)	S&P	18/05/2020

Amana Takaful (Maldives) PLC

Name of the reinsurer	Reinsurers Country of origin	Financial Strength	Name of the Rating Agency
Swiss Retakaful	Singapore	A+ (Superior)	AM Best
Labuan Reinsurance (L) Ltd.	Malaysia	A- (Excellent)	AM Best
General Insurance Corporation of India	India	B++ (Stable)	AM Best
Saudi Re for Cooperative Reinsurance Company	Kingdom of Saudi Arabia	A3	Moody's (Stable Outlook)
Asian Reinsurance Corporation	Thailand	B+ Stable	AM Best
Kenya Re	Kenya	B	AM Best
Tunis Re	TUNISIA	B+ Stable	AM Best

43.6 Liquidity Risk

Liquidity risk is when a possibility arises that an entity will encounter difficulty in meeting obligations associated with financial instruments. The Group has a standard set of guidelines set up by an Investment policy under the purview of the Investment committee which is followed in accordance with the IBSL guidelines.

The following policies and procedures are in place to mitigate the Group's exposure to liquidity risk:

- The Group maintains a diverse maturity profile in its assets, in order to ensure sufficient funding available to meet insurance and investment contracts obligations.
- The Investment Committee regularly reviews the liquidity levels and takes appropriate action to improve the liquidity whilst ensuring maximum possible yield and efficiency in investments.
- Efficient forecasting of future commitments and making investments to meet the payouts to mitigate any possible liquidity concerns.

Maturity profile of Group investments based on remaining maturity is given below.

2020 - Maturity Analysis	Within One Month	1-3 Months	3 months to 1 year	1 - 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	-	-	53,269,069	-	557,828,457	611,097,526
Unit Trust	-	-	-	-	30,584,504	30,584,504
Unquoted Investments	-	-	-	-	525,000	525,000
Repurchase Agreements	-	-	452,427,091	-	-	452,427,091
Investment in Gold	-	-	-	-	65,366,800	65,366,800
Fixed Term Investments	-	-	-	1,954,843,572	-	1,954,843,572
Other Assets						
- Other Receivables	-	-	163,486,612	-	-	163,486,612
Advances to Company Officers	-	-	11,449,941	-	-	11,449,941
Contribution (Premium) Receivables	-	-	639,192,920	-	-	639,192,920
Total	-	-	1,319,825,633	1,954,843,572	654,304,761	3,928,973,966
Liabilities						
Other Liabilities - Unit Linked	-	-	74,379,141	-	-	74,379,141
Other Liabilities	-	-	907,132,967	-	-	907,132,967
Short-Term Borrowings	-	-	-	-	-	-
Subordinated Debt	-	-	-	214,527,602	-	214,527,602
Lease Liability	-	-	9,518,439	107,073,573	-	116,592,013
Total	-	-	991,030,547	321,601,175	-	1,312,631,722

2019 - Maturity Analysis	Within One Month	1-3 Months	3 Months to 1 year	1 - 5 Years	No Stated Maturity	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Investments in Quoted Equity Securities	-	-	70,251,559	-	510,519,293	580,770,852
Unit Trust	-	-	-	-	28,030,231	28,030,231
Unquoted Investments	-	-	-	-	525,000	525,000
Repurchase Agreements	-	-	571,002,297	-	-	571,002,297
Fixed Term Investments	-	-	-	1,637,612,055	-	1,637,612,055
Other Assets - Other Receivables	-	-	141,118,722	-	-	141,118,722
Advances to Company Officers	-	-	13,747,619	-	-	13,747,619
Contribution (Premium) Receivables	-	-	589,940,459	-	-	589,940,459
Total	-	-	1,386,060,655	1,637,612,055	539,074,524	3,562,747,235
Liabilities						
Other Liabilities - Unit Linked	-	-	50,986,682	-	-	50,986,682
Other Liabilities	-	-	831,819,801	-	-	831,819,801
Short-Term Borrowings	-	-	157,857,492	-	-	157,857,492
Subordinated Debt	-	-	-	226,250,333	-	226,250,333
Lease Liability	-	-	8,200,260	104,897,397	-	113,097,657
Total	-	-	1,048,864,234	331,147,730	-	1,380,011,964

Notes to the Financial Statements 2020

44. MATURITY PROFILE OF ASSETS & LIABILITIES

Group	2020			2019		
	Within 12 months	After 12 months	Total	Within 12 months	After 12 months	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and Bank Balances	112,834,891	-	112,834,891	260,272,858	-	260,272,858
Cash and Bank Balances - Unit Linked	2,243,871	-	2,243,871	38,197,730	-	38,197,730
Financial Assets	3,132,504,512	44,736,958	3,177,241,470	2,786,951,096	44,736,958	2,831,688,054
Financial Assets - Unit Linked	1,907,619,575	-	1,907,619,575	1,716,210,033	-	1,716,210,033
Right of use assets	-	249,555,652	249,555,652	-	255,334,446	255,334,446
Retakaful (Reinsurance) Receivables	419,515,247	-	419,515,247	330,635,919	-	330,635,919
Contribution (Premium) Receivables	639,192,920	-	639,192,920	589,940,459	-	589,940,459
Investment Property	-	194,000,000	194,000,000	-	194,000,000	194,000,000
Property, Plant and Equipment	-	68,650,769	68,650,769	-	86,385,886	86,385,886
Intangible Assets	-	109,311,653	109,311,653	-	114,454,505	114,454,505
Deferred Tax Assets	-	7,549,555	7,549,555	-	5,984,713	5,984,713
Other Assets	223,167,168	-	223,167,168	210,590,698	-	210,590,698
Other Assets - Unit Linked	-	-	-	-	-	-
Total Assets	6,437,078,184	673,804,588	7,110,882,772	5,932,798,793	700,896,509	6,633,695,302
Liabilities						
Bank Overdrafts	-	-	-	56,123,560	-	56,123,560
Short Term Borrowings	-	-	-	157,857,492	-	157,857,492
Insurance Contract Liabilities - Non Life	1,260,983,971	-	1,260,983,971	1,070,777,688	-	1,070,777,688
Insurance Contract Liabilities - Family Takaful Fund	-	445,781,710	445,781,710	-	471,280,391	471,280,391
Insurance Contract Liabilities- Family Takaful Unit Linked	-	1,913,106,560	1,913,106,560	-	1,747,559,594	1,747,559,594
Employee Benefits	-	82,631,700	82,631,700	-	82,572,410	82,572,410
Subordinated Debt	-	214,527,602	214,527,602	-	226,250,333	226,250,333
Lease Liability	-	116,592,013	116,592,013	-	113,097,657	113,097,657
Other Liabilities - Unit Linked	74,379,141	-	74,379,141	50,986,682	-	50,986,682
Other Liabilities	907,132,967	-	907,132,967	831,819,801	-	831,819,801
Total Liabilities	2,242,496,078	2,772,639,585	5,015,135,664	2,167,565,222	2,640,760,384	4,808,325,606
Net Balance	4,194,582,106	(2,098,834,997)	2,095,747,108	3,765,233,571	(1,939,863,875)	1,825,369,696

Company	2020			2019		
	Within 12 months	After 12 months	Total	Within 12 months	After 12 months	Total
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Assets						
Cash and Bank Balances	47,399,475	-	47,399,475	167,389,849	-	167,389,849
Cash and Bank Balances - Unit Linked	-	-	-	-	-	-
Financial Assets	805,022,093	525,000	805,547,093	838,855,544	525,000	839,380,544
Right of use assets	-	12,936,038	12,936,038	-	13,818,976	13,818,976
Retakaful (Reinsurance) Receivables	362,802,595	-	362,802,595	190,265,962	-	190,265,962
Contribution (Premium) Receivables	471,905,295	-	471,905,295	395,623,737	-	395,623,737
Investments in Subsidiaries	-	1,052,867,811	1,052,867,811	-	1,052,867,811	1,052,867,811
Investment Property	-	46,500,000	46,500,000	-	46,500,000	46,500,000
Property, Plant and Equipment	-	36,112,121	36,112,121	-	48,374,578	48,374,578
Intangible Assets	-	28,336,185	28,336,185	-	29,718,037	29,718,037
Deferred Tax Assets	-	-	-	-	-	-
Other Assets	81,160,339	-	81,160,339	93,063,324	-	93,063,324
Total Assets	1,768,289,797	1,177,277,155	2,945,566,952	1,685,198,416	1,191,804,402	2,877,002,808
Liabilities						
Bank Overdrafts	-	-	-	56,123,560	-	56,123,560
Short Term Borrowings	-	-	-	157,857,492	-	157,857,492
Insurance Contract Liabilities - Non Life	878,842,046	-	878,842,046	704,792,638	-	704,792,638
Employee Benefits	-	32,218,450	32,218,450	-	38,851,542	38,851,542
Subordinated Debt	-	263,096,369	263,096,369	-	272,402,200	272,402,200
Lease Liability	-	13,749,012	13,749,012	-	14,053,815	14,053,815
Other Liabilities	252,646,187	-	252,646,187	174,652,121	-	174,652,121
Total Liabilities	1,131,488,233	309,063,830	1,440,552,063	1,093,425,810	325,307,557	1,418,733,368
Net Balance	636,801,564	868,213,325	1,505,014,889	591,772,606	866,496,845	1,458,269,440

DAWN OF A NEW BEGINNING

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Group Value Added Statement

	2020	2019
	Rs. Mn	Rs. Mn
Net earned contribution (premium)	2,999	3,293
Investment & Other Income	523	579
Net Claims & Benefits	(1,633)	(2,245)
Cost of external services	(687)	(993)
Total Value added	1,202	634
To employees as Salaries and other benefits	751	721
To the Government as taxes	38	125
Change in Family Takaful (Long Term Insurance) Fund	140	27
Retained with the business	-	-
- depreciation	51	38
- in reserves	222	(277)
Total Value added	1,202	634

Share Information

1. Analysis of the Distribution of Shareholders as at 31st December 2020

Shareholding	Resident			Non-Resident			Total	
	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares	%	No. of Shareholders	No. of Shares
1 - 1,000	4,122	984,673	0.55	12	3,925	0.00	4,134	988,598
1,001 - 10,000	929	3,057,108	1.70	3	18,200	0.01	932	3,075,308
10,001 - 100,000	209	5,961,729	3.31	2	26,500	0.01	211	5,988,229
100,001 - 1,000,000	21	4,692,833	2.61	1	190,184	0.11	22	4,883,017
Over 1,000,000	10	165,064,978	91.70	-	-	-	10	165,064,978
	5,291	179,761,321	99.87	18	238,809	0.13	5,309	180,000,130

2.1 Top 20 Shareholders as at 31st December 2020

	No. of Shares	%
Amana Bank PLC/Mr. Shafik Kassim	30,468,567	16.93
Amana Bank PLC	27,009,180	15.01
Seylan Bank PLC/Senthilvel Holdings (Pvt) Ltd	26,332,249	14.63
Mr. Sattar Kassim	19,626,458	10.90
Mr. Osman Kassim/Mrs. K. Kassim	17,899,708	9.94
Amana Bank PLC/Mr. Osman Kassim	15,500,000	8.61
Aberdeen Holdings (Pvt) Limited	11,454,279	6.36
Amana Bank PLC/Mr. Sattar Kassim	11,235,294	6.24
Falcon Trading (Pvt) Ltd	2,861,302	1.59
Alpha Investment Holdings Limited	2,677,941	1.49
Mr. Mohamed Haji Omar	551,513	0.31
Seylan Bank PLC/Jayantha Dewage	414,308	0.23
Mr. Joseph Rohan Victoria	335,209	0.19
Mr. Farook Kassim	325,000	0.18
Mr. Sithambaram Pillai Jayakumar/Mrs. P. Meena	300,000	0.17
Mr. Ravindra Earl Rambukwella	299,220	0.17
Mrs. Nabeela Haroon	270,000	0.15
Mr. Gajath Chrysanth Goonetilleke	256,031	0.14
Mr. Nandadeva Perera	221,448	0.12
Mubasher Financial Services BSC	190,184	0.11
	168,227,891	93.46
Others	11,772,239	6.54
Total	180,000,130	100.00

2.2. Top 20 Shareholders as at 31st December 2019

	No. of Shares	%
Mr. Osman Kassim & Mrs. K Kassim	33,300,024	18.50
Mr. Sattar Kassim	30,855,752	17.14
Mr. Shafik Kassim	30,468,567	16.93
Amana Bank PLC	27,159,633	15.09
Seylan Bank PLC/Senthilveri Holdings (Pvt) Ltd	16,350,509	9.08
ATL Investment Holdings Limited	13,889,678	7.72
Sampath Bank PLC/Dr.T.Senthilveri	4,864,313	2.70
Falcon Trading (Pvt) Ltd	2,861,302	1.59
Dr. Thirugnanasambandar Senthilveri	917,867	0.51
Mr.Mohamed Haji Omar	551,513	0.31
Mrs. Pattini Deva Asoka Swarnakanthi Beruwalage	422,684	0.23
Seylan Bank PLC/Jayantha Dewage	414,308	0.23
Mr.Joseph Rohan Victoria	335,209	0.19
Mrs. Mujahira Mohamed Fazeel/Mr.M.F.Mohamed Fazeel	326,700	0.18
Mr. Farook Kassim	325,000	0.18
Mr. Sithambaram Pillai Jayakumar/Mrs.P.Meena	300,000	0.17
Mr. Ravindra Earl Rambukwella	299,220	0.17
Mrs. Nabeela Haroon	270,000	0.15
Mr. Gajath Chrysantha Goonetilleke	256,031	0.14
Mr. Mohamed Hussain Mohamed Nazeer	241,017	0.13
	164,409,327	91.34
Others	15,590,803	8.66
Total	180,000,130	100.00

3. Public Shareholding

	31.12.2020	31.12.2019
Float Adjusted Market Capitalisation (Rs.)*	911,106,487	378,357,370
Percentage of Shares held by the Public	47.31%	39.66%
Number of Public Shareholders	5298	5741

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing Rules.

* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage.

4. Investor Ratios

	Group		Company	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Earnings/(Loss) per Share	0.67	(1.87)	0.22	(2.12)
Dividend per Share	-	-	-	-
Dividend Payout Ratio	-	-	-	-
Net Assets per Share	8.47	7.58	8.36	8.10

5. Market Value of Shares

	2020	2019
	Rs.	Rs.
Highest Value	11.00	6.80
Lowest Value	3.50	4.40
Year End Value	10.70	5.30

Ten Year Summary

Group										
Statement of Income for the year ended 31 December	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross Written Contribution (Premium)	4,143,674	4,275,776	4,213,900	3,640,635	3,406,904	3,237,609	2,652,008	2,373,301	2,153,770	1,613,979
Net Earned Contribution (Premium)	2,999,477	3,292,601	3,224,809	2,662,652	2,548,797	2,511,374	2,081,401	1,964,884	1,618,797	1,253,696
Income from Investments and Other Income	522,868	579,351	486,893	452,831	373,319	240,612	302,752	184,024	204,744	80,866
Net Claims Incurred	(1,632,751)	(2,244,905)	(1,930,906)	(1,479,674)	(1,438,346)	(1,337,090)	(895,861)	(929,340)	(778,767)	(652,614)
Net Commission Incurred	(250,333)	(258,814)	(260,413)	(202,356)	(238,515)	(226,904)	(187,263)	(130,096)	(84,304)	(65,589)
Expenses	(1,239,052)	(1,492,769)	(1,424,141)	(1,223,014)	(1,084,447)	(976,552)	(867,768)	(757,034)	(686,400)	(555,622)
Increase in Family Takaful (Long Term Insurance) Fund	(140,186)	(27,284)	36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)
Profit/(Loss) Before Taxation	260,023	(151,819)	133,203	169,904	(140,239)	(271,387)	86,429	111,298	107,022	(70,476)
Income Tax Expenses	(37,597)	(125,351)	(29,012)	(14,900)	(5,919)	(9,113)	16,582	46,560	(16,689)	(918)
Net Profit/(Loss) for the year	222,426	(277,170)	104,191	155,004	(146,158)	(280,500)	103,011	157,857	90,333	(71,394)
Basic Earnings/(Loss) Per Share (Rs.)	0.67	(1.87)	0.33	0.08	(0.09)	(0.18)	0.07	0.13	0.06	(0.09)

General Insurance Business

Statement of Income for the year ended 31 December	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross Written Contribution (Premium)	3,377,022	3,424,483	3,385,952	2,848,461	2,586,178	2,309,315	1,972,979	1,830,315	1,789,011	1,296,082
Net Earned Contribution (Premium)	2,257,304	2,472,088	2,418,344	1,897,617	1,742,740	1,603,309	1,416,151	1,426,921	1,261,846	942,842
Income from Investments and Other Income	(260,955)	259,125	275,669	183,763	150,530	110,409	165,763	118,458	170,769	71,615
Net Claims Incurred	(1,185,530)	(1,653,010)	(1,387,459)	(1,050,282)	(1,118,164)	(1,129,518)	(734,623)	(749,794)	(698,422)	(569,253)
Net Commission Incurred	(147,201)	(140,916)	(154,588)	(105,094)	(130,278)	(129,582)	(113,552)	(82,355)	(67,852)	(45,946)
Expenses	(869,185)	(1,065,189)	(956,187)	(800,711)	(820,759)	(744,069)	(647,310)	(594,987)	(559,319)	(469,734)
Profit/(Loss) Before Taxation	316,343	(127,902)	195,778	125,294	(175,931)	(289,451)	86,429	118,243	107,022	(70,476)

Amāna Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Income for the year ended 31 December	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Gross Written Contribution (Premium)	767,232	851,293	827,948	792,174	820,726	928,294	679,029	542,986	364,759	317,897
Net Earned Contribution (Premium)	742,753	820,513	806,465	765,036	806,057	908,064	665,250	537,963	356,951	310,854
Income from Investments and Other Income	289,996	320,226	211,224	269,068	222,789	130,203	136,988	65,566	33,975	9,251
Net Claims Incurred	(447,220)	(591,895)	(543,446)	(423,475)	(320,181)	(207,572)	(161,238)	(179,545)	(80,345)	(83,361)
Net Commission Incurred	(103,132)	(117,898)	(105,825)	(97,198)	(108,237)	(97,322)	(73,711)	(47,741)	(16,452)	(19,643)
Expenses	(376,923)	(427,580)	(467,954)	(422,303)	(263,688)	(232,484)	(220,458)	(162,046)	(127,081)	(85,888)
Increase in Family Takaful (Long Term Insurance) Fund	(140,186)	(27,284)	36,961	(40,536)	(301,048)	(482,827)	(346,831)	(221,141)	(167,048)	(131,213)
Profit/(Loss) Before Taxation	(34,712)	(23,917)	(62,574)	50,592	35,691	18,064	-	(6,945)	-	-

Group

Statement of Financial Position as at 31 December	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets										
Financial Assets	3,177,241	2,831,688	2,835,181	2,727,923	2,305,095	2,448,385	1,754,470	1,655,539	1,877,583	993,838
Investment Property	194,000	194,000	220,429	79,925	78,500	73,500	101,800	173,531	184,105	750,946
Financial Assets - Unit Linked	1,907,620	1,716,210	1,621,208	1,526,679	1,441,276	1,054,183	603,171	351,189	124,446	90,697
Intangible Assets	109,312	114,455	86,943	31,812	36,658	24,703	24,159	29,002	29,199	40,365
Property, Plant and Equipment	68,651	86,386	96,024	76,726	101,870	123,231	127,570	96,720	83,385	39,654
Other Assets	1,651,815	1,652,759	1,722,151	1,485,573	1,450,105	937,383	1,000,999	916,957	532,335	578,647
Other Assets - Unit Linked	2,244	38,198	8,155	7,370	104,248	84,611	130,239	38,810	17,401	7,372
Total Assets	7,110,883	6,633,695	6,590,091	5,936,008	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519
Liabilities										
Insurance Provision-Non Life (General Takaful Fund)	1,260,984	1,070,778	1,394,787	1,015,130	917,870	742,618	625,154	698,682	597,736	454,936
Insurance Provision -Long Term (Family Takaful Fund)	445,782	471,280	534,967	580,710	559,914	574,711	551,211	550,220	577,899	494,321
Insurance Provision -Long Term (Family Takaful Fund)-Unit Linked	1,913,107	1,747,560	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364
Subordinated Debt	214,528	226,250	46,600	-						
Other Liabilities	1,106,357	1,241,471	925,210	992,898	845,154	687,939	443,988	329,820	433,522	550,861
Other Liabilities -Unit Linked	74,379	50,987	51,286	51,845	50,316	39,437	20,116	9,042	2,985	2,176
Total liabilities	5,015,136	4,808,326	4,612,974	4,165,719	3,877,398	3,236,500	2,371,268	1,968,722	1,750,589	1,552,658
Shareholders' Equity Equity Attributable to Equity Holders of the Parent										
Stated Capital	1,860,001	1,860,001	1,860,001	1,860,001	1,860,001	1,650,001	1,250,001	1,250,001	1,250,001	1,250,001
Other Reserves	153,197	141,525	140,956	83,090	85,869	80,105	65,949	30,128	30,140	14,711
Revenue Reserves	(487,950)	(637,893)	(377,686)	(455,559)	(567,430)	(426,506)	(121,500)	(142,051)	(324,619)	(417,740)
	1,525,248	1,363,633	1,623,271	1,487,533	1,378,441	1,303,601	1,194,450	1,138,078	955,522	846,971
Minority Interest	570,499	461,737	353,846	282,755	261,913	205,894	176,689	154,951	142,343	101,889
Total Equity	2,095,747	1,825,370	1,977,117	1,770,288	1,640,354	1,509,494	1,371,139	1,293,028	1,097,865	948,861
Total Equity and Liabilities	7,110,883	6,633,695	6,590,091	5,936,007	5,517,752	4,745,995	3,742,407	3,261,750	2,848,454	2,501,519

Ten Year Summary

Amana Takaful Life PLC/Long Term (Family Takaful) Insurance Business

Statement of Financial Position as at 31 December	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000	Rs.'000
Assets										
Financial Assets	857,600	816,350	875,165	1,040,576	1,018,398	1,089,313	590,099	506,956	539,756	328,486
Investment Property	147,500	147,500	144,929	-	-	-	43,683	71,908	73,463	161,666
Financial Assets - Unit Linked	1,907,730	1,716,210	1,621,208	1,526,679	1,441,276	1,054,183	603,171	351,189	124,446	90,697
Intangible Assets	18,363	19,659	20,955	22,250	23,549	18,408	-	-	-	-
Property, Plant and Equipment	15,347	20,110	28,704	21,165	17,467	14,932	-	-	-	-
Right Of Use Asset	19,839	16,064	-	-	-	-	-	-	-	-
Other Assets	123,744	150,398	178,459	191,588	102,661	84,611	64,612	37,992	43,936	27,420
Other Assets - Unit Linked	2,244	38,198	8,155	7,370	104,248	142,504	130,239	38,810	17,401	7,372
Total Assets	3,092,367	2,924,488	2,877,575	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641
Liabilities										
Family Takaful Fund Balance (Insurance Provision - Long Term)	446,995	471,280	534,967	580,710	559,914	574,711	551,211	550,220	577,899	494,321
Family Takaful Fund (Insurance Provision -Long Term)-Unit Linked	1,913,217	1,747,560	1,660,124	1,525,136	1,504,145	1,191,795	730,799	380,958	138,447	50,364
Subordinated Debt	81,417	81,417	32,051	-	-	-	-	-	-	-
Other Liabilities	115,968	85,392	83,420	78,149	69,708	82,414	129,678	66,636	79,171	23,251
Other Liabilities -Unit Linked	74,379	50,987	51,286	51,845	50,316	39,437	20,116	9,042	3,485	47,705
Total Liabilities	2,631,976	2,436,635	2,361,849	2,235,839	2,184,082	1,888,357	1,431,804	1,006,855	799,002	615,641
Shareholders' Equity										
Equity Attributable to Equity Holders of the Parent										
Stated Capital	500,000	500,000	500,000	500,000	500,000	500,000	-	-	-	-
Other Reserves	11,545	6,710	3,431	(1,545)	(2,669)	2,169	-	-	-	-
Revenue Reserves	(51,154)	(18,857)	12,295	75,333	26,186	13,424	-	-	-	-
Total Equity	460,391	487,853	515,726	573,788	523,517	515,594	-	-	-	-
Total Equity and Liabilities	3,092,367	2,924,488	2,877,575	2,809,627	2,707,599	2,403,951	1,431,804	1,006,855	799,002	615,641

Geography Locations

Head Office

660-1/1, Galle Road, Colombo-03
011 7501000

Anuradhapura

521/22, Maithripala
Senanayake, Mawatha, Anuradhapura
025 7501102

Akurana

207/B, Matale Road, Akurana
081 7501150

Akkaraipattu

Main Street, Akkaraipattu 02
067 7501104

Batticaloa

32, Bar Road, Batticaloa
065 7501103

Beruwela ADO General Office

201 B - 2/1, 1st Floor Galle Road,
Beruwela
034 7501138

Dehiwela

142, Galle Road, Dehiwela
011 7501204

Galle

41, Sri Devamiththa Mawatha, Galle
091 7501127

Gampola

134 A, 1st Floor, Kandy Road, Gampola
081 7501105

Jaffna

249, Power House Road, now
C.Ponnambalam Road, Jaffna
021 7501103

Kaduruwela

379 A, Main Street, Kaduruwela
027 7501120

Kandy

111-1/1 First Floor and 111-1/2,
2nd Floor, Kotugodella Veediya, Kandy
081 7501135

Kalutara

161 A/1 and 161 A/1/1, Main Street,
Kaluthara
034 7501135

Kalmunai

32, Main Street, Kalmunai
067 7501120

Kandy General (Katugastota)

310, 1/2, Katugastota Road, Kandy
081 7501121

Kurunegala

7, South Circular Road, Kurunegala
037 7501120

Matara

36/1, 1st floor, St. Thomas Mawatha,
Matara
041 7501130

Matale

510, Main Street, Matale
066 7501103

Mawanella

207, New Kandy Road,
Mawanella
035 7501107

Mannar ADO Life Office

Pallimunai, Mannar
023 7501200

Negombo

121/1/1, 1st Floor,
St. Joseph Street, Negombo
031 7501121

Pettah

51 and 53, Bankshall Street,
Colombo-11.
011 7501212

Puttalam

128, Mannar Road, Puttalam
032 7501123

Rathnapura

310/1, 1st Floor, Main Road, Kudukalwatta,
Rathnapura
045 7501100

Trincomalee

319/2, Court Road, Trincomalee
026 7501100

Thihariya ADO General Office

122/1, Parakumbamahala, Kandy Road,
Thihariya, Kalagedihena
033 7501100

Vavuniya General

9/60, First Cross Street, Vavuniya
024 7501100



Glossary of Financial Terms

Acquisition Expenses – General Takaful (Insurance)

All expenses which vary with and are primarily related to the acquisition of the new insurance contracts and the renewal of existing insurance contracts.

Acquisition Expenses – Family Takaful (Life)

All expenses which vary with and are primarily related to the acquisition of new insurance contracts.

Actuary

An expert concerned with the application of probability and statistical theory to problems of insurance, investment, financial management and demography.

Claims

The amount payable under a contract of insurance arising from the occurrence of an insured event, such as, the destruction or damage of property and related death or injuries, the incurring of hospital or medical bills, death or disability of the insured, the maturity of an endowment policy and the amount payable on the surrender of a policy.

Claims Incurred

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the claims outstanding provisions at the beginning and the end of the accounting period.

Claims Incurred But Not Reported (IBNR)

A reserve to cover the expected cost of losses that have occurred by the balance sheet date but have not yet been reported to the insurer.

Claim Outstanding – General Takaful (Insurance) Business

The amount provided to cover the estimated ultimate cost of settling claims arising out of events which have occurred by the balance sheet date including claims handling expenses, less amounts already paid in respect of those claims.

Commissions

A payment made to intermediaries in return for selling and servicing an insurer's products.

Earned Premium

Written premium adjusted by the unearned premium provisions at the beginning and the end of the accounting period.

General Insurance Business (General Takaful)

Insurance business falling within the classes of insurance specified as General Insurance Business, under the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – Family Takaful (Long Term)

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

Insurance Provision – General Takaful (Insurance)

This includes net unearned premium, provisions for unexpired risks, outstanding claims reserve and IBNR reserve.

Life Insurance Business (Family Takaful)

Insurance business falling within the classes of insurance specified as Long Term Insurance, under the Regulation of Insurance Act No. 43, 2000.

Mudharaba

This is an agreement made between two parties. The Investor, who provides 100% of the capital for the project and the Mudharib manages the entire project using his entrepreneurial skills. The Investor has no control over the management of the project. Profits arising from the project are distributed according to a predetermined ratio. Losses are borne by the provider of the capital.

Net Earned premium

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

Premium (Contribution)

The consideration payable by the insured for an insurance contract.

Retakaful (Reinsurance)

Transfer of all or part of the risk assumed by an insurer under one or more insurance to another insurer, called the re-insurer.

Risk-Based Capital

A "Risk Based" approach to assess the Capital Adequacy, determined as per Solvency Margin (Risk-Based Capital) Rules 2015.

Shari'ah

Is the code of law for the Islamic way of life which has been derived from the Quran and the Sunnah (The Practice of the holy Prophet Muhammad – Peace be upon him).

Shari'ah Advisory Council (SAC)

This comprises of Shari'ah Scholars or/ and well versed personnel in Shari'ah, which ensures Shari'ah compliance in the operations of the Company. The SAC advises the Company on all Shari'ah matters in its business activities and involves in endorsing and validating

relevant documentation, such as products manuals, policy terms and conditions, marketing materials, sales illustrations, etc.

Solvency Margin – Family Takaful (Life)

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long-Term Insurance business, determined as per Solvency Margin (Long-Term Insurance) Rules, 2002.

Solvency Margin – General Takaful (Insurance)

The difference between the value of the assets and the value of the liabilities required to be maintained by the insurer who carries on general insurance business as per Solvency Margin (General insurance) Rules, 2004.

Surrender

The act of cancelling of an insurance contract before it reaches its date of maturity.

Takaful

Is an Arabic word, which means "guaranteeing each other". It is a system of risk management based on the principle of mutual assistance (TA-AWUN) and contributions (Tabarru) where the risk is shared collectively by the Group voluntarily.

Underwriting

The process of selecting which risks an insurance company can cover, and deciding the premium and terms of acceptance.

Unearned Premium/Unearned Premium Reserve

It represents the portion of premium already entered in the accounts as due but which relates to a period of risk subsequent to the balance sheet date.

Written Premium

Total premium received or due from all insurance contracts during a period.

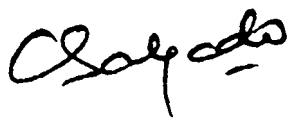
Notice of Meeting

NOTICE IS HEREBY GIVEN that the 22nd Annual General Meeting of Amana Takaful PLC

will be held on 17th June 2021 at 10.00 a.m. at the Board Room of Amana Takaful PLC, No. 660-1/1, Galle Road, Colombo 03, via Audio/Video (Virtual AGM) for the following purposes:

1. To receive and consider the Annual Report of the Board of Directors on the affairs of the Company for the year ended 31st December 2020 and the Report of the Auditors thereon.
2. Re-election of Directors by Rotation in terms of Article 82 of the Articles of Association of the Company
Mr. Mohamed Rizwan Mohamed Nayeem does not offer himself for re-appointment and have notified his intentions of stepping down from the Board.
3. Appointment of Directors subsequent to the Last Annual General Meeting in terms of Article 89 of the Articles of Association of the Company.
 - a. Ms. Eranjalee Deepthie Wickramasuriya being eligible, offers herself for re-election as a Director.
 - b. Mr. Mohamed Zulficar Mohamed Ghouse being eligible, offers himself for re-election as a Director.
4. To re-appoint the retiring Auditors, M/s. Ernst & Young, Chartered Accountants for the ensuing year and to authorise the Directors to determine their remuneration.

By Order of the Board,
AMANA TAKAFUL PLC



Managers & Secretaries (Pvt) Ltd.

Secretaries

12th May 2021

Notes:

1. A member entitled to attend and vote at the above meeting is required to complete and submit a pre-registration form in order to ensure participation at the AGM of the Company. Only members of ATL are entitled to take part at the AGM of ATL.
2. A Pre-registration form is enclosed for this purpose to be completed by ATL Shareholders only.
3. A member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote in his/her behalf. A proxy need not be a member of the Company.
4. A form of proxy is enclosed for this purpose.
5. The instruments for registration and appointing a proxy must be completed and deposited at the Registered Office of the Company, No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atplc@takaful.lk" not less than forty eight hours prior to the time appointed for holding the meeting.

Notes

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Notes

[illegible]

Form of Proxy

I/We the undersigned.....

bearing NIC No , of

.....being a member/members
of Amana Takaful PLC, hereby appoint

- Full name of proxy -
- NIC of Proxy -
- Address of Proxy -
- Contact Numbers - Land, Mobile,
Email address

Failing him

Mr. Osman Kassim	of Colombo or failing him
Dr. A.A.M. Haroon	of Colombo or failing him
Mr. M. R. M. Nayeem	of Colombo or failing him
Mr. M. H. S. Kassim	of Colombo or failing him
Mr. S. R. Hussain	of Pakistan or failing him
Mr. M. Z. M. Ghouse	of Colombo or failing him
Ms. E. D. Wickramasuriya	of Colombo

as my/our proxy to represent me/us and * to vote for me/us on my/our behalf at the Annual General Meeting to be held on 17th June 2021 at 10.00 a.m. and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Please mark your preference with "X".

Ordinary Resolution

1. To receive and consider the Annual Report of the Board of Directors for the year ended 31st December 2020 and the Report of the Auditors.
2. To re-elect Ms. Eranjalee Deepthie Wickramasuriya as a Director of the Company.
3. To re-elect Mr. M. Z. M. Ghouse as a Director of the Company.
4. To re-appoint the retiring auditors M/s. Ernst & Young, Chartered Accountants for the ensuing year and authorise directors to determine their remuneration.

For Against

☐	☐
☐	☐
☐	☐
☐	☐

As witness my/our hands this day of 2021.

.....
Signature

Form of Proxy

INSTRUCTIONS AS TO COMPLETION

1. In order to appoint a proxy, this form shall in the case of an individual be signed by the shareholder or by his/her Attorney and in the case of a company/corporation, the form of proxy must be under its Common Seal, which should be affixed and attested in the manner prescribed by its Articles of Association.
2. The full name, NIC No. and address of the Proxy holder and of the Shareholder appointing the Proxy holder should be entered legibly in the form of proxy.
3. The duly completed form of proxy must be deposited at the Registered Office of the Company at No. 660, 1/1, Galle Road Colombo 3, or e-mailed to "agm.atplc@takaful.lk" not later than 48 hours prior to the time appointed for holding of the meeting.
4. In the case of a proxy signed by an Attorney, the relevant Power-of-Attorney or a certified copy thereof should also accompany the completed form of proxy and must be deposited at the Registered Office of the Company or email as above noted.

Corporate Information

NAME OF THE COMPANY

Amāna Takaful PLC

LEGAL STATUS

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act No. 07 of 2007 on 27th June 2007.

COMPANY REGISTRATION NUMBER

PQ 23

TAX PAYER IDENTIFICATION NUMBER (TIN)

134007958

STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka on 27th November 2006. Stock Exchange Code for Amāna Takaful PLC shares is 'ATL'.

DIRECTORS

Osman Kassim – Chairman
M. H. S. Kassim (Managing Director w.e.f. 2nd March 2020)
Dr. A. A. M. Haroon
Dato' Mohd Fadzli Yusof (Retired w.e.f 14th July 2020)
M. H. M. Rafiq (Retired w.e.f 14th July 2020)
M. R. M. Nayeem
S. Rizwan Hussain
M. Zulficar Ghouse (Appointed w.e.f. 03.06.2020)
E. D. Wickramasuriya (Appointed w.e.f. 22.12.2020)

SHARI'AH ADVISORY COUNCIL

Mufti M.I.M. Rizwe – Chairman
Mufti Shafique Ahmed Jakhura - Member
Ash-Sheikh M. Murshid – Secretary

CHIEF EXECUTIVE OFFICER – Amāna Takaful PLC

M. A. Shehan Feisal (appointed w.e.f. 20.07.2020)
Zaid Ibnu Aboobucker – Interim Acting CEO (Appointed w.e.f. 1st January 2020)

CHIEF EXECUTIVE OFFICER – Amāna Takaful Life PLC

Gehan Shivantha Rajapakse

REGISTERED OFFICE

No. 660-1/1, Galle Road, Colombo 03, Sri Lanka

SUBSIDIARIES

Amāna Takaful Life PLC

No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

Amāna Global Ltd.

No. 660 – 1/1, Galle Road, Colombo 03, Sri Lanka

Amāna Takaful (Maldives) PLC

H. Mialani, Sosun Mogu, Male, Republic of Maldives

AUDITORS

Messrs Ernst & Young
Chartered Accountants

CONSULTANT ACTUARIES – GENERAL INSURANCE

NMG Financial Services Consulting Pte Ltd.
65, Chulia Street #37-07/08, OCBC Centre Singapore 049513

CONSULTANT ACTUARIES – LONG-TERM INSURANCE

Actuarial Partners Consulting Sdn Bhd Suite 17.02, Kenanga
International Jalan Sultan Ismail 50250 Kuala Lumpur, Malaysia

REINSURANCE PANEL

Swiss Reinsurance Company Ltd
Labuan Reinsurance (L) Ltd, Labuan, Malaysia
Ocean Re
Asian Re
Saudi Re
GIC Retakaful
Tunis Re
Hannover Re
Munich Re

SECRETARIES

Managers & Secretaries (Pvt) Ltd.

PRINCIPAL BANKERS

Amāna Bank PLC / Pan Asia Bank / NDB Bank / Bank of Ceylon /
Commercial Bank / Sampath Bank / HNB/Nations Trust Bank /
Deutsche Bank / Seylan Bank / MCB Bank / Habib Bank

